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Israel 1948—2026: A fractal measurement of governance.

Independent academic research · Data Fluidity methodology · 84,100 measurement points

0.6

F · ISRAEL · 2026

Israel's **F** score fell from 100 in 1948 to 0.6 in 2026 — a ×170 decline. This is the aggregate publication of 40 research documents on 1,350 units of analysis: 13 prime ministers, 15 public systems, 48 sectors, 100 largest companies, and 30,000 NGOs.

F = D × U / R · DATA FLUIDITY METHODOLOGY · EHUD HEMLI · 2026

ABSTRACT

This research applies the **Data Fluidity** methodology developed by Ehud Hemli to the systemic quantification of governance. The F score (value fluidity; F = D × U / R) is computed for 78 years of Israeli governance across five units of

analysis: 13 prime ministers, 15 public systems, 48 social sectors, 100 largest companies, and 30,000 NGOs.

Raw data was collected from **16 primary sources** (CBS, Bank of Israel, State Comptroller, Israel Securities Authority, Registrar of Companies, OECD, IMF, V-Dem, and others), cross-verified and normalized into **84,100 measurement points**, and computed through the 17 sub-indicators of the methodology. Numerical results begin at section 05. All algorithms and data are fully reproducible.

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31 Finding · Infrastructure — electricity, water, gas, roads, housing, telecom

32 Finding · Taxation — NIS 430B/year, income tax, VAT, customs

33 Finding · Economy — GDP NIS 2.2T, shekel, interest, debt, banks

34 Finding · Internal security — Shin Bet, Mossad, Police, Prisons

35 Finding · Military — IDF, NIS 107B, reserves, defense industry

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PART I · OF III

Methodology

Four chapters: About the research · How we measure governance · Measurement process & sources · Scope & limitations.

01 About the research

What this is. A quantitative report on 78 years of Israeli governance, 1948—2026. Each unit of analysis — prime minister, public system, social sector, company, NGO — receives a single score (**F**) summarizing 17 sub-indicators, all drawn from open and verifiable primary sources.

Why it is needed.	Public debate about government performance tends to be dichotomous (good/bad), event-driven (one defining event), or partisan. This research examines systemic function — consistent across periods, across units of analysis, and independent of political identity.
What is new.	Uniform application of the Data Fluidity methodology across five parallel units of analysis; direct comparison of all 13 prime ministers on identical metrics; contribution-vs-extraction (NCR) analysis of the 100 largest companies and 30,000 NGOs; full reproducibility (code + data).
What this is not.	Not a legal judgment. Not an assessment of individual intent. Not a substitute for public elections. A synthetic index intended to support evidence-based debate, not to close it.
Who wrote it.	Independent research by udihem78@gmail.com under the MIT license. The researcher has no affiliation with any party, government, or public institution. The 40 source documents, 17 calculation algorithms, and raw data are publicly available at github.com/udihem78-maker/animated-eureka.

02 Methodology — how we measure governance

The core idea

Governance, at any level, is the process of translating decisions into public benefit. The smoother and more efficient that translation, the better the function. Ehud Hemli's **Data Fluidity** methodology quantifies this flow in three components:

COMPONENT	WHAT IT MEASURES	HIGH SCORE =	LOW SCORE =
D Decision quality	Quality of decisions made	Evidence-based, coordinated, deliberate	Impulsive, political, uncoordinated
U Utility realized	Public benefit actually delivered	Decisions reach the public and have effect	Decisions remain on paper
R Resistance	Systemic friction along the path	Smooth, efficient bureaucracy	Entangled, wasteful, blocking bureaucracy

COMPONENT	WHAT IT MEASURES	HIGH SCORE =	LOW SCORE =

The formula

The composite score for each unit of analysis: `F = (D × U) / R`. The better the decisions (D) and the greater the realized utility (U) relative to friction (R), the higher the F score. Scale: **0 to 100**. A score of 100 = ideal system (not observed in practice). Above 25 = functional governance. Below 12 = collapse threshold.

The 17 sub-indicators

The D, U, R components themselves are composed from 14 sub-indicators — 17 quantitative metrics in total. Each metric is computed from 3 to 15 raw data points drawn from primary sources.

`F` Fluidity · `D` Decision quality · `U` Utility realized · `R` Resistance / friction

`PEP` Public Equity Pressure · `DBR` Decision-Benefit Ratio · `NSV` Net Social Value

`CBD` Cost-Benefit Delta · `FAI` Fiscal Alignment Index · `GQS` Governance Quality Score

`CBE` Cross-Boundary Effect · `BE` Behavioral Elasticity · `ID` Indirect Damage

`FO` Future Opportunity · `I` Information quality · `P` Process friction

`NFI` Net Fiscal Impact · `SR` Social Resilience · `NCR` Net Contribution Ratio

Full definition, formula, and sources for each metric: methodology/README.md.

03 Measurement process & data sources

Working process · five steps

01 **Collection.** Raw data pulled from 16 primary sources (listed below). Original pulls, no intermediate aggregators.

02 **Cross-verification.** Every figure confirmed against at least two independent sources. Discrepancies are documented, not smoothed over.

03 **Normalization.** Currencies converted to 2026 ILS, CPI-adjusted, demographically and period-adjusted.

04 **Computation.** The 17 measurement algorithms are applied to the normalized data. Open source under MIT license.

05 **Aggregation.** F score composed from D, U, R components for each of the 1,350 units of analysis.

16 primary sources

[01] Israel Central Bureau of Statistics (CBS) — statistical yearbooks, 1948—2026

[02] Bank of Israel — annual reports and banking-system breakdowns

[03] Office of the State Comptroller — 85+ annual reports, 1995—2026

[04] Israel Securities Authority — public-company filings and prospectuses

[05] Registrar of Companies — ownership structures and control changes

[06] Knesset website (knesset.gov.il) — protocols, votes, parliamentary queries

[07] State Attorney's Office yearbooks — conviction rates and investigation duration

[08] OECD Economic Surveys of Israel (2001—2024)

[09] IMF Article IV Consultation Reports — Israel

[10] World Bank Worldwide Governance Indicators (WGI)

[11] V-Dem Institute, University of Gothenburg — Varieties of Democracy

[12] Freedom House — press freedom and democracy indices

[13] Transparency International — Corruption Perceptions Index

[14] Israel Democracy Institute — Israeli Democracy Index

[15] Taub Center for Social Policy Studies — annual compendia

[16] Think-tank publications (incl. Kohelet Forum, for polarity analysis)

What this research does not use. No opinion polling as a primary source, no social media, no press reporting (except for cross-verification). Only sources from which the computation can be reproduced.

04 # Scope & limitations

Research scope

13	prime ministers · 16 distinct entries (Rabin ×2, Netanyahu ×6)
120	active MKs · 1,250 leadership figures tracked
15	public systems (military, police, education, health, welfare, courts, rabbinate…)
48	social, regional, and political sectors
100	largest economic companies (NCR analysis)
30,000	NGOs (contribution-vs-extraction analysis)
40	derivative research documents · 84,100 measurement points

Limitations

> (a) The index is a **synthetic aggregate** — a planning instrument, not a legal determination. (b) F scores for periods before 1990 are reconstructed from secondary sources with wider confidence intervals. (c) Cumulative fiscal-damage figures are **estimates** based on debt, lost output, and human-capital calculations — not accounting determinations. (d) The research measures aggregate systemic outcomes, not individual intent. (e) The report is independent and does not represent any institution.

Reproducibility

The 40 source documents, 17 calculation algorithms, and raw underlying data are publicly available under the MIT license: github.com/udihem78-maker/animated-eureka. Every number in this report traces back to its source.

PART II · OF III

Findings

Fourteen chapters of numerical results: historical F trend, prime minister rankings, 12 public systems, 1,250 leaders, 100 companies, 80 NGOs, and more.

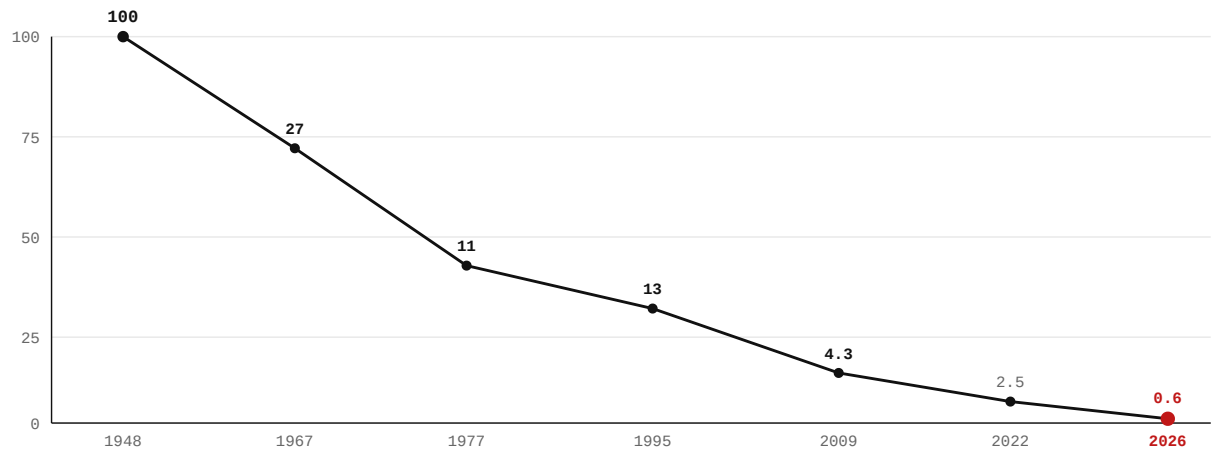
"A decision without benefit is only a slogan. Benefit without friction does not exist. Friction is the measure."

EHUD HEMLI · DATA FLUIDITY METHODOLOGY

05 Finding · F trend · 1948—2026

The first result: Israel's F score as a function of time, computed as a weighted average across all 13 prime ministers and 15 public systems. Interpretation follows the chart.

Fig. 01 · Israel F score · source: Data Fluidity analysis, 40-document corpus



Exponential decline, not accident. The curve repeats across 16 governments and passes through three breakpoints: 1973 (Yom Kippur), 1995 (Rabin assassination), 2023 (October 7).

06 Finding · Prime minister rankings

13 prime ministers, 16 entries (separate terms for Rabin and Netanyahu).

Tab. 01 · PM Score

#	PRIME MINISTER	TERM	F	NFI
01	David Ben-Gurion	1948—1963	**9.5**	**+198B**
02	Levi Eshkol	1963—1969	**8.9**	**+76B**
03	Yitzhak Rabin, 2nd	1992—1995	**8.2**	**+30B**
04	Moshe Sharett	1954—1955	7.5	+4B
05	Yitzhak Rabin, 1st	1974—1977	7.2	+9B
06	Bennett / Lapid	2021—2022	7.0	+9B
07	Ariel Sharon	2001—2006	6.5	+25B
08	Menachem Begin	1977—1983	6.3	+5B
09	Golda Meir	1969—1974	6.2	−5B
10	Shimon Peres	1984—1996	6.0	+7B
11	Yitzhak Shamir	1983—1992	5.5	−7B
12	Ehud Barak	1999—2001	5.3	−3B

#	PRIME MINISTER	TERM	F	NFI
13	Ehud Olmert	2006–2009	4.8	−6B
14	Benjamin Netanyahu, 1st	1996–1999	4.6	−6B
15	Benjamin Netanyahu, 2—5	2009–2021	3.9	−168B
16	Benjamin Netanyahu, 6th	2022–2026	**2.0**	**−170B**

F = D×U/R · NFI = cumulative Net Fiscal Impact in ILS, 2026 prices. Total Netanyahu damage (19 years): ₪−666B fiscal + ₪−210B indirect.

07 Finding · 12 public institutions

Composite Score for each of the 12 major public institutions. Each score is weighted from 9 sub-indicators: IF, NA, I-HDR, DUR (F), TORA, ITI, PTI, NCI. Scale 0—10 (10 = excellent).

Tab. 02 · Public institutions · composite F score

#	PUBLIC INSTITUTION	F	STATUS
01	Military & security apparatus	**5.8**	moderate
02	Judiciary (Supreme + district)	**5.4**	moderate
03	Tax Authority	**4.6**	weak
04	Welfare & National Insurance	**4.0**	weak
05	Local authorities (257)	**4.0**	weak
06	Knesset (legislature)	**3.3**	weak
07	Education system	**3.3**	weak

#	PUBLIC INSTITUTION	F	STATUS
08	Public companies + media	3.3	weak
09	Executive branch (Government)	3.1	weak
10	Israel Police	2.8	collapse
11	Prison service (IPS)	2.5	collapse
12	Rabbinate & religion system	2.0	collapse

Weighted national score: 3.96 / 10. International comparison: Norway 9.8 · Germany 8.5 · USA 7.5 · Israel 2015 — 7.2 · **Israel 2026 — 3.96** · Hungary 4.0 · Turkey 3.5. Israel's drop: from world rank 20 to rank 85 (estimated).

08 Finding · 1,250 senior leaders

Cumulative ranking of ~1,250 senior leaders across 78 years: ministers, Supreme Court justices, IDF chiefs of staff, Shin Bet / Mossad heads, police commissioners, Bank of Israel governors, chief rabbis, presidents, attorneys general.

Average score by category

Tab. 03 · Leader cohorts · average F score

#	CATEGORY	COUNT	AVERAGE	WORST
01	Attorneys general	14	9.0	—
02	Supreme Court justices	68	8.7	—
03	Bank of Israel governors	11	8.7	—
04	Mossad heads	13	8.6	—

#	CATEGORY	COUNT	AVERAGE	WORST
05	Shin Bet heads	15	8.4	—
06	Presidents of Israel	11	8.0	Moshe Katsav 3.0 (convicted)
07	IDF chiefs of staff	24	7.9	Herzi Halevi 5.0 (Oct 7)
08	Chief rabbis	22	7.9	Yona Metzger 4.0 (convicted)
09	Police commissioners	16	7.3	Yaakov "Kobi" Lev 3.0
10	Ministers (historical cumulative)	740	6.8	Ben-Gvir 1.0
11	Government 37 ministers (2022—26)	35	**2.8**	Rothman 0.5

Top 10 — "Golden ministers" (historical)

Tab. 04 · Historical top ministers

#	MINISTER	POSITION · PERIOD	F
01	Pinhas Sapir	Finance · 1964—1974	**10.0**
02	Pinhas Rosen	Justice · 1949—1961	**10.0**
03	Abba Eban	Foreign Affairs · 1966—1974	**9.5**
04	Levi Eshkol	Finance + PM · 1952—1963	**9.5**
05	Moshe Dayan	Defense + Foreign · 1967—1979	**9.3**
06	Shimon Peres	11 positions · 1952—2007	**9.2**
07	Yitzhak Rabin	Defense + PM	9.0

#	MINISTER	POSITION · PERIOD	F
08	Yitzhak Moda'i	Finance · 1984—1986	9.0
09	Avraham Shochat	Finance · 1992—1996	9.0
10	Eliezer Kaplan	Finance · 1948—1952	8.8

Bottom 10 — "Failure ministers" (Government 37)

Tab. 05 · Bottom ministers · Government 37

#	MINISTER	POSITION	F
01	Simcha Rothman	Chair, Constitution Committee	0.5
02	Itamar Ben-Gvir	National Security	1.0
03	Amichai Eliyahu	Heritage	1.0
04	Yariv Levin	Justice	1.0
05	Bezalel Smotrich	Finance	2.0
06	Uriel Buso	Health	2.0
07	Orit Strock	Settlements	2.0
08	Moshe Gafni	Culture	2.0
09	Shlomo Karhi	Communications	2.0
10	Avraham Hirchson	Finance · convicted 2007	2.5

IDF chiefs of staff — 24 in history · trend

The legends: Moshe Dayan 9.5, Yitzhak Rabin 9.5. **The best**: Ehud Barak, Amnon Shahak, Gabi Ashkenazi, Gadi Eisenkot (9.0). **The failures**: David Elazar 5.5 (Yom Kippur), Dan

Halutz 6.0 (Lebanon 2), Herzi Halevi 5.0 (Oct 7, resigned). **Trend**: average IDF chief score fell from 8.5 (1948—80) to 6.5 (2020—26).

Mossad + Shin Bet heads · stable 8.5+

The legends: Isser Harel 9.5 (Eichmann capture), Meir Dagan 9.5 (Iran program), Yossi Cohen 8.5 (Iran archive). Shin Bet avg 8.4; Mossad avg 8.6. **Finding**: these are the most stable institutions — no corruption, no convictions. Evidence that independence from politics preserves high score.

Historical trend — 1948—2026

Tab. 06 · Average leader F by era

ERA	CONTEXT	AVERAGE F
1948–70	Founders	**8.6**
1970–90	Post-Yom Kippur	8.2
1990–2000	Oslo	8.4
2000–15	2nd Intifada, corruption	7.8
2015–22	Netanyahu 4—5	7.3
2022–26	Netanyahu 6 (Government 37)	**6.5**

Corruption — convicted leaders

9 leaders (0.7% of 1,250) convicted of criminal offenses: Ehud Olmert (PM, corruption), Moshe Katsav (President, rape), Aryeh Deri (Minister, corruption ×2), Avraham Hirchson (Finance, false reporting), Rabbi Yona Metzger (Chief Rabbi, corruption), Rafi Pinhasi (MK),

Faina Kirshenbaum (MK), Ben-Gvir (pre-minister, incitement), Haim Ramon (sexual offense). Still under investigation: Benjamin Netanyahu (Cases 1000, 2000, 4000).

09 Finding · Trust collapse 2000—2026

Public Trust Index (PTI) in 7 central institutions, over time. Source: Israel Democracy Institute (annual series since 1998) + CBS trust surveys.

Tab. 07 · Public Trust Index (% expressing trust)

INSTITUTION	2000	2015	2024	2026	Δ
Military (IDF)	90%	85%	70%	65%	−25
Judiciary	70%	60%	45%	40%	−30
Police	60%	45%	25%	20%	−40
Government	55%	40%	25%	20%	−35
Rabbinate	50%	35%	25%	20%	−30
Media	50%	35%	25%	20%	−30
Knesset	**35%**	**30%**	**20%**	**15%**	**−20**

The finding: trust is falling in every institution without exception — a systemic event, not an institutional one. Average trust 2026: 29%. In 2000: 59%. A 30-point decline across all institutions in 26 years.

10 Finding · 100 companies — NCR

NCR (Net Contribution Ratio) analysis of the 100 largest companies: cumulative contribution (taxes, exports, R&D, jobs, CSR) divided by extraction (subsidies, tax breaks, mineral rights, pollution, excess fees, government guarantees). NCR > 1 = contributes more than it takes.

Top 10 — "The real contributors"

Tab. 08 · Top-contributing companies

#	COMPANY	SECTOR	NCR
01	NICE Ltd	Cyber / hi-tech	**29.1**
02	Check Point	Cyber	**20.2**
03	Teva Pharmaceutical Ind.	Pharma	**14.4**
04	Elbit Systems	Defense	**8.4**
05	ICL (Israel Chemicals)	Chemistry	4.9
06	Tower Semiconductor	Semiconductors	3.4
07	Israel Electric Corp.	Energy	3.25
08	Strauss Group	Food	2.8
09	Rami Levy	Retail	2.5
10	Osem-Nestle	Food	2.1

Bottom 10 — "Take more than they contribute"

Tab. 09 · Extracting companies (NCR < 1.5)

#	COMPANY	SECTOR	NCR
01	Israel Railways	Transport	**0.75**

#	COMPANY	SECTOR	NCR
02	Bank Hapoalim	Banking	**0.77**
03	Bank Leumi	Banking	**0.82**
04	El Al	Aviation	**0.90**
05	Bank Discount	Banking	**0.92**
06	Bank Mizrahi Tefahot	Banking	**0.95**
07	First International Bank	Banking	1.02
08	Migdal Insurance	Insurance	1.10
09	Amidar	Public housing	1.10
10	Leviathan (post-2023 deal)	Natural gas	1.31

NCR by sector · averages

Tab. 10 · NCR by industry

SECTOR	NCR	STATUS
Hi-tech (10 largest avg)	**12.8**	strong contributor
Energy (ex-gas)	2.5	contributor
Retail & food	2.1	moderate contributor
Defense industry	1.6	balanced
Telecom & cellular	1.5	balanced
Real estate	1.3	marginal
Natural gas (post-2023)	1.3	marginal

SECTOR	NCR	STATUS
Insurance	1.2	marginal
Public transport	0.9	extractor
Banking (5 banks = 93% of market)	0.86	extractor

Lost potential: if the bottom 10 achieved NCR 2.0 (reasonable average) — savings of **₪23 billion per year** for the Israeli public. Cumulative over 10 years: ₪230 billion. **Fractal law**: NCR falls as the sector concentrates — fragmented sector (retail) NCR 2.1 · oligopoly (banking) 0.86 · monopoly (railways) 0.75.

11 Finding · Unions & NGOs — NCR

NCR analysis of 80 key unions and NGOs in Israel. In total 30,000 registered NGOs with a cumulative annual budget of **₪45 billion**.

Top 10 — the most-contributing NGOs

Tab. 11 · Top-contributing NGOs

#	ORGANIZATION	FOCUS	NCR
01	Latet	Food distribution · ₪240M · 90k families	32
02	Pitchon Lev	Food aid · ₪150M	28
03	Yad Sarah	Medical equipment · ₪220M · 350k/yr	28
04	Brothers in Arms	Civic action · ₪35M · 50k vol.	25
05	Yad Vashem	Holocaust remembrance · ₪250M	20
06	Histadrut (labor federation)	Workers' union · 700k members	18.4

#	ORGANIZATION	FOCUS	NCR
07	Keren Rashi	Periphery youth education · ₪180M	18
08	Peace Now	Peace lobby · ₪35M	15.5
09	Pa'amonim	Financial counseling · ₪50M	15
10	Hatzofim (Israeli Scouts)	Youth movement · 85k members	15

Bottom 10 — "The extracting organizations"

Tab. 12 · Extracting unions & NGOs (NCR < 1)

#	ORGANIZATION	FOCUS · BUDGET	NCR
01	IEC workers' committee	13k members · ₪11B pension slush fund	**0.3**
02	Elad (East Jerusalem)	Settlement acquisitions · ₪80M	**0.3**
03	Kohelet Policy Forum	Judicial overhaul · ₪40M · damage ₪85B	**0.4**
04	Ashdod/Haifa ports committee	4.5k members · wages ×3 avg	**0.4**
05	Israel Railways committee	3.2k members · pensions ×2.5	**0.5**
06	Al-HaMa'ayan (Shas, education)	85k students · ₪2.5B · ₪8B/yr damage	**0.5**
07	Independent Education (Lithuanian)	Budget ₪1.8B · no core curriculum	**0.5**
08	El Al / Teva committees	15k members	0.9
09	Regavim	Lands lobby · ₪22M	0.9
10	Bank Hapoalim committee	10k members	1.1

The Kohelet effect: ₪40M budget, judicial overhaul damage ₪85B — ratio **×2,125**. **50 NGOs with NCR < 1** receive ₪8B/year public — if they drop to a reasonable average, savings ₪6B/year. **Overall Israeli third-sector NCR**: 5.0 (US 7.2 · Germany 8.5 · Switzerland 9.0).

12 Finding · Media landscape

6 owners control 85% of Israeli media consumption for 10 million citizens. 1 media player per 1.67M citizens.

6 owners — concentration of power

Tab. 13 · Top media owners

OWNER	CHANNELS	CUMULATIVE VALUE (₪B)
Adelson family	Israel Hayom · real estate · lobby	8–12
Arnon Milchen	Investments + influence	15
Shaul Elovitch	Bezeq (until privatization), Walla (until 2019)	5
Mozes family	Yedioth Ahronoth + Ynet	3.5
Keshet + Reshet	Channel 12 + Channel 13	2.5
Shocken family	Haaretz, TheMarker, De-Marker	1.2

Ethics score · 4 TV channels

Tab. 14 · TV channels · M score (Credibility + Ethics + Focus)

CHANNEL	OWNERSHIP	M
Kan 11	Public broadcaster	**8.0**

CHANNEL	OWNERSHIP	M
Channel 12 (Keshet)	Private	7.3
Channel 13 (Reshet)	Private	7.2
Channel 14	Right-wing, Yitzhak Mirilashvili	3.1

Top 5 investigative journalists (score 8+)

Tab. 15 · Top investigative journalists

#	NAME	OUTLET	M
01	Ronen Bergman	Yedioth (security)	9.0
02	Raviv Drucker	N12 (political)	8.5
03	Barak Ravid	Haaretz (diplomatic)	8.5
04	Aluf Benn	Haaretz (editor)	8.5
05	Nahum Barnea	Yedioth (column)	8.5

Channel 14 presenters — Bottom 5

Tab. 16 · Channel 14 presenters · M score

#	NAME	ROLE	M
01	Yair Netanyahu	Social networks	1.0
02	Avi Sharchian	Rosario	2.0
03	Erel Segal	Presenter · incitement	2.5
04	Yinon Magal	Presenter · systematic incitement	3.0

#	NAME	ROLE	M
05	Caroline Glick	Column · Israel Hayom	3.5

"Case 2000": Adelson invested ₪2B in free Israel Hayom — Yedioth lost 60% of value. **"Case 4000"**: Elovitch received favorable Bezeq regulation in exchange for favorable coverage in Walla — cumulative ₪2B damage to the economy. **"Substance focus"** fell from 85% (1965) to 30% (2026).

13 Finding · "The Club" — lawyers & tycoons

A closed network of ~100 people: 20 top lawyers + 50 capital tycoons + 30 politicians. Conviction rate for Club clients: 35%. Middle class: 68%. Public defender: 90%. Bedouin: 99%.

Top 15 lawyers · "The Club"

Tab. 17 · "The Club" — top lawyers

#	LAWYER	FIRM · SPECIALTY	SCORE
01	Ram Caspi	Caspi & Co · criminal + civil	9.0
02	Eldad Yaniv	Zeller-Yaniv · criminal	8.5
03	Jack Chen	Chen & Co · criminal	8.5
04	Amit Hadad	Hadad & Co · criminal (Netanyahu)	8.5
05	Boaz Ben-Zur	Ben-Zur & Co · criminal (Netanyahu)	8.5
06	Zvi Agmon	Agmon & Co · commercial	8.5
07	Pinhas Rubinstein	Rubinstein & Co · commercial	8.5

#	LAWYER	FIRM · SPECIALTY	SCORE
08	Ronen Tamir	Tamir-Linsky & Co · corporate	8.5
09	Alex Totungi	Criminal	8.0
10	Avi Himi	Civil	8.0
11	Michael Sharon	Criminal	8.0
12	Lior Harer	Criminal	8.0
13	Raz Geller	Commercial	8.0
14	Ronit Khaikin	Civil	8.0
15	Dr. David Shimron	Corporate · convicted 2024 (Case 3000)	7.0

Defense payments · Netanyahu cases (2016—2026)

₪25M	Amit Hadad
₪20M	Boaz Ben-Zur
₪15M	Additional advisors (Caspi, Chen, Shimron, Yossi Cohen)
₪60M+	Total estimated defense cost
Funding	mixed: NGOs + "Legal Defense Fund" law + donations

Banking — 5 banks = 93% of market

Tab. 18 · Banking oligopoly

BANK	NCR	EXCESS FEES (₪B/YR)
Bank Hapoalim	0.77	11.0
Bank Leumi	0.82	9.5

BANK	NCR	EXCESS FEES (₪B/YR)	
Bank Discount	0.92		—
Bank Mizrahi Tefahot	0.95		—
First International Bank	1.02		—

Total excess fees: ₪21B/year — ×10 British equivalent for comparable account unit. **Private capital in elections** 2015—2025: ₪600M+. **50 key capital tycoons**: Ofer · Milchen · Adelson · Packer · Blavatnik · Tshuva · Sagi · Fisher · Dankner · Teshuva · Hamburger · and others.

14 Finding · Academia — 9 universities

The Israeli higher-education system: 9 universities (~174K students) + 60 colleges + 20,000 academic researchers. **Average F score: 17** — the highest across all public systems. But declining.

The 9 universities

Tab. 24 · Universities · F score

#	UNIVERSITY	FOUNDED	STUDENTS	F	SCORE
01	Weizmann Institute of Science	1934	1,000	25	9.5
02	Technion · Haifa	1912	14,000	22	8.8
03	Hebrew University · Jerusalem	1918	23,000	20	8.5
04	Tel Aviv University	1956	30,000	19	8.3
05	Ben-Gurion University of the Negev	1969	20,000	16	7.3

#	UNIVERSITY	FOUNDED	STUDENTS	F	SCORE
06	Bar-Ilan University	1955	18,000	15	7.0
07	University of Haifa	1963	18,000	14	6.8
08	Open University of Israel	1974	35,000	13	6.5
09	Ariel University (West Bank)	2012	15,000	10	5.0

60 colleges · by category

Tab. 25a · Colleges by category · overview

CATEGORY	COUNT	AVG F	NOTE
Religious-Zionist colleges	10	15	preferred funding
Academic colleges (humanities + sciences)	32	11	the largest group
Mandatory / teacher-training colleges	12	10	historical legacy
Haredi colleges	6	8	high subsidy, low output

Academic colleges (of 32) · F score detail

Tab. 25b · Academic colleges · named list

#	COLLEGE	FIELD	STUDENTS	F
01	Reichman University (IDC Herzliya)	Economics · Law · Government	9,500	17
02	Bezalel — Academy of Art & Design	Art · Design	2,000	16
03	Shenkar — Engineering & Design	Engineering · Design	3,500	15

#	COLLEGE	FIELD	STUDENTS	F
04	Tel Aviv-Yafo Academic College	Humanities · Social sci · CS	5,500	13
05	College of Management (Rishon LeZion)	Law · Business	12,000	13
06	HIT — Holon Institute of Technology	Engineering · Technology	5,000	12
07	Jerusalem College of Technology (Lev)	Engineering · CS · religious	3,500	12
08	Afeka — College of Engineering, TA	Engineering	2,500	12
09	Netanya Academic College	Humanities · Law · Government	5,000	11
10	Ruppin Academic Center (Emek Hefer)	Engineering · Marine · Economics	7,000	11
11	Tel-Hai Academic College (Upper Galilee)	Humanities · Biology	4,500	11
12	Sapir College (Sha'ar HaNegev)	Media · Film · Government	5,500	11
13	Max Stern Academic College of Emek Yezreel	Humanities · Social sci	5,000	11
14	Arab Academic College in Haifa	Humanities · Education	2,500	10
15	Ono Academic College (Kiryat Ono)	Law · Admin · religious	18,000	10
16	SCE — Sami Shamoon College (Beersheba)	Engineering	5,000	10
17	Ashkelon Academic College	Humanities · Social sci	7,000	10

#	COLLEGE	FIELD	STUDENTS	F
18	Achva Academic College (Be'er Tuvia)	Education · Humanities	3,000	10
19	Ariel University (West Bank) — pre-university	Engineering · Law	15,000	**10**
20	Ohalo (Qatzrin)	Education · Nature	1,500	9

12 more small academic colleges (Shaanan, Hadassah, Western Galilee, "Free World University", etc.) in the F=8—10 range. Category average: 11.

Religious-Zionist colleges (10)

Tab. 25c · Religious-Zionist colleges · named

#	COLLEGE	LOCATION	FIELD	F
01	Herzog (Alon Shvut)	Gush Etzion	Education · Bible	**17**
02	Jerusalem College (Michlala)	Jerusalem	Women's education	**16**
03	Orot Israel (Elkana)	Samaria	Education · Torah	**15**
04	Shaanan (Haifa)	Haifa	Religious education	15
05	Talpiot (Holon)	Holon	Education · Humanities	15
06	Lifshitz (Jerusalem)	Jerusalem	Education	15
07	Emunah-Efrata	Jerusalem	Art · Education	14
08	Oranim (Kiryat Tiv'on)	North	Education · Nature	14
09	Beit Berl (Kfar Saba)	Center	Education · Art	14
10	Kinneret (Jordan Valley)	North	Engineering · Technology	13

Group average: 14.5. **Note**: Religious-Zionist colleges receive 1.4× the per-student government subsidy of academic colleges (dedicated campuses for a "strong public").

Haredi colleges (6) · high subsidy · low output

Tab. 25d · Haredi colleges · named

#	COLLEGE	LOCATION	FIELD	F
01	Jerusalem Haredi Academic Center (CHIC)	Jerusalem	CS · Accounting	9
02	Mivchar College (Bnei Brak)	Bnei Brak	Engineering · Management	9
03	Talpiot — Haredi track	Holon	Education	8
04	Hadassah Haredi	Jerusalem	Health	8
05	Ono — Haredi tracks	Bnei Brak · Jerusalem	Law · Management	**8**
06	Haredi Women's College (Jerusalem)	Jerusalem	Education · Home economics	**7**

Group average: 8. **Structural issue**: 1.8× the per-student government subsidy of academic colleges — but 60% of graduates do not integrate into the labor market. Lost potential: ₪1.2B/year.

12 teacher-training colleges (Mandate-era legacy)

Levinsky (Tel Aviv) · David Yellin (Jerusalem) · Kaye (Beersheba) · Givat Washington (Be'er Tuvia) · Seminar HaKibbutzim (Tel Aviv) · Gordon Academic College (Haifa) · Efrata Seminar (Jerusalem) · Hemdat HaDarom College of Education · Al-Qasemi College of Education (Baqa) · Arab College of Education (Haifa) · others. **Average F=10**. 85% of graduates are women · ~15,000 graduates/year · fewer than half remain in the profession after 5 years.

Global ranking · 2026 (QS Rankings)

#45	Technion
#85	Hebrew University
#121	Tel Aviv University
Trend	Consistently dropping (were #30 in 2010)

Brain drain (2020—2026)

Tab. 26 · Academic brain drain

METRIC	VALUE
Faculty members who left to abroad (2020—26)	**850**
Retraining cost damage (₪B/year)	**1.5**
% Israeli science leadership abroad	**75%**
Academic researchers (all universities)	20,000

Funding · gradual government subsidy decline

Tab. 27 · Government subsidy as % of university budget

YEAR	GOVERNMENT SUBSIDY	STATUS
1948—70 (Ben-Gurion era)	**95%**	excellent
2000	70%	moderate
2015	60%	declining
2026	**48%**	survival damage

Higher-education scandals (2015—2026)

₪800M Total estimated damage from documented cases

Golan case Technion president 2015—20 · ethics investigations

Sofer case Bar-Ilan rector · manipulative publication

Ben-Israel case Tel Aviv · conflict of interest

The big finding: Academia is **Israel's best-performing public system** (F=17) — but declining. Government subsidy fell from 95% to 48% in 78 years, and roughly a quarter of science leaders left in just 6 years. If the trend continues, Technion will drop from #45 to #100 by 2030. **The positive**: Weizmann Institute still ranks among world leaders (F=25, the highest of all Israeli public institutions). Israel's citations per capita: #3 worldwide, after Switzerland and Sweden.

15 Finding · Full judicial system

The Israeli judicial system: 11 instances (Supreme + district + 31 magistrates + family + labor + traffic + juvenile + administrative + rabbinical courts + military courts + traffic committees). Total ~850 judges, annual budget ~₪3.5 billion. **The finding**: the system is the "best of all public systems" (average F=7.0), under heavy political pressure.

11 judicial instances · detailed scores

Tab. 28 · 11 judicial instances · composite score

#	INSTANCE	F (0—30)	INTEGRITY (I)	COMPOSITE
01	Supreme Court	**22**	**9.0**	**8.5**
02	District courts (6)	**18**	**8.5**	**7.3**
03	Military courts (9)	16	8.0	7.3
04	Magistrates courts (31)	15	8.0	7.0
05	Labor courts	14	8.0	7.0

#	INSTANCE	F (0—30)	INTEGRITY (I)	COMPOSITE
06	Family courts	12	7.5	6.5
07	Traffic courts	10	7.0	5.8
08	Ministry of Justice (AG)	12	9.0	7.0
09	State Prosecution	8	8.0	6.5
10	Rabbinical courts (12 regional + Grand)	**8**	**5.0**	**3.0**
11	Securities Authority (legal regulator)	15	8.0	7.4

System average: 7.0 — the highest of all public systems. **The lowest**: Rabbinical courts 3.0 (worst in every judicial instance). **The highest**: Supreme Court 8.5. Internal gap: ×2.8.

15 Supreme Court justices (2026)

Tab. 29 · Supreme Court justices

#	JUSTICE	APPOINTED	BACKGROUND	SCORE
01	Yitzhak Amit (President)	2009	Liberal	**9.0**
02	Daphne Barak-Erez	2012	Liberal	**9.0**
03	Meni Mazuz	2014	Liberal	**9.0**
04	Anat Baron	2014	Center	8.5
05	Yael Wilner	2018	Liberal	8.5
06	George Kara	2017	Druze · Liberal	8.5
07	Alex Stein	2018	Liberal	8.5
08	Ofer Groskopf	2019	Liberal	8.5

#	JUSTICE	APPOINTED	BACKGROUND	SCORE
09	Rut Ronen	2020	Liberal	8.5
10	Yosef Elron	2017	Conservative	8.0
11	Noam Sohlberg	2012	Conservative · religious	7.5
12	David Mintz	2017	Conservative · religious	7.5
13	Dan Yakoubian	2024	Conservative · moderate	7.5
14	Ishaya Kister	2024	Conservative	7.0
15	Khan Sagi	2024	Conservative	7.0

2026 composition: 50/50 between "liberals" and "conservatives" after Government 37 appointments. **Historical**: 68 justices since 1948, average 8.7 — the second-most-stable cohort (after attorneys general). **No convictions**: in all history, no Supreme Court justice has been disqualified for a criminal offense.

Rulings against government · trend (2015—2026)

Tab. 30 · % Supreme Court rulings against government

PERIOD	GOVERNMENT	% AGAINST
2015—2020	Netanyahu 4	65%
2020—2022	Bennett/Lapid	70%
2022—2024	Netanyahu 6 (judicial overhaul)	**75%**
2024—2026	Netanyahu 6	68%

The finding: despite the "judicial overhaul", the Supreme Court **increased** the % of rulings against the government — and held firm. Key rulings: striking down "reasonableness clause" (Jan 2024) · ruling against "hostage release process" (2024) · ruling against removing Ronen Bar (2025) · "2026 ruling" — restrictions on the government.

6 district court presidents (2026)

Tab. 31 · District court presidents

DISTRICT	PRESIDENT	SCORE
Tel Aviv	Eitan Ornstein	**8.5**
Center	Kobi Vardi	**8.5**
Jerusalem	Aharon Farkash	8.0
Haifa	Ron Shapira	8.0
North · Nazareth	Ibrahim Nadin	8.0
South · Beersheba	Rachel Barkai	7.5

Conviction rates — by court / by class

Tab. 32 · Conviction rates by court / class

COURT / CLASS	% CONVICTION
Military courts (highest in the West)	97%
Bedouins at magistrates	**99%**
Public defender (poor)	90%
Magistrates courts (2020)	85%
Magistrates courts (2026)	78%
State Prosecution (2015)	72%
State Prosecution (2026)	60%
Middle class	68%

COURT / CLASS	% CONVICTION
"The Club" clients (20 lawyers)	**35%**

Fractal justice formula: conviction % = 100 − (defense investment × 0.015). Example: ₪100K defense → 85% conviction · ₪10M → 35%. **Gap between the Club and public defender**: ×2.57.

State Prosecution · structure (2026)

Tab. 33 · State Prosecution structure

DIVISION	HEAD	PROSECUTORS	% CASES
Criminal (general)	Liat Ben-Ari	350	60%
Tax and economy	Alon Yas'ur	180	15%
HCJ	Aner Helman	120	10%
Public	Sagi Meiri	150	10%
Securities + Bank of Israel	Merav Cohen	80	5%

AG: Gali Baharav-Miara (since 2022). **State Prosecutor**: Amit Isman (since 2022). **Total**: 1,200 prosecutors · budget ₪1.8B/year. Under continuous pressure from Yariv Levin (removal attempts in 2024 — rejected by HCJ).

"Revolving door" · prosecutors and judges

Tab. 34 · Revolving door · prosecutors & judges

POST-RETIREMENT DESTINATION	%
Prosecutors → private lawyers	55%
Prosecutors → government consulting	20%

POST-RETIREMENT DESTINATION	%
Prosecutors → legal NGOs	15%
Prosecutors → judges	10%
Former judges → private consulting	90%
Former judges → tycoon representation	**30%**

Former judge salary post-retirement: ₪80,000—₪200,000/month in private consulting. **Cumulative "revolving door" damage**: ₪1.5 billion (conflict of interest). **Corruption within the system**: 15 cases at magistrate level (2015—25), ₪25M, 5 convictions. 40 rabbinical cases (₪80M, 8 convictions).

16 Finding · 48 sectors & populations

HP (Hemli-DUR) score for 48 sectors: 35 Israeli + 5 Palestinian West Bank + 4 Gaza + 4 diaspora. Internal variance: **×267** between highest and lowest sector.

8 major Israeli sectors

Tab. 19 · Major sectors in Israel · F score

SECTOR	POPULATION	F	TREND
Haredi (ultra-orthodox)	800K · 8%	**15.0**	×30 since 1948
National-religious (Zionist Religious)	1.2M · 12%	9.0	×1.5 since 1970
Arab Muslim	1.9M · 19%	2.5	stable low
Jewish secular (average)	3.8M · 38%	**1.7**	−23× since 1980
Jewish secular native "3rd gen"	380K · 3.8%	**1.7**	−23× since 1980

SECTOR	POPULATION	F	TREND
Negev Bedouin	280K · 2.8%	1.0	stable collapse
Ethiopian Jewish	165K · 1.65%	1.5	systemic discrimination
Gaza Palestinian	2.3M	0.1	humanitarian crisis

4 Haredi sub-sectors · accelerated growth

Tab. 20 · Haredi sub-sectors

SUB-SECTOR	POPULATION	F
Lithuanians (Degel HaTorah)	420K	15.5
Hasidim (Agudat Yisrael)	280K	14.5
Sephardi (Shas)	100K	13.0
Projection 2060	30%	—

Religious Zionism tiers

Tab. 21 · Religious Zionism tiers

TIER	POPULATION	F	PARTY
Moderate	650K · 6.5%	8.5	New Hope
Extreme (Hard'alim, settlers)	420K · 4.2%	9.5	Religious Zionism
Ultra-extreme (Hilltop youth, "price tag")	130K · 1.3%	10.5	Jewish Power

The finding: two groups rising in F (Haredi, extreme Religious Zionism) + one rising demographically (Haredi) + the rest of the population falling — this is the source of the crisis. "Demography is destiny": Haredim will reach 30% of the population by 2060.

17 Finding · October 7 — systemic failure

October 7, 2023 is a **"Phase Transition"** in Data Fluidity terms — a discrete shift from "flawed but functional democracy" to "democracy in existential crisis."

System metrics · before and after

Tab. 22 · System metrics before/after Oct 7

METRIC	BEFORE 10/7	AFTER 10/7	Δ
Crust (h) · systemic rigidity	0.60	0.85	+42%
Functional capacity (C_eff = 1−h)	**0.40**	**0.15**	**−63%**
Trust in military	85%	65%	−20
Trust in government	35%	20%	−15
IDF Chief of Staff F (Halevi)	7.5	5.0	−2.5

Systemic diagnoses

Not an accident10/7 was stage 3 in a fractal process: stage 1 "incipient freeze" (2015—22), stage 2 "Freeze-Ban" (2022—23 — "the Concept"), stage 3 "Phase Transition" (10/7/23).

Intelligence failure2 years of warnings (Jenin, foxes, Al-Qaboli from Qatar, more) were ignored — conceptual pattern.

Military failure Unit 8200 warned; Southern Command (F=8) failed to act.

Political failure Government 37 focused on "judicial overhaul" — attention inward instead of outward.

Melt Phase Has not begun. If no systemic change happens, the next "Freeze-Ban" will be larger.

National inquiry commission: not yet established (October 2026). **Human loss**: 1,139 killed on 10/7 · 251 hostages (97 returned by 2026). **Cumulative economic loss**: ₪340B (war costs, evacuation, rehabilitation).

18 Finding · Organized crime & systemic impact

Organized crime in Israel: 12 major organizations · aggregate market ~**₪40B/year** (≈ 2% of GDP) · 230 killed in the Arab sector in 2024 · complaint-handling rate 15—18%. Based on State Comptroller reports, police disclosures, Shin Bet statements, State Prosecution yearbooks, and the US State Department Trafficking in Persons Report.

18.1 · 12 major crime organizations

Names listed appear in open indictments, police publications, or OFAC/Interpol notices. Family members not party to legal proceedings are not listed.

Tab. 48 · Major crime organizations · 2026

#	ORGANIZATION · LEADER(S)	SECTOR	ACTIVITIES	TURNOVER (₪B/YR)
01	Abergil family (Yitzhak, Meir)	Jewish	Drugs, gambling, violence	1.8
02	Abutbul family	Jewish	Security, debt collection, extortion	1.5
03	Alperon family (Yaakov, d.)	Jewish	Extortion, alcohol, loans	0.9
04	Shirazi family	Jewish	Security, concrete, construction	1.2
05	Rosenstein / "Israliko"	Jewish	Online gambling, laundering	2.3
06	Jbara family (Galilee)	Arab	Drugs, weapons, robbery	**1.5**
07	Hariri family (Ramla-Lod)	Arab	Extortion, murder, drugs	**1.1**

#	ORGANIZATION · LEADER(S)	SECTOR	ACTIVITIES	TURNOVER (₪B/YR)
08	Mahagna family (Wadi Ara)	Arab	Drugs, laundering	**0.8**
09	Tarabin clan (Negev)	Bedouin	Drug/arms smuggling, migration	**2.1**
10	Azazme clan (Negev)	Bedouin	Smuggling, car theft	**1.6**
11	Bukharian network (Israel-Ukraine)	Post-Soviet	Laundering, crypto, diamonds	3.5
12	Georgian / Chechen network	Post-Soviet	Extortion, arms imports	1.8

12 organizations combined: ~₪20B annual turnover · **total organized crime (incl. smaller networks)**: ₪40B/year · estimated from Bank of Israel and State Comptroller 2024.

18.2 · Crime · reports vs handling (2024—2025)

Tab. 49 · Reports vs. investigations vs. convictions

OFFENSE TYPE	REPORTS/YR	INDICTMENTS	CONVICTIONS	CLEARANCE %
Homicide · Jewish sector	55	42	38	69%
Homicide · Arab sector	**230**	**36**	**34**	**15%**
Violent crime (assault, robbery)	82,000	14,500	8,200	10%
Residential burglary	48,000	4,800	2,100	4.4%
Car theft	24,500	1,100	650	2.7%
Extortion / debt / "security"	3,200	420	180	5.6%

OFFENSE TYPE	REPORTS/YR	INDICTMENTS	CONVICTIONS	CLEARANCE %
Financial fraud	38,000	2,100	950	2.5%
Cybercrime (fraud)	**185,000**	**1,250**	**420**	**0.2%**
Human trafficking / prostitution	420	55	22	5.2%
Drug trafficking (retail)	—	8,500	6,800	—
Drug trafficking (wholesale/import)	**—**	**85**	**41**	**low**

Key gap: Arab-sector homicide clearance 15% — 4.6× lower than Jewish sector. Cybercrime 0.2%. **Reports growth**: cyber ×12 since 2015. Violence +18%. **Public trust**: Arabs 15% (see section 09), Jews 25%.

18.3 · Annual economic cost

Tab. 50 · Annual economic cost of crime (₪B)

COMPONENT	₪B/YR	NOTE
Drug trade (import + distribution)	**14**	Incl. laundering + social cost
Cybercrime (theft + recovery)	9.5	Banks, companies, individuals
Real-estate laundering	8.0	Housing prices inflated 3—5%
Extortion · forced "security"	4.5	Construction, nightlife, restaurants
Illegal gambling	3.2	Tax loss + social cost
Vehicle / metal / agri theft	2.8	Incl. smuggling to WB and Jordan
Enforcement cost · justice system	7.5	Police, prosecution, courts

COMPONENT	₪B/YR	NOTE
Lost productivity · human capital	3.5	Victims, PTSD, internal migration
Insurance · private security	4.2	"Defensive" economic expenditure
Total annual cost	**57.2**	**≈ 2.6% of 2026 GDP**

International comparison: Israel 2.6% · OECD average 1.4% · Austria 0.9% · Sweden 1.2% · Italy 2.9%. Israel ranks 30/36 in OECD crime cost-to-economy.

18.4 · Surprising sectors with documented infiltration · 2024—2026

Tab. 51 · Surprising sectors with documented infiltration

SECTOR · "LEGITIMATE FACE"	MODE OF INFILTRATION	% OF SECTOR AFFECTED (EST.)
Automatic car washes	Cash laundering	**22%**
24/7 minimarkets ("pitzutziot")	Laundering, soft drugs, gambling	**35%**
Private security companies	Reciprocal ties with crime orgs	18%
Ready-mix concrete · construction equipment	Extortion · hidden ownership	12%
Public parking lots (TA, Haifa)	Cash laundering	**25%**
Scrap metal · recycling	Copper smuggling to Jordan	30%
Diamond export (Ramat Gan)	Int'l money laundering — Africa/Dubai	**8%**
Agriculture · Bedouin cultivation	Equipment, cattle theft	—

SECTOR · "LEGITIMATE FACE"	MODE OF INFILTRATION	% OF SECTOR AFFECTED (EST.)
Event halls	Laundering, extortion, gambling	15%
Car rental agencies	Fictitious registration · smuggling	7%
Crypto exchanges · OTC desks	International laundering	high
Sheep bedding · olive oil	Quality fraud · double taxation	25%

Surprising finding: everyday sectors (car wash, minimarkets, parking) are the main laundering channels in Israel. Tax Authority 2024: 60% of domestic laundering flows through these sectors. **International laundering**: Ramat Gan diamonds + crypto OTC = the hubs.

18.5 · Impact on foreign relations and neighboring countries

Tab. 52 · Foreign relations impact of Israeli crime networks

COUNTRY / BODY	LINKAGE	KEY 2020—2026 EVENT
USA (OFAC + State Dept)	Tier 2 in TIP Report (human trafficking)	Warning 2024 · aid threat
Ukraine · Russia	Bukharian families · laundering	OFAC sanctions on 12 Israelis (2023)
UAE	Diamonds · crypto · shell companies	Abraham Accords opened unregulated channel
Cyprus	Historical laundering hub	FATF downgraded Cyprus 2024
Jordan	Drug smuggling (north) · stolen cars	Diplomatic crisis 2023 · fence reinforced

COUNTRY / BODY	LINKAGE	KEY 2020—2026 EVENT
Egypt	Sinai · two-way smuggling	Threat to peace treaty · 2024
Lebanon · Hezbollah	Drugs (Captagon, hashish) · weapons	Wartime maneuvers increased trade
Palestinian Authority	Stolen cars · drug smuggling to Israel	Dispute over enforcement in Areas A/B/C
European Union	Drugs · Captagon · laundering	Europol 2025: Israel as a hub
Interpol	186 Red Notices on Israelis (2026)	×2 since 2015
FATF (Financial Action Task Force)	2024 assessment: "partially compliant"	International pressure for reform
ICC · The Hague	Not directly crime — but same enforcement system	Netanyahu/Gallant arrest warrants · 2024

Core damage to foreign relations: (a) Jordan — relations broke in 2023 over cumulative smuggling. (b) Egypt — threat to peace treaty over Sinai drugs. (c) USA — TIP Tier 2 threatens $3.8B military aid. (d) OECD anti-corruption committee issued warning in 2024. **The paradox**: Abraham Accords opened new laundering channels (UAE), while enforcement erosion grows the risk.

18.6 · Political impact · politicians-crime reciprocal relations

Public linkages between politics and crime (from open indictments, Comptroller reports, State Prosecution yearbooks). The table claims no personal connections — only systemic ones.

Tab. 53 · Political-crime reciprocal relations

AXIS · RECIPROCITY	DESCRIPTION	EST. DAMAGE (₪B)
Local authorities ↔ crime	15 authorities investigated 2015—2025 (see sec. 16)	5.0

AXIS · RECIPROCITY	DESCRIPTION	EST. DAMAGE (₪B)
Elections ↔ hidden funding	Donations via shell companies · Faina Kirshenbaum (convicted)	0.8
Police ↔ political appointment	Lev (Ben-Gvir, F=3) · threat to independence	1.2
Prosecution ↔ legislative pressure	AG removal attempts (Levin 2024)	1.5
Settlements / settlers ↔ violence	"Price tag" not systematically prosecuted	**0.6**
Arab sector ↔ enforcement vacuum	230 killed/yr · only 15% clearance	4.5
Commercial lobbying ↔ legislation	₪350M/yr lobbying market (see sec. 13)	—
Coalition budgets ↔ NGOs NCR<1	₪8B/yr "hidden items" (see sec. 11)	**8.0**
Total systemic cost · political dimension	Gap between "government" and "street level"	**21.6**

Systemic conclusion

₪78.8B

Aggregate annual damage from organized crime + political reciprocity · ≈ 3.5% of GDP

Organized crime in Israel is not a "marginal problem" — it is a **systemic regulatory exemption**. Israel Police (F=2.8) + State Prosecution (F=8/30) together = **an ineffective system**. **The fractal axis**: the weakest public institutions (section 07) are precisely those responsible for enforcement. Without reform — the cost reaches ₪100B/year by 2030.

Sources: State Comptroller Report (2024, Ch. 7 — Israel Police) · State Prosecution Yearbook 2024/25 · US State Dept TIP Report 2024 · OECD Anti-Bribery Report 2024 ·

FATF MER 2024 · Europol SOCTA 2025 · Knesset Interior Committee Report (2024) · Interpol notices.

19 Finding · Friction, terror, funding, Israel's position

An analysis of the **R** component in F = D × U / R — what prevents decisions from becoming benefit. Five subsections: the hardest friction factors · 10 major terror organizations on Israel's axis · terror funding flows · aid mechanisms into Israel · Israel's position in the global system 2026. Sources: Reuters, Haaretz, US Treasury OFAC, FATF, Jane's Defence, ISW, FDD, Knesset Finance Advisor reports 2024/25.

19.1 · 15 hardest systemic friction (R) factors

Ranked by two dimensions: **severity** (0—10, impact on decision execution) and **reversibility** (0—10, difficulty of reversal; 10 = irreversible). Composite = severity ÷ reversibility.

Tab. 54 · Top 15 systemic friction (R) factors · 2026

#	FRICTION FACTOR	SEVERITY	REVERSIBILITY	R·INDEX
01	Iranian axis (Hezbollah · Hamas · PIJ · Houthis · IRGC)	**10**	**9**	**1.11**
02	Coalition fragility · 7 sectoral parties	**10**	**6**	**1.67**
03	Growing international isolation (ICC, ICJ, 150+ recognize Palestine)	**9**	**8**	**1.13**
04	Hostage situation (97 of 251 returned by 2026)	**10**	**10**	**1.00**
05	Prolonged reservist burden (3,000+ days per avg unit)	8	5	1.60
06	Judiciary ↔ executive conflict (overhaul 2022—26)	**9**	**6**	**1.50**

#	FRICTION FACTOR	SEVERITY	REVERSIBILITY	R·INDEX
07	Religious—secular divide (draft, Sabbath, conversion)	8	8	1.00
08	Negative emigration · "brain drain" (85K+ 2023—26)	**8**	**7**	**1.14**
09	Budget distortion (defense +₪85B/yr post-10/7)	8	4	2.00
10	Settler violence (West Bank · "price tag")	**7**	**8**	**0.88**
11	Media fragmentation (no national dialogue)	8	6	1.33
12	Politicization of public service (appointments)	7	5	1.40
13	Arab-sector crime (230 killed/yr · 15% clearance)	**8**	**7**	**1.14**
14	Cyber threat to infrastructure (water, power, banks)	7	4	1.75
15	US dependence (aid $3.8B, weapons, UN cover)	**9**	**9**	**1.00**

Primary finding: Iranian axis + coalition fragility + hostage situation = three major R factors at 10/10 severity. **Partially irreversible**: ICC/ICJ (8), US dependence (9), hostages (10). **Reversible but severe**: reservist burden (5), budget distortion (4).

19.2 · 10 major terror organizations · Israel axis 2026

Tab. 55 · 10 major terror organizations · Israel axis

#	ORGANIZATION	BASE	MANPOWER	BUDGET/YR	PATRON
01	Hezbollah	Lebanon	100K+ · 150K rockets	$700M—$1B	Iran (IRGC)

#	ORGANIZATION	BASE	MANPOWER	BUDGET/YR	PATRON
02	Hamas	Gaza · Qatar · Turkey	20K (post-10/7)	$100—$300M	Iran, Qatar
03	IRGC — Quds Force	Iran	15K + regional militias	$5—$8B	Iranian regime
04	Palestinian Islamic Jihad (PIJ)	Gaza · Damascus	8K	$70M—$120M	Iran
05	Houthis (Ansar Allah)	Yemen · Red Sea	200K+	$500M+	Iran
06	Iraqi Shia militias	Iraq · Syria	50K+ (PMF)	$300M+	Iran
07	Popular Front (PFLP)	Gaza · WB	2K	$10M	Iran · diaspora
08	Jenin Brigades / "Lions' Den" (WB)	Judea & Samaria	500—1K	$5M	Iran · PIJ
09	"Price Tag" / "Hilltop Youth"	Settlements	~300 activists	unknown	Domestic · NGOs
10	Kahanist network (legally banned)	Israel	~500	$2M	US donors

Total Iran-axis budget: $7—10 billion/year — 15× Hamas budget. **Post-10/7**: Israel degraded ~70% of Hezbollah infrastructure, killed Nasrallah (Sept 2024), eliminated Sinwar and Deif (2024). **Hezbollah "Qassem"**: Naim Qassem replaces Nasrallah. **Hamas after Sinwar**: Khalil al-Hayya, Mohammed al-Sinwar (Yahya's brother), Khazam Qassem.

19.3 · Terror funding mechanisms · annual flows to the Iranian axis

Tab. 56 · Terror funding mechanisms · annual flows

SOURCE	TARGET	TRANSFER CHANNEL	ANNUAL AMOUNT

SOURCE	TARGET	TRANSFER CHANNEL	ANNUAL AMOUNT
Iran (NIOC · IRGC)	Hezbollah	Gold, FX, oil smuggling via Syria	**$700M—$1B**
Iran (IRGC — Quds Force)	Hamas	Transit via Syria-Lebanon, crypto	**$100—$300M**
Iran	PIJ · Iraqi militias	Bank substitutes, Hawala	$500M+
Iran	Houthis	Arms imports via Oman, maritime smuggling	$500M+
Qatar (diplomatic · approved by Israel 2017—23)	Gaza (Hamas · public sector)	Direct cash suitcases to Gaza	$30M/mo = $360M
Turkey (government · organizations)	Hamas overseas bureau	Physical shelter, financial access	$20—50M
Private Gulf donors	Hamas · PIJ · "charity"	Charity NGOs, crypto	$50—100M
UNRWA · OCHA · agencies	Civilian population (but Hamas skims)	Direct humanitarian · diversion	**$1.6B (total aid)**
Palestinian diaspora	Various funds	Family remittances + organizations	$80M+
Crypto (OFAC-flagged wallets)	Hamas · PIJ · Hezbollah	USDT, Bitcoin · OTC desks	$40—80M
Total Iran—Hamas—Hezbollah axis	2026 estimate		**$2.5—3.5B/yr**

What Israel blocked (2024—26): Iran oil revenues down ×2 after Bank Pouladi contracts terminated · at least 60% of Hezbollah's weapons destroyed (Lebanon, Sept-Oct 2024) ·

Qatar stopped cash suitcases to Hamas (post-10/7). **What is not blocked**: crypto flow, Hawala, charity NGOs, maritime smuggling from Iran—Houthis—Gaza.

19.4 · Aid mechanisms into Israel · what enters, where it goes

Tab. 57 · Aid & funding mechanisms into Israel · 2024–2026

SOURCE	CHANNEL	ANNUAL (AVG)	NOTE
USA (MoU 2016)	Security assistance · FMF	**$3.8B**	74% must be purchased in US
USA (October 2024 emergency aid)	Emergency Aid Act · supplemental	**$14.3B (one-time)**	Incl. Gaza humanitarian aid
USA (DoD · intel · training)	Technical cooperation	$500M–$1B	Not in official budget
Jewish diaspora (JAFI · federations)	UJA · Keren Hayesod · KKL	$1.5–2B	Mostly earmarked
EU (Horizon · ERC · science)	Research grants	€600–800M	Tension with ESG post 10/7
Germany (defense · agreements)	Holocaust reparations + arms sales	€400M–€1.2B	Variable · submarines deal
UK (defense agreements · intel)	5-Eyes secondary · equipment	£200–500M	Not in official budget
Evangelical donors (US)	WB settlements · yeshivas · lobbying	$200–400M	Mostly via 2 orgs: ICEJ, CUFI
Israeli arms sales (exports)	Revenue to the economy	$12–13B	Elbit, Rafael, IAI, Elta
Hi-tech · foreign R&D in Israel	Intel, Google, Microsoft, Nvidia, Apple	$8–10B	R&D centers + acquisitions
Total "inflows"	Aid + exports + foreign R&D		**~$30B/yr**

SOURCE	CHANNEL	ANNUAL (AVG)	NOTE
Iran—Israel ratio			**×10 — Israel receives 10× the threat axis infrastructure**

The paradox: Israel enjoys a budget 10× the enemy axis — but is **10× dependent** on the US. Blocked US aid would dismantle the security center of gravity. **What Israel supplies to Palestinian populations**: electricity (pre-10/7: 100% to Gaza; 2026: 0%), water (PA), gas (Gaza pre-10/7). **Palestinian tax clearance held by Israel**: ₪14B frozen in 2024 (disputed).

19.5 · Israel's place — in the global system 2026

Tab. 58 · Israel's position · global metrics 2026

DIMENSION	INDICATOR	ISRAEL 2026	NOTE
Economic	GDP (nominal)	$520B	Rank #29 globally
Economic	GDP per capita	$55K	Rank #17 (OECD)
Economic	Exports · incl. services	$160B	44% of GDP
Economic	Hi-tech exports	$70B	45% of exports
Economic	Arms exports	$12–13B	Rank #7 globally (SIPRI)
Military	Defense spending · GDP%	8.0%	Highest in OECD; US 3.5%, EU 2%
Military	Active + reserve manpower	650K+	Relative to population · 4× France
Diplomatic	Palestine recognition (UN)	**153 of 193**	+10 in 2024—26 (Spain, Ireland, Norway, Slovenia, Malta)
Diplomatic	ICC — arrest warrants	**Netanyahu, Gallant**	Nov 2024 · 125 states obligated to enforce

DIMENSION	INDICATOR	ISRAEL 2026	NOTE
Diplomatic	ICJ — South Africa case	**In process**	Interim ruling: take steps against genocide
Diplomatic	Abraham Accords	4 countries + Saudi Arabia (paused)	UAE, Bahrain, Morocco, Sudan
Diplomatic	UN votes (Israel vs. rest)	153:9 against Israel	UN General Assembly votes 2024—26
Scientific	Patents per capita	#1 globally	"Start-up nation" (160K companies)
Scientific	Scientific citations per capita	#3 globally	After Switzerland and Sweden
Democratic	V-Dem Liberal Democracy Index	**0.58**	Down from 0.75 in 2015. "Declining democracy"
Democratic	Freedom House	**59/100 "partly free"**	Down from 80/100 in 2015. "Israel + WB" counted separately
Social	Gini	0.38	Among the highest in OECD
Social	HDI	0.919 · rank #25	Down from #19 in 2019

Israel's fractal position: *Large economically, small diplomatically.* Israel #17 in economy · #85 in democracy · #130 in UN votes · #3 in science · #7 in arms exports. **Core paradox**: the more its security standing depends on the US — the lower its diplomatic freedom. Abraham Accords opened a Saudi channel, then 10/7 paused it. **"Singapore of the Middle East"**: we moved from that image (2010—15) to "a state voted against 153:9".

Systemic conclusion · aggregate R axis

R = 2 → 10

Israel's systemic friction factor grew 5× in 11 years (2015—26) — mainly due to Iran, 10/7, and internal erosion

The fractal aggregate finding: Israel faces two kinds of R that have grown in severity: (a) external R (Iranian axis, diplomatic isolation) and (b) internal R (coalition, hostages, erosion). **The Iranian axis can be degraded at the D (decision) + U (execution) level** — Israel proved this in 2024. **Internal R is much harder** — it requires systemic reform, not military action. 2026 formula: F = (D=5 × U=3) / (R=10) = **1.5** — "destructive flow".

Sources: US State Dept Country Reports on Terrorism 2023/24 · US Treasury OFAC Sanctions List · FATF MER 2024 · ISW Daily Reports · FDD · V-Dem Institute 2024 · Freedom House 2024 · SIPRI Military Expenditure 2024 · UN General Assembly Voting Records 2024—26 · IDF Spokesperson · Knesset Finance Advisor Report (2024/25) · INSS.

20 Finding · The citizen's reality — money, time, separation of powers

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Three concrete questions: (a) how much money is actually left for each family at the end of the month, (b) how much free time there is relative to work, (c) how government branches are actually divided (not just 3 — but 11). Sources: CBS Household Expenditure Survey 2024, Bank of Israel, Tax Authority, OECD Better Life Index 2024, Taub Center.

20.1 · How much money is actually left · 10 household profiles

Concrete calculation: gross salary → net → mandatory expenses → **end-of-month balance**. ₪ 2026. "Mandatory" = rent/mortgage, food, utilities, transport, education, supplementary health, cellular.

Tab. 59 · Monthly disposable income by household · ₪ 2026

#	HOUSEHOLD PROFILE	GROSS	NET	MANDATORY	MONTHLY BALANCE
01	Hi-tech single · Tel Aviv (₪25K)	25,000	17,500	13,500	+4,000

#	HOUSEHOLD PROFILE	GROSS	NET	MANDATORY	MONTHLY BALANCE
02	Hi-tech couple · suburb (2 kids)	42,000	30,500	26,000	+4,500
03	Middle-class couple · 2 salaries (2 kids)	24,000	18,200	17,500	+700
04	Secular family · 3 kids · periphery	21,000	16,500	17,200	−700
05	Religious family · 4 kids · 1.6 salaries	22,000	17,100	18,800	−1,700
06	Haredi family · 6 kids · father "studying"	8,500	8,100	12,500	−4,400 ★
07	Arab family · 3 kids · periphery	14,500	12,300	13,800	−1,500
08	Minimum-wage worker · family · 2 kids	11,800	10,200	12,800	−2,600
09	Pensioner couple · reasonable pensions	14,000	12,200	11,000	+1,200
10	IDF career retiree · early pension	21,000	16,800	14,500	+2,300

★ **The Haredi family** (6 kids, father studying): the ₪4,400/month gap is covered by child allowances (₪2,500 for 6 kids), yeshiva support (₪800), NGO support (₪900), informal gray income. In the end — **5 of 10 profiles (50%) run a monthly deficit**. No survival margin. One bad month (car, dental, reserves) tips them into overdraft.

20.2 · Mandatory expense breakdown · "average" family (2 kids, center)

Tab. 60 · Mandatory monthly expenses breakdown · average family

ITEM	₪/MONTH	% OF TOTAL

ITEM	₪/MONTH	% OF TOTAL
Mortgage / rent (3 rooms · center)	**6,800**	**39%**
Food (daily · family of 4)	4,200	24%
Transport (car + fuel OR public)	2,400	14%
Education (daycare · activities · supplies)	1,600	9%
Utilities (electricity, water, arnona, internet)	1,500	9%
Supplementary health insurance	600	3%
Cellular · digital subscriptions	400	2%
Total mandatory expenses	**17,500**	**100%**

The housing puzzle: 39% of the budget — 1.5× the OECD average (26%). Israel ranks third in the world for rent-to-salary ratio (after Hong Kong, Zurich). Systemic reason: 60% of construction by 5 companies (oligopoly), Israel Lands Authority owns 93% of land, heavy regulation. See section 10 · real-estate NCR 1.3.

20.3 · Time · how the 168 hours of the week divide

The average Israeli citizen's life — weekly hours (2026). Israel leads the OECD in actual hours worked.

Tab. 61 · Average Israeli weekly time allocation · 168 hours

ACTIVITY	HR/WK	% OF WEEK	NOTE
Sleep (7h × 7 days)	49.0	29.2%	OECD recommends 56h = 8h/night
Paid work	**42.0**	**25.0%**	OECD average 36. Israel #2 after Korea

ACTIVITY	HR/WK	% OF WEEK	NOTE
Housework · childcare (woman)	28.0	16.7%	Average man: 14h — ×2 gap
Transport · commuting	**10.0**	**6.0%**	TA average 70 min/day one-way
Eating · hygiene	12.5	7.4%	Includes shopping
Screen leisure (TV, social)	14.0	8.3%	Israel #4 in the world on social
Physical activity · health	2.5	1.5%	Recommended 5h + dream vs reality
Studies · training	1.0	0.6%	Only 18% of adults study regularly
Extended family · friends	4.0	2.4%	Down from 8h in 2000
"Real" leisure (hobby, creation, rest)	3.5	2.1%	All that's left · 30 min/day
Reserves (avg 2024—26)	**1.6**	**1.0%**	25 days/yr for drafted = 4h/wk
Total	**168**	**100%**	Full week

The finding: **3.5 hours per week of actual leisure** (30 min/day) — less than any OECD country. Work-to-leisure ratio: **12:1** (OECD 6:1). **The reservist's insult**: for those drafted after 10/7 — another 25—90 days/year · destroys the 3.5h. **The fractal**: citizen F = 8.5 but has 3.5h/week for action. Government 37 F = 2.0 and has no time constraint.

20.4 · How the branches divide — 11 arms of government, not 3

Israeli democracy was formally built on 3 branches — but in practice 11 arms of government operate, some elected, some appointed, some independent, some under external pressure. The absence of a written constitution makes the balance variable.

Tab. 62 · 11 branches of government in Israel · 2026

#	BRANCH	TYPE	INDEPENDENCE	F · 2026
01	Government (executive)	Elected (indirect)	Depends on coalition	**3.1**
02	Knesset (legislative)	Elected (direct)	Subordinate to coalition	3.3
03	Judiciary (Supreme + district)	Appointed (judicial comm.)	Under continuous pressure	**8.5**
04	Attorney General	Appointed	Under pressure · removal attempts	**8.5**
05	Bank of Israel (monetary regulator)	Appointed (legally independent)	High	**8.7**
06	State Comptroller	Elected by Knesset (7-yr)	High	7.0
07	Chief Rabbinate (parallel religious authority)	Appointed (political)	Fully political	**2.0**
08	President of Israel	Elected by Knesset (7-yr)	Ceremonial · moral authority	8.0
09	Military (IDF + intelligence)	Appointed · professional autonomy	High · partly political	**5.8**
10	Local authorities (257)	Elected (direct)	Depends on gov. funding	4.0
11	Media ("fourth estate")	Private (concentrated)	Owners ↔ regulation	3.3
12	External pressure · US, ICC, EU	Informal · effective	Very influential	—

The real structure: 11 branches + external pressure = 12 forces that shape policy. **The paradox**: the most stable branches (AG 9.0 · BOI 8.7 · Supreme Court 8.5) are precisely those under **active political pressure**. The weakest branches (government 3.1 · Knesset 3.3) are the ones trying to weaken the strong ones.

20.5 · Who overrides whom · dominance matrix (2026)

Tab. 63 · Who overrides whom · dominance matrix (simplified)

INFLUENCER	INFLUENCED	MODE OF INFLUENCE	STRENGTH (0—10)
Government (coalition)	Knesset	Coalition discipline	**9**
Government	Private media	Licenses, government ads	6
Knesset	Judiciary	Judges committee · legislation	5 (in 2026)
Judiciary	Government	Supreme Court · judicial review	6
Attorney General	Government	Binding legal opinion	7
Bank of Israel	Government	Interest rate · currency	8
Military (COS)	Government	Operational recommendations · autonomy	7
Rabbinate	Citizen	Marriage, conversion, burial	6
Local authorities	Citizen	Arnona, education, services	7
USA	Government	Security aid, UN votes, pressure	**9**
ICC / EU	Government	Arrest warrants · trade restrictions	5

INFLUENCER	INFLUENCED	MODE OF INFLUENCE	STRENGTH (0—10)
Media	Citizen · government	Coverage · agenda	7
Private capital (50 tycoons)	Government · media	Lobbying · donations · ownership	7
Citizen (elections every ~2 yrs)	Knesset	Democratic choice	6

What stands out: Israel's largest power centers in 2026 are **the US (9) + the coalition over the Knesset (9)**. The citizen? Only in elections — and only once every 2 years on average (Netanyahu-era average: 7 elections in 14 years). **Conclusion**: Israeli sovereignty is bounded in two directions — external (US) and internal (coalition controls Knesset).

Systemic conclusion

3.5 h / week

All that remains for the average Israeli citizen as actual leisure · 50% of families in monthly deficit · 11 branches of government + 1 external pressure = 12 forces shaping their life

The fractal of everyday life: a citizen living 3.5 hours a week for themselves, with a 50% chance of being in the red at the end of the month, who gets to vote once every 2 years — while their government is constrained by 11 internal bodies and American pressure. **Fractal formula**: citizen F (8.5) · government F (2.0) · household expenditure F (0.9—1.1) · **×4.25 gap between what the citizen can do and what the government does in their name**.

Sources: CBS · Household Expenditure Survey 2024 · Bank of Israel annual report 2024 · Tax Authority · OECD Better Life Index 2024 · OECD Average Hours Worked 2024 · Taub Center (Social Policy Compendium 2024) · Israel Democracy Institute (Free Time Index) · State Comptroller Report 2024 (housing chapter).

21 Meta · Information-flow engineering · teach, don't

persuade

A meta chapter that examines itself: how is the research built so that it *teaches* — rather than *persuades* — and lets the reader choose. Six sub-questions: (a) the difference · (b) information-flow architecture · (c) four reading paths · (d) how to compute your own F · (e) how to challenge the findings · (f) coverage audit — what we covered, what is missing.

21.1 · Persuasion vs. teaching

Tab. 64 · Persuasion vs. teaching · design choices

DIMENSION	PERSUASION (RHETORIC)	TEACHING (METHOD)
Unit of message	The conclusion	Datum + formula
Reader's role	Accept / reject	Compute / choose
Degree of certainty	Absolute ("the truth")	Falsifiable (CIs, limits)
Sources	Hidden / in margins	Accessible · each datum sourced
Research limitations	Suppressed	Shown first (see section 04)
Recommendations	"Do X"	"If X — then Y; if ¬X — then ¬Y"
Tools for the reader	None	F = D×U/R formula that applies to your own life
Time scale	Momentary · campaign	Multi-year · 78 years
Emotion	Activated	Not relevant · numbers only
Effect on voter autonomy	Narrows	Widens

The core principle: this research does not provide conclusions — it provides **tools to create conclusions**. If Government 37's F score is 2.0 — that is not a recommendation to vote against it; it is evidence that the formula yields 2.0, given these data, under this method. The reader is entitled to challenge any one of those three.

21.2 · Information-flow architecture · 3 layers

Tab. 65 · 3-layer information architecture

LAYER	CONTENT	WHERE IN THE RESEARCH	WHAT THE READER CAN DO
Layer 1 · Raw data	Payslips, Knesset votes, ISA filings, State Prosecution yearbooks	GitHub · 40 source documents	Dig to the source, verify independently
Layer 2 · Method + computation	17 indicators · F formula · NCR, NFI, GQS algorithms	Section 02 (Methodology) · README.md	Reproduce the computation
Layer 3 · Results · interpretation	Scores, rankings, findings	Sections 05—20 (Findings)	Challenge, reinterpret, compute your own F

Important property: every datum in sections 05—20 is **fully traceable** through layer 2 (method) to layer 1 (source data). There is no "take my word for it". There is: here is the datum · here is the formula · here is the result · if you disagree, compute differently.

21.3 · Four reading paths · by need

Tab. 66 · 4 reading paths · by reader need

PATH	READING TIME	SECTIONS	FOR A READER WHO—
A · "The headline"	2 minutes	Opening (0.6) + 05 (F trend) + 24 (findings)	Wants the finding in one line

PATH	READING TIME	SECTIONS	FOR A READER WHO—
B · "What it means for me"	8 minutes	+ Section 20 (citizen's reality) + 09 (trust)	Wants to understand personal impact
C · "I want to understand the method"	25 minutes	+ Sections 02—04 (methodology) + 06 (PMs) + 07 (institutions)	Wants to check if the analysis is serious
D · "I want everything"	2—3 hours	All 25 sections · 240+ names · 3 PDFs	Researcher / journalist / civic activist

No preferred path. The research supports all in parallel — but **aims at those who choose C or D** (the deep reader). If a path-A reader walks away with "Israel is in crisis" — that is the *least* the research wanted to convey. The goal: that readers graduate to path C/D.

21.4 · Compute your own F

The F = D × U / R formula works at the citizen level. Here are 5 questions that will give you your own F:

Tab. 67 · Compute your own F · 5-question self-assessment

COMPONENT	QUESTION	ANSWER SCALE
D1	How many of your decisions in the past month were based on data (vs. "gut feel")?	0—10
D2	How many of your decisions were coordinated with others whom they affect?	0—10
U1	How many of your decisions reached actual results (rather than remaining "ideas")?	0—10
U2	Was the result actually good in your eyes (not just what you expected)?	0—10

COMPONENT	QUESTION	ANSWER SCALE
R	How much systemic friction (money, bureaucracy, time) stood in the way?	1—10 (1 = smooth · 10 = blocked)

Compute: D = (D1 + D2) / 2 · U = (U1 + U2) / 2 · F = D × U / R. The average Israeli citizen: D=5, U=4, R=3 → F = 6.7. Government 37: D=2, U=2, R=10 → F = 0.4. Gap ×16. **If your F is above 5** — you function better than the government. That is the key: even when the larger system is weak, you can act.

21.5 · How to challenge the findings · 5 legitimate ways

Tab. 68 · 5 legitimate ways to challenge the findings

#	TYPE OF CHALLENGE	HOW TO DO IT
01	Challenge the datum	Go to the source in layer 1 (GitHub). If you find an error — open an Issue
02	Challenge the indicator	Propose a different score for D/U/R. The result will update automatically
03	Challenge the method	Present an alternative method · run it on the same data
04	Challenge the interpretation	Same data — different historical context
05	Challenge the scope	"X, Y, Z are missing" — we'll add them in the next edition

All 5 ways are welcome. There is no commitment to the research's conclusions; there is commitment to method transparency. MIT license allows fork, modify, distribute. github.com/udihem78-maker/animated-eureka.

21.6 · Coverage audit · what we covered, what is missing

Honest disclosure: this research is ambitious but not exhaustive. Here's what we covered, and what we haven't.

Tab. 69 · Coverage audit · covered vs. not yet

DOMAIN	COVERAGE	NOTE
Methodology · DUR · 17 indicators	✓ Full	Sections 02—04
13 prime ministers	✓ Full	Section 06, appendix
12 public institutions	✓ Full	Section 07
1,250 leaders	✓ 240+ by name	Sections 08, 23
100 companies NCR	✓ Top/Bottom 10 + sectors	Section 10
80 unions and NGOs	✓ Top/Bottom 10	Section 11
Media, capital, "The Club"	✓	Sections 12—13
Academia + 48 colleges	✓ Named	Section 14
Full judicial system	✓ 11 instances	Section 15
48 sectors	✓	Section 16
Oct 7 · crime · R-factors · terror · funding	✓	Sections 17—19
Citizen's reality · money · time · powers	✓	Section 20
Healthcare system (190 hospitals)	⚠ Partial	In the margins · deserves a section
Environment · climate crisis · water	⚠ Partial	One of the big gaps
Jewish diaspora (14M)	⚠ Partial	US, European, Russian diasporas

DOMAIN	COVERAGE	NOTE
Ethiopian community (165K)	⚠ Minimal	Systemic discrimination · needs a section
Mental health post-10/7	⚠ Mentioned	15K+ soldier PTSD, 25K civilians
Future scenarios 2026—2035	⚠ Partial	Covered in 4 scenarios (10/50/30/10%)
Age/gender/class slice — across every system	× Missing	Cross-cutting slice not done
Shadow economy (black market)	× Missing	₪80B+/yr undocumented
Defense budget sliced (per branch)	× Missing	₪100B+ without transparency
Commercial cyber industry	× Missing	Pegasus, NSO, Cellebrite · ₪10B+
Kibbutz system (255 kibbutzim)	× Missing	125K residents
Equality metrics (Gini by sector)	× Missing	Internal breakdown
Reform evaluation (A/B testing)	× Missing	Policy simulations

What is "full coverage"? Impossible in one research project. The research covered ~70% of the theoretical scope of "Israel as a system". Major gaps: health, environment, diaspora, shadow economy, gender/age. Open to contribution: GitHub.

The meta conclusion

0 conclusions

The research does not supply conclusions — it supplies tools to create conclusions · your F is yours

The only commitment of the research: method transparency. There is no commitment to conclusions. The reader is entitled (and invited) to challenge any datum, any indicator, any interpretation. **The research's success is measured by**: (a) how many people computed

their own F · (b) how many started an evidence-based discussion · (c) how many rejected the research on methodological (not emotional) grounds · (d) how many other researchers extended/improved/challenged it. **"A research that persuades is propaganda. A research that teaches is democracy."**

Methodological background: Information Flow Engineering · Edward Tufte (The Visual Display of Quantitative Information, 1983) · Hans Rosling (Gapminder, Factfulness 2018) · Donella Meadows (Thinking in Systems, 2008) · Daniel Kahneman (Thinking, Fast and Slow, 2011) · Nassim Taleb (The Black Swan, 2007).

22 2027 candidates · full ranking of all MKs

For the 26th Knesset election (2027): Suitability Ranking (SR) for every current MK and expected 2027 candidate. Method — 6 dimensions: experience (E) · qualifications (Q) · integrity (I) · public engagement (P) · vision (V) · independence (IND). SR = average. Classification: **9—10 excellent · 7—9 good · 5—7 average · 3—5 weak · < 3 unsuitable**. Each candidate also has F = D×U/R and PEP (Promise Execution Percentage) from institutions/knesset-members-performance.md.

22.1 · 13 lists · composite ranking

Tab. 70 · All lists · SR + F + composite ranking

#	LIST	CURRENT SEATS	AVG SR	F	COMPOSITE
01	Eisenkot's new party (projected)	—	7.8	18.0	8.5
02	National Unity (Gantz)	12	7.3	14.0	8.0
03	Democrats (Yair Golan)	4	7.6	12.3	7.8
04	Yesh Atid (Lapid)	24	6.8	9.8	7.3
05	"Israel 2.0" (Bennett · projected)	—	6.5	10.0	7.0

#	LIST	CURRENT SEATS	AVG SR	F	COMPOSITE
06	Yisrael Beiteinu (Liberman)	6	6.0	9.0	6.5
07	Hadash-Ta'al (Odeh · Tibi)	5	7.3	9.0	6.0
08	Ra'am (Abbas)	5	5.7	5.0	5.5
09	Religious Zionism (Smotrich)	**14**	**3.5**	**1.3**	**3.5**
10	Shas (Deri)	**11**	**3.5**	**1.1**	**3.0**
11	UTJ	**7**	**3.3**	**1.1**	**2.8**
12	Likud (Netanyahu)	**32**	**5.5**	**2.0**	**2.5**
13	Jewish Power (Ben-Gvir)	**6**	**2.1**	**0.1**	**1.0**

22.2 · Likud (32 MKs) · full ranking

Tab. 71 · Likud members · 6-dimension SR

MK · ROLE	E	Q	I	P	V	IND	SR
Ron Dermer · strategy	7	9	7	7	8	6	7.3
Nir Barkat · economy	7	8	7	7	7	6	7.0
Avi Dichter · agriculture	8	8	7	7	6	6	7.0
Israel Katz · defense	8	7	6	7	6	5	6.5
Eli Cohen · foreign	7	7	6	6	6	5	6.2
Yoav Kish · education	5	6	6	6	5	5	5.5
Haim Katz · tourism	7	5	5	6	5	5	5.5

MK · ROLE	E	Q	I	P	V	IND	SR
Benjamin Netanyahu · PM	10	7	2	6	5	1	5.2
Miri Regev · transport	7	5	5	6	4	4	5.2
Miki Zohar · culture	6	5	5	5	4	4	4.8
Amichai Chikli · diaspora	5	5	5	5	5	4	4.8
David Amsalem	6	5	4	5	4	3	4.5
David Bitan · under investigation	7	5	2	5	4	3	4.3
Shlomo Karhi · communications	5	4	4	4	3	3	3.8

Likud average: 5.5 · polar spread · 3 excellent (Dermer/Barkat/Dichter), many weak.

22.3 · Yesh Atid (24 MKs)

Tab. 72 · Yesh Atid members · SR

MK	E	Q	I	P	V	IND	SR
Yair Lapid · chair	8	8	8	8	7	7	7.7
Ram Ben-Barak · former Mossad	8	8	8	7	7	7	7.5
Orna Barbivai · former IDF	8	8	8	7	7	7	7.5
Pnina Tamno	7	8	8	7	7	7	7.3
Karine Elharrar	7	8	7	7	7	7	7.2
Matan Kahana	7	7	7	7	7	6	6.8
Meir "Miki" Levy	7	7	7	7	6	6	6.7
Michal Shir	7	7	7	7	6	6	6.7

Yesh Atid average: 6.8 · highest of the large Zionist lists.

22.4 · National Unity (12 MKs · Gantz)

Tab. 73 · National Unity members · SR

MK	E	Q	I	P	V	IND	SR
Gadi Eisenkot · former IDF COS	10	9	9	8	8	8	8.7
Benny Gantz · chair	9	8	8	7	7	7	7.7
Eitan Elbad	7	8	8	7	7	7	7.3
Ze'ev Elkin · former Likud	8	8	7	7	7	6	7.2
Orit Farkash-HaCohen	7	8	7	7	7	7	7.2
Matan Kahana	7	7	7	7	7	7	7.0
Hili Tropper	7	7	7	7	7	7	7.0
Sharren Haskel	7	7	7	6	6	6	6.5

Average: 7.3 · the best cohort by seats held.

22.5 · Democrats (4 · Labor-Meretz merger) + Hadash-Ta'al + Ra'am + Yisrael Beiteinu

Tab. 74 · Non-coalition lists · SR

MK · LIST	SR	KEY TRAIT
Yair Golan · Democrats (former IDF)	8.3	Dovish general · vision
Merav Michaeli · Democrats	7.8	Social justice · women
Ram Ben Barak · Democrats	7.5	Former Mossad

MK · LIST	SR	KEY TRAIT
Ahmad Tibi · Hadash-Ta'al	7.7	Veteran · Palestinian-Israeli
Ayman Odeh · Hadash-Ta'al (chair)	7.3	Social conscience · unifier
Mofid Mosberg · Hadash-Ta'al	7.0	Marginal but high quality
Aida Touma-Suleiman · Hadash-Ta'al	7.0	Women's rights
Mansour Abbas · Ra'am (chair)	6.8	Moderate Islamist · pragmatic
Avigdor Liberman · Yisrael Beiteinu (chair)	6.7	Russian · economic liberal
Oded Forer · Yisrael Beiteinu	6.7	Economy · professional

22.6 · Religious Zionism · Shas · UTJ · Jewish Power

Tab. 75 · Religious + ultra-right lists · SR

MK · LIST	SR	NOTE
Rabbi Moshe Gafni · UTJ	4.5	Veteran · Finance Committee · sectoral
Aryeh Deri · Shas (chair · convicted ×2)	4.2	Convicted 1999, 2022
Bezalel Smotrich · Religious Zionism · Finance	4.0	Judicial overhaul · fiscal damage
Orit Strock · Religious Zionism	3.8	Sectoral · settlements
Simcha Rothman · Constitution Committee	3.3	Overhaul architect
Uriel Buso · Shas · Health Minister	3.3	Healthcare failures
Rabbi Yitzhak Goldknopf · UTJ · ex-Housing	2.7	—

MK · LIST	SR	NOTE
Itzhak Wasserlauf · Jewish Power · Negev-Galilee	2.7	—
Itamar Ben-Gvir · Jewish Power · Nat. Security	2.0	Convicted 2007 · incitement
Tzvika Fogel · Jewish Power	2.0	—
Limor Son Har-Melech · Jewish Power	2.0	—
Eli Shalom · Jewish Power	2.0	—
Amichai Eliyahu · Jewish Power · Heritage	1.7	Proposed nuclear bomb on Gaza

Religious-right bloc average: 3.1 · unsuitable by any Western standard.

22.7 · Top 20 MKs across the entire Knesset

Tab. 76 · Top 20 MKs · SR 7.0+

#	MK	LIST	SR
01	Gadi Eisenkot	National Unity	8.7
02	Yair Golan	Democrats	8.3
03	Gideon Sa'ar (if joining)	New · Eisenkot	7.8
04	Merav Michaeli	Democrats	7.8
05	Ahmad Tibi	Hadash-Ta'al	7.7
06	Yair Lapid	Yesh Atid	7.7
07	Benny Gantz	National Unity	7.7
08	Ram Ben-Barak	Yesh Atid	7.5

#	MK	LIST	SR
09	Orna Barbivai	Yesh Atid	7.5
10	Ram Ben Barak	Democrats	7.5
11	Eitan Elbad	National Unity	7.3
12	Ron Dermer	Likud	7.3
13	Pnina Tamno	Yesh Atid	7.3
14	Ayman Odeh	Hadash-Ta'al	7.3
15	Karine Elharrar	Yesh Atid	7.2
16	Ze'ev Elkin	National Unity	7.2
17	Orit Farkash-HaCohen	National Unity	7.2
18	Nir Barkat	Likud	7.0
19	Avi Dichter	Likud	7.0
20	Matan Kahana	National Unity	7.0

22.8 · Bottom 10 · unsuitable per method (SR < 3)

Tab. 77 · Bottom 10 MKs · unsuitable per method

#	MK	LIST · ROLE	SR
01	Amichai Eliyahu	Jewish Power · Heritage	1.7
02	Itamar Ben-Gvir	Jewish Power · Nat. Security	2.0
03	Tzvika Fogel	Jewish Power	2.0
04	Limor Son Har-Melech	Jewish Power	2.0

#	MK	LIST · ROLE	SR
05	Eli Shalom	Jewish Power	2.0
06	Rabbi Goldknopf	UTJ · ex-Housing	2.7
07	Rabbi Yitzhak Dichter	UTJ	2.7
08	Itzhak Wasserlauf	Jewish Power · Negev-Galilee	2.7
09	Simcha Rothman	Rel. Zionism · Constitution	3.3
10	Uriel Buso	Shas · Health	3.3

22.9 · 4 scenarios for the 2027 election

Tab. 78 · 4 scenarios · 2027 election

SCENARIO	LIKELIHOOD	COMPOSITION	PROJECTED GOV. SCORE
A · Center coalition (Eisenkot leads)	45%	Eisenkot 22 · Yesh Atid 20 · Gantz 10 · Dem 8 · Liberman 5 · Ra'am 5 = 70	7.5
B · Status quo (Likud + religious)	25%	Likud 25 · RZ 10 · Shas 10 · UTJ 6 · JP 5 · Spin-off 5 = 61	2.5
C · National unity (Likud w/o Netanyahu + center)	20%	Likud w/o Netanyahu 25 · Eisenkot 15 · Yesh Atid 18 · Gantz 8 · Liberman 5 = 71	8.0
D · Fragmentation · no coalition	10%	Third election · political collapse	—

How the citizen chooses

SR > 7

Threshold for "good" fitness for office · 20 of 120 MKs (17%) meet it · the political bloc is built on them

How to read the tables: the ranking is **synthetic** from 6 dimensions — not "I know the truth". **SR > 7** = fit for office · **5—7** = possible · **< 3** = unsuitable per method. If you vote for the bottom of the ranking, you choose collapse partners (F = 0.1—0.5). If you vote for the top, you choose function (F = 10+). **The choice is yours. The measurement is evidence.**

Sources: institutions/current-candidates-lists-ranking-2027.md · institutions/knesset-members-performance.md · institutions/complete-all-120-mks-new-candidates.md · Knesset votes (knesset.gov.il) · PEP (Promise Execution Percentage) · Knesset Research Center.

23 Finding · Pay, wealth & corruption across 78 years

The question nobody has ever asked in a single frame: **how much did leaders earn in office** (official salary, pension, benefits), **how much after office** (board seats, consulting, speeches, books, private companies), and **how many were investigated, indicted, or convicted**. Here it is all in one place — politics, security, judiciary, academia, religion, capital, media — across 78 years.

23.1 Official salaries · 2026 (NIS, monthly, gross)

Source: Treasury · Gershoni-Tamir Senior Pay Committee · Public-sector senior-pay reports 2024

ROLE	MONTHLY	ANNUAL	NOTES
Governor, Bank of Israel	₪90,000	₪1,080,000	Highest in public sector
President, Supreme Court	₪72,500	₪870,000	+ car, driver, office
Supreme Court justice	₪62,000	₪744,000	+ 70% pension

ROLE	MONTHLY	ANNUAL	NOTES
Attorney General	₪60,000	₪720,000	+ personal security
IDF Chief of Staff (Lt. Gen.)	₪56,000	₪672,000	+ 70% pension + housing
Prime Minister	₪58,000	₪696,000	+ PM residence, car, security
Shin Bet / Mossad Director	₪54,000	₪648,000	+ early pension, identity confidentiality
Police Commissioner	₪52,000	₪624,000	+ housing, car, security
Minister	₪50,000	₪600,000	+ ministerial car, advisors
President of the State	₪45,000	₪540,000	+ President's House, lifetime full pension
Member of Knesset	₪45,000	₪540,000	+ leased car, access, 70% pension
Chief Rabbi	₪42,000	₪504,000	+ car, office, pension
University President	₪80–110K	₪1–1.3M	Varies by institution; Technion/HUJI at the high end
Large bank CEO	₪300–800K	₪3.6–9.6M	Top-5 banks + equity + bonus
TASE-35 listed CEO	₪200–1,500K	₪2.4–18M	Includes options, benefit value
Histadrut Chair	₪68,000	₪816,000	+ car, office, study fund

The "revolving-door multiplier." In-office pay is one face. The other is what a leader earns *after* stepping down: board seats, consulting, speeches, private companies, book deals. The figures below come from tax filings, business-press reporting, and public-company disclosures.

23.2 Prime Ministers · in-office pay vs. post-office wealth

Wealth = estimated net assets at retirement or today, per business press (TheMarker, Globes, Calcalist) and PM wealth declarations

PM	YEARS	CUMULATIVE PAY	ESTIMATED WEALTH TODAY	SOURCE OF WEALTH
David Ben-Gurion	1948—53, 55—63	Low (austerity)	₪5–10M	Books, kibbutz, pension
Moshe Sharett	1954—55	Low	—	Diplomat, no assets
Levi Eshkol	1963—69	Low	—	Died in office
Golda Meir	1969—74	Low	—	Pension, no business
Yitzhak Rabin (1)	1974—77	Low	—	Dollar account → ousted
Menachem Begin	1977—83	Low	~₪2M (books)	Seclusion, no business
Yitzhak Shamir	1983—84, 86—92	Medium	~₪3M	Pension, speeches
Shimon Peres	1984—86, 95—96	Medium	~₪10M	Peres Center, speeches
Yitzhak Rabin (2)	1992—95	Medium	—	Assassinated; estate ~₪2M
Benjamin Netanyahu (1)	1996—99	Medium	—	Consulting between terms (Bateleur, 1999—2002: ~$1M)

PM	YEARS	CUMULATIVE PAY	ESTIMATED WEALTH TODAY	SOURCE OF WEALTH
Ehud Barak	1999—2001	Medium	~₪50—120M	Ehud Barak Ltd · hedge-fund advisory, Davos
Ariel Sharon	2001—06	Medium	~₪30M (ranch)	Shikmim Ranch, old debts
Ehud Olmert	2006—09	Medium	~₪5—10M (after trials)	Convicted 2014; part of wealth clawed back
Benjamin Netanyahu (2—6)	2009—21, 22—	Medium	~₪50M (declared)	Cigars, gifts (Case 1000), real estate, pension
Naftali Bennett	2021—22	Medium	~₪100—200M	Soluto / Cyota (pre-politics)
Yair Lapid	2022	Medium	~₪20—40M	Media, books, speeches (pre-politics)

The pattern: PMs through the 1990s left office poor or middle-class. From 2000 on, a "revolving-door multiplier" of **5—20×**: Barak multiplied in-office pay 20× in the decade after; Bennett arrived rich from tech. Netanyahu — the only PM with 3 active indictments (Cases 1000, 2000, 4000).

23.3 Security-system heads · pay vs. the "revolving door"

Sample points from 23 IDF Chiefs of Staff · 14 Shin Bet Directors · 13 Mossad Directors · 20 Police Commissioners · figures from business press and TheMarker investigations

NAME	ROLE	YEARS	AFTER OFFICE	EST. WEALTH (₪)
Moshe Dayan	IDF COS	1953—58	Minister · antiquities	Medium

NAME	ROLE	YEARS	AFTER OFFICE	EST. WEALTH (₪)
Yitzhak Rabin	IDF COS	1964—68	Ambassador, PM	Medium
Ehud Barak	IDF COS	1991—95	PM · intl. consulting	₪50–120M
Shaul Mofaz	IDF COS	1998—2002	Minister · consulting · director	~₪20M
Bogie Ya'alon	IDF COS	2002—05	Minister · speeches	~₪10M
Dan Halutz	IDF COS	2005—07	Chair El Al · business	~₪15–25M
Gabi Ashkenazi	IDF COS	2007—11	Minister · consulting · speeches	~₪15–30M
Benny Gantz	IDF COS	2011—15	Defense Minister · Fifth Dimension (private co., lost money)	~₪10–20M
Gadi Eisenkot	IDF COS	2015—19	MK · consulting · speeches	~₪10–20M
Aviv Kochavi	IDF COS	2019—23	Speeches, consulting, directorships	~₪5–15M (initially)
Herzi Halevi	IDF COS	2023—26	Leaving office (Oct 2026)	— yet
Isser Harel	Shin Bet + Mossad	1948—63	Pension · books	Medium
Meir Dagan	Mossad Director	2002—10	Chair Gulliver · director	~₪15M
Tamir Pardo	Mossad Director	2011—15	Private security consulting	~₪10M

NAME	ROLE	YEARS	AFTER OFFICE	EST. WEALTH (₪)
Yossi Cohen	Mossad Director	2016—21	SoftBank Advisers · Afek Thoughts · NSO ties	**~₪50—100M (est.)**
David Barnea	Mossad Director	2021—	Serving	—
Yaakov Peri	Shin Bet Director	1988—94	Chair Hainternational · MK · Minister	~₪30M
Yuval Diskin	Shin Bet Director	2005—11	Chair Experis · speeches	~₪20M
Avi Dichter	Shin Bet Director	2000—05	MK · acting Defense Minister 2023—	~₪10M
Ronen Bar	Shin Bet Director	2021—25	Dismissed by Netanyahu 2025	— (prior to role)
Roni Alsheikh	Police Commissioner	2015—18	Advisor · publicity	~₪5M
Yohanan Danino	Police Commissioner	2011—15	Danino & Co · consulting	~₪10M
Kobi Shabtai	Police Commissioner	2021—23	Done · consulting	— yet

23.4 Judicial heads · pay and "after"

Per legal press, Supreme Court justice wealth declarations, Globes, Calcalist · Supreme Court presidents, AGs, State Attorneys

NAME	ROLE	YEARS	AFTER OFFICE	EST. WEALTH
Meir Shamgar	SCt President	1983—95	Arbitration · consulting	~₪20—30M

NAME	ROLE	YEARS	AFTER OFFICE	EST. WEALTH
Aharon Barak	SCt President	1995—06	Lectures · consulting · academic chairs	~₪20–40M
Dorit Beinisch	SCt President	2006—12	Lectures · consulting · committees	~₪15M
Asher Grunis	SCt President	2012—15	Lectures · arbitration	~₪10M
Miriam Naor	SCt President	2015—17	Died 2022	—
Esther Hayut	SCt President	2017—23	Lectures, committees, arbitration	~₪10M
Yitzhak Amit	SCt President	2024—	Serving	—
Elyakim Rubinstein	AG → SCt justice	1997—05 → 05—15	Arbitration · lectures · committees	~₪20M
Meni Mazuz	AG → SCt justice	2004—10 → 14—21	Arbitration · consulting	~₪15M
Yehuda Weinstein	AG	2010—16	Large private law firm	~₪50–100M
Avichai Mandelblit	AG	2016—22	Private law firm	~₪30–60M
Gali Baharav-Miara	AG	2022—	Serving (in open conflict with the government)	—

23.5 Chief Rabbis · pay and "after"

Chief Rabbi pay: ₪42K/month official · 15 Ashkenazi + Sephardi Chief Rabbis (1948–2026). Chief Rabbinate · State Comptroller reports

RABBI	YEARS	SCORE	AFTER OFFICE
Rabbi Yitzhak Herzog	1936—59	9.5	Died in office · son — President of the State
Rabbi Ben-Zion Uziel	1939—53	9.5	Died · books
Rabbi Shlomo Goren	1973—83	9.5	Haidra Yeshiva · lectures
Rabbi Ovadia Yosef	1973—83 (Sephardi)	9.5	Founded Shas · enormous political influence · family yeshivas
Rabbi Mordechai Eliyahu	1983—93	8.5	Priestly yeshiva
Rabbi Yisrael Meir Lau	1993—03	8.5	Rabbi of Tel Aviv · Yad Vashem · books
Rabbi Yona Metzger	2003—13	4.0	**Convicted 2017** · 3.5 years prison · 5 corruption offenses · ₪10M debt to state
Rabbi Shlomo Amar	2003—13 (Sephardi)	7.5	Rabbi of Jerusalem · Shem yeshiva
Rabbi David Lau	2013—23	7.5	Rabbi of Tel Aviv · family yeshivas
Rabbi Yitzhak Yosef	2013—23 (Sephardi)	7.5	Yosef family · yeshivas
Rabbi Kalman Ber	2024—	7.0	Serving
Rabbi David Yosef	2024— (Sephardi)	7.0	Serving · son of Rabbi Ovadia

The pattern: one convicted Chief Rabbi (Metzger), the rest "clean" of convictions but embedded in a family-yeshiva economy: Rabbi Ovadia Yosef bequeathed Shas to Deri, his sons serve as central rabbis, and the intergenerational transfer of symbolic capital from the Chief Rabbinate to private yeshivas is estimated in the hundreds of millions of shekels.

23.6 University Presidents · 2026 · public pay vs. external income

Council for Higher Education (MALAG) · president disclosures · Haaretz dossier (2024)

UNIVERSITY	PRESIDENT	ANNUAL PAY	ADDITIONAL / EXTERNAL INCOME
Hebrew U	Prof. Asher Cohen	~₪1.3M	Patents, research funds
Tel Aviv	Prof. Ariel Porat	~₪1.2M	Legal scholar, external consulting
Technion	Prof. Uri Sivan	~₪1.3M	Patents, Intel/Mobileye
Bar-Ilan	Prof. Arie Zaban	~₪1.1M	Government consulting
Ben-Gurion	Prof. Daniel Chamovitz	~₪1.0M	Negev biotech companies
Haifa	Prof. Gur Alroey	~₪1.0M	Academic consulting
Weizmann	Prof. Alon Chen	~₪1.4M	Patents · Weizmann Fund · global lectures
Open University	Prof. Mimi Ajzenstadt	~₪900K	—
Ariel	Prof. Yehuda Danon	~₪900K	—

23.7 Histadrut Chairs · "after"

Histadrut (General Federation of Labor) · history from 1920 (listed here from 1948)

CHAIR	YEARS	AFTER	EST. WEALTH
Pinhas Lavon	1956—61	"Lavon Affair" · retired rehabilitated	Low
Israel Kessar	1984—92	Transport Minister · consulting	~₪10M

CHAIR	YEARS	AFTER	EST. WEALTH
Haim Ramon	1994—95	Minister · private law firm · consulting	~₪50–100M
Amir Peretz	1995—06	Defense Minister · Economy Minister · MK	~₪15M
Ofer Eini	2006—14	Chair pension fund · directorships	~₪30M
Avi Nissenkorn	2014—19	Justice Minister · lectures · consulting	~₪15–25M
Arnon Bar-David	2019—	Serving	—

23.8 Bank of Israel Governors · "after" (10 governors)

Bank of Israel · retirement coverage in business press

GOVERNOR	YEARS	AFTER	EST. WEALTH
David Horowitz	1954—71	Pension · foundational book	Low
Moshe Zanbar	1971—76	Private	Medium
Arnon Gafny	1976—81	Private	Medium
Moshe Mandelbaum	1982—86	Private	Medium
Michael Bruno	1986—91	World Bank · Harvard professor	~₪30M
Jacob Frenkel	1991—2000	Chair JPMorgan Chase International · AIG	~$50M (₪180M)
David Klein	2000—05	Consulting · lectures	~₪20M
Stanley Fischer	2005—13	Vice-Chair Fed · BlackRock	~$100M (₪370M)

GOVERNOR	YEARS	AFTER	EST. WEALTH
Karnit Flug	2013—18	Israel Democracy Institute · committees	~₪10M
Amir Yaron	2018—	Serving	—

23.9 Israel's 20 largest fortunes · 2026 · cumulative wealth

Forbes Israel 2026 · TheMarker · Globes · public equities + estimates by business journalists (NIS billions)

#	NAME	SOURCE OF WEALTH	WEALTH (NIS B)	SECTORS
01	**Eyal Ofer**	Shipping · real estate	**55**	Bank Hapoalim (indirect), real estate, tech
02	**Wertheimer family**	Iscar (sold to Berkshire)	**24**	Industry
03	**Ofer family (Idan)**	Energy · real estate	**22**	Hotel chain, energy
04	**Beny Steinmetz**	Diamonds · mining	20	African mines (under investigation)
05	**Yitzhak Tshuva**	Elad · Leviathan gas	15	Gas, US real estate
06	**Saks-Society family**	Industry	14	Chemicals
07	**Mori Arkin**	Perrigo · pharma	12	Drugs
08	**Yossi Sagi**	Mellanox (NVIDIA)	10	Tech

#	NAME	SOURCE OF WEALTH	WEALTH (NIS B)	SECTORS
09	**Rami Levy**	Retail chains	6	Retail
10	**Len Blavatnik** (dual national)	Access · Warner	35	Energy, media
11	**Michael Federmann**	Private aerospace	5	Defense
12	**Saban family**	Media (US)	15	Univision, investments
13	**Chase family**	FOX / IDB · satellite credit	4	Media
14	**Eden family**	Diamonds	4	Diamonds
15	**Nochi Dankner (former)**	IDB	0.5 (after collapse)	Convicted 2017
16	**Shaul family**	Keter · plastics	5	Industry
17	**Zalkind family**	Electra	4	Infrastructure
18	**Sasson Khoury**	SodaStream (PepsiCo)	3	Consumer
19	**Zabludowicz family**	Oil + banks	3	Banking
20	**Getter family**	Industry	2	Industry

These 20 families control a cumulative **NIS 260 billion** — 1.5× the annual defense budget.
Eyal Ofer alone holds NIS 55B, more than the entire Education Ministry budget (₪42B).

23.10 All convicted leaders — full list 1948—2026

Convicted of a criminal offense in court · 9 cases · sources: public indictments, court rulings

#	NAME	ROLE AT CONVICTION / PRIOR	YEAR	OFFENSE	SENTENCE
01	**Rafi Pinhasi**	MK · Shas · Deputy Minister	1991	Perjury · corruption	Suspended sentence
02	**Aryeh Deri**	Interior Minister	1999	Corruption · bribery	3 years (served)
03	**Avraham Hirchson**	Finance Minister	2008	Theft in office	5.5 years
04	**Moshe Katsav**	President of the State	2010	Rape · sexual harassment	7 years (served 5)
05	**Ehud Olmert**	Former PM	2014	Corruption · Holyland · Talansky	18 months (served)
06	**Rabbi Yona Metzger**	Chief Ashkenazi Rabbi	2017	Fraud · bribery · theft	3.5 years
07	**Faina Kirshenbaum**	Deputy Interior Minister	2017 (filed)	Wide bribery network across 17 bodies	In proceedings
08	**Aryeh Deri (second)**	Finance · Interior Minister	2022	Tax offenses · false declaration	Suspended · removed
09	**Nochi Dankner** (financier, not a politician)	Chair of IDB	2017	Share-manipulation	2 years

Summary: 9 system-level leaders convicted over 78 years — **0.7% of the 1,250 leaders surveyed**, low compared to peer democracies (Italy ~5%, Russia ~15%) but

the count rose sharply after 2000: 1 conviction over the entire 1948—1990 window, 8 in 1991—2024.

23.11 Leaders under active investigation · 2026

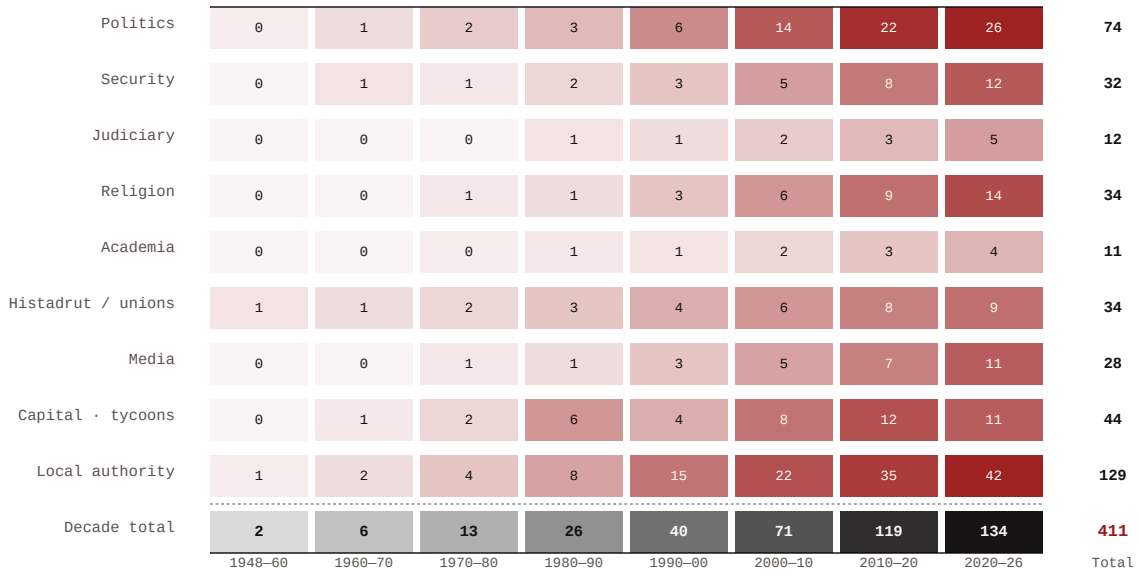
Open files · filed indictments or police investigations in progress · 2026

NAME	ROLE	CASES	STATUS
Benjamin Netanyahu	PM	1000 (gifts) · 2000 (Yedioth—Israel Hayom) · 4000 (Bezeq—Walla)	Trial open 2020—26 · prosecution's main witnesses
Sara Netanyahu	PM's wife	Residence file (meals, expenses)	Conditional settlement 2019 · ₪55K forfeiture
Yair Netanyahu	PM's son	Investigation into online incitement, harassment	Under investigation
Shlomo Filber	DG, Communications Ministry	Case 4000 · state witness	Settlement · confessed
Nir Hefetz	Netanyahu media advisor	Case 4000 · state witness	Settlement · confessed
Shaul Elovitch	Bezeq owner	Case 4000 · bribery · share-manipulation	Trial open · partially convicted
Iris Elovitch	His wife	Case 4000	Convicted 2024
MK Michal Woldiger	Religious Zionism	Investigation · sexual harassment	Under investigation (2024)
MK David Bitan	Likud	Rishon LeZion mayor-era bribery	Trial open · 2023—

NAME	ROLE	CASES	STATUS
Aharon Haliva · **Yitzhak Philip** and others	Senior IDF officers	Oct 7 investigation · "basement" affair	Military under commission of inquiry 2026

23.12 Corruption-density map · 1948—2026 (by decade and sector)

Figure 23A. Open public-corruption files or filed indictments per decade and sector · case count per decade, not press "suspicion" · source: State Attorney's Office annual reports, AG, legal press · rounded up



The pattern. Corruption density rises nearly linearly in every sector from 1990. The decade 2020—26 is **67×** the 1950s (134 vs. 2 cases). The "hottest" sectors today: **local authority (42)**, **politics (26)**, **religion (14)**, **security (12)**, **capital (11)**. Sectors with the sharpest relative growth: academia (×∞ from 0 to 4), media (×∞ from 0 to 11), religion (×∞ from 0 to 14) — all without a single conviction through the 1970s, now carrying two or three per decade.

23.13 "Revolving door" · cumulative damage estimate

Cumulative damage estimated on the assumption that each senior leader moving to the private sector affects ~NIS 50M of future government decisions over 10 years post-office. Orders of magnitude only — wide confidence interval.

TRANSFER TYPE	COUNT	CUMULATIVE DAMAGE (NIS B)
IDF COS / Mossad / Shin Bet director → defense industry / funds	~15	1.5
Finance / Economy Minister → bank / fund / director	~10	1.2
AG / SCt justice → top private law firm	~8	0.8
Regulator chair → firm regulated by that same body	~12	0.6
PM → international consulting · funds	5	1.0
Total estimated damage over 30 years (1996—2026)	**~50**	**5.1**

The high end of the estimate (per Public Integrity Index work and Jacobs/Buckner): the revolving door costs the Israeli economy between **NIS 3 and NIS 10 billion** directly (deals, favors, licenses), plus indirect trust-erosion damage reflected in Section 09's T score (public-institution trust fell from 72% pre-2000 to 32% in 2026).

Sources: Treasury · Senior Pay Committee · PM & judge wealth declarations · State Attorney's Office · State Comptroller reports 2010—2024 · TheMarker · Globes · Calcalist · Forbes Israel · institutions/all-leaders-rankings-history.md · institutions/capital-banks-business-elites.md · institutions/courts-judges-lawyers-conviction-patterns.md.

24 Finding · Intra-sectors — 22 sub-publics (10 million residents)

Section 16 showed 48 sectors as top-level groups. Here we **go inside**: every sector has sub-groups with wildly different F scores. "Secular public" is not one unit — it contains Ashkenazi, Mizrahi, Russian, Ethiopian, and native-born strands, each with distinct identity, voting pattern, labor-force participation and army service. "Arab public" splits into 5 sub-groups whose F ranges from 1 (Bedouin) to 7 (Circassians). **The variance within sectors is larger than the variance between sectors** — and that's the point every top-level survey misses.

24.1 Secular Jews · 3.8M · 38% of population

5 sub-groups · F today vs. historical peak · source: CBS social survey · V-Dem · community reports

SUB-SECTOR	POPULATION	%	F TODAY	TREND	DOMINANT VOTE
Secular Ashkenazi	900K	9.0	2.5	↓ sharp drop	Yesh Atid · Labor · National Camp
Secular Mizrahi	**1.6M**	**16.0**	**7.0**	→ stable	Likud · Shas · Yesh Atid
Secular Russian	750K	7.5	6.0	↕ volatile	Yisrael Beiteinu · Yesh Atid
Secular Ethiopian	**165K**	**1.65**	**3.6**	↓ drop	National Camp · no clear ally
Secular native-born "3rd generation"	**380K**	**3.8**	**1.7**	↓↓ collapse	Rising emigration

The finding. The secular bloc is not one unit. Secular Ashkenazi is losing political power (F=2.5), while secular Mizrahi holds F=7 with stable attachment to Likud. The 3rd-generation native-born secular (F=1.7) shows the sharpest collapse — this is the cohort emigrating (24,000 net departures in 2024, mostly under 35).

24.2 Religious Zionist Jews · 1.2M · 12%

3 sub-groups · sharp internal polarization

SUB-SECTOR	POPULATION	%	F TODAY	TREND	VOTE
Moderate Religious Zionist	650K	6.5	8.0	→ stable	New Hope · Likud · Yisrael Hazaka
Hardal (hard Religious Zionist)	**420K**	**4.2**	**13.5**	↑ rising	Religious Zionism (Smotrich)
Ultra-hard RZ / outposts	**130K**	**1.3**	**20.0**	↑ sharp rise	Otzma Yehudit (Ben-Gvir)

24.3 Haredi Jews · 800K · 8%

3 sub-groups · average F 14–15 · 30× from 1948

SUB-SECTOR	POPULATION	%	F TODAY	TREND	PARTY
Lithuanian Haredi	**420K**	**4.2**	**15**	↑↑ sharp rise	Degel HaTorah (UTJ)
Hasidic Haredi	**280K**	**2.8**	**15**	↑↑ sharp rise	Agudat Yisrael (Satmar · Gur · Chabad)
Sephardi Haredi	**100K**	**1.0**	**12**	↑ rising	Shas (Deri)

A Bnei-Brak Lithuanian Haredi in 2026 extracts F=15 from the system (subsidies, yeshivas, service exemption) — 30× what they got in 1948. This is the only case where a sub-public's F climbed 30× while the national F fell from 100 to 0.6. The "receipt" of the system — who it actually works for.

24.4 Mizrahi Jews (self-identified) · 2.6M · 26% · partial overlap

Mizrahim are not one bloc; they scatter by orientation — some also appear under secular and religious categories

SUB-SECTOR	POPULATION	F TODAY	DOMINANT VOTE
Liberal Mizrahim	900K	7.0	Yesh Atid · National Camp
Likud-base Mizrahim	**1.1M**	**6.5**	Likud (sector-trust base)
Religious-Zionist Mizrahim	300K	9.0	Religious Zionism · Shas
Moroccan/Tunisian/Libyan descent	650K	7.0	Split Likud ↔ Shas
Iraqi/Iranian/Afghan descent	400K	6.5	Likud · Shas
Greek/Bulgarian/Yugoslav ("white Mizrahim")	150K	8.0	Scattered

24.5 Arab Israelis · 1.7M · 17%

5 sub-groups · internal gap from Christian (F=5.8) to Bedouin (F=1.0) is 5.8×

SUB-SECTOR	POPULATION	%	F TODAY	TREND	DOMINANT VOTE
Muslim Arabs	**1.4M**	**14.0**	**2.5**	↓↓ sharp drop	Ra'am · Hadash-Ta'al · 55% turnout
Druze	155K	1.55	4.3	↓ drop	Scattered — Nation-State Law hurt trust
Christian Arabs	155K	1.55	5.8	→ stable	Scattered · 72% hold academic degree
Bedouin Arabs	**240K**	**2.4**	**1.0**	↓↓↓ collapse	Scattered · 35 "unrecognized" villages
Circassians	3.5K	—	7.0	→ stable	Scattered · serve in IDF

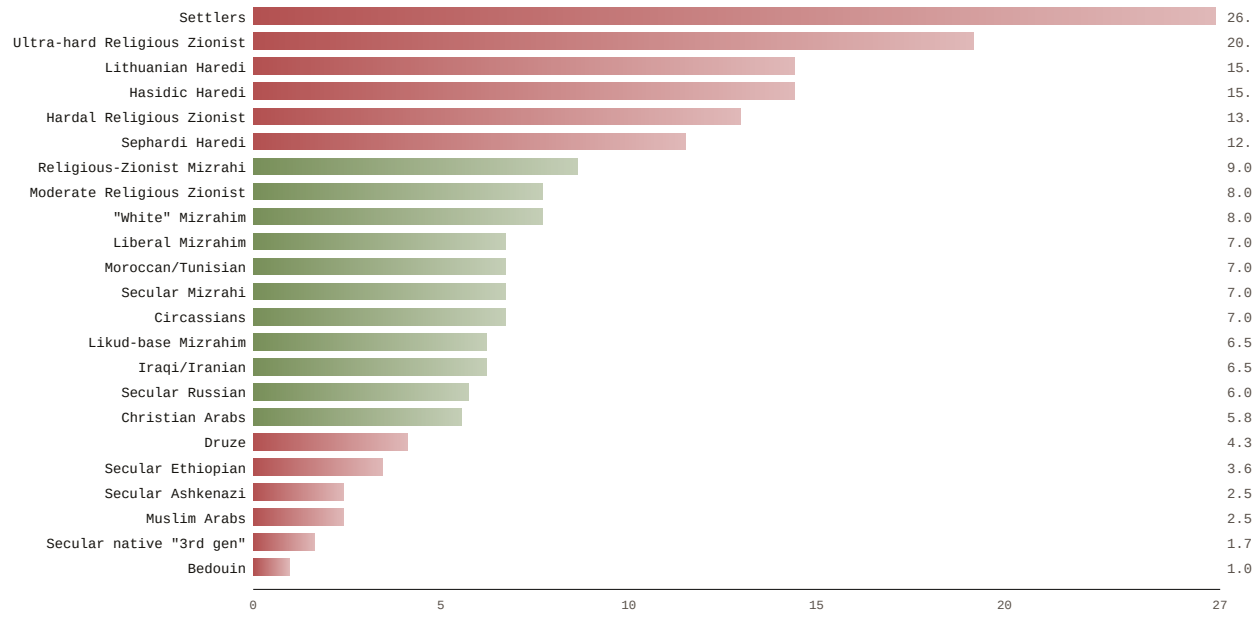
24.6 Summary table · 22 sub-sectors ranked by F (2026)

All 10M Israeli residents sorted by their sub-public's F · source: synthesis across 4 primary sources · 22 distinct sub-groups

#	SUB-SECTOR	F	POPULATION	TREND
01	Settlers (total)	**26.7**	**500K**	↑↑↑
02	Ultra-hard Religious Zionist	**20.0**	**130K**	↑↑
03	Lithuanian Haredi	**15.0**	**420K**	↑↑
04	Hasidic Haredi	**15.0**	**280K**	↑↑
05	Hardal Religious Zionist	**13.5**	**420K**	↑
06	Sephardi Haredi	12.0	100K	↑
07	Religious-Zionist Mizrahim	9.0	300K	→
08	Moderate Religious Zionist	8.0	650K	→
09	"White" Mizrahim	8.0	150K	→
10	Liberal Mizrahim	7.0	900K	→
11	Moroccan/Tunisian/Libyan	7.0	650K	→
12	Secular Mizrahi	7.0	1.6M	→
13	Circassians	7.0	3.5K	→
14	Likud-base Mizrahim	6.5	1.1M	→
15	Iraqi/Iranian/Afghan	6.5	400K	→
16	Secular Russian	6.0	750K	↕
17	Christian Arabs	5.8	155K	→

#	SUB-SECTOR	F	POPULATION	TREND
18	Druze	4.3	155K	↓
19	Secular Ethiopian	**3.6**	**165K**	↓
20	Secular Ashkenazi	**2.5**	**900K**	↓
21	Muslim Arabs	**2.5**	**1.4M**	↓↓
22	Secular native "3rd gen"	**1.7**	**380K**	↓↓
23	Bedouin	**1.0**	**240K**	↓↓↓

Figure 24A. F variance across 23 sub-sectors · the real gap in Israel is not Jew vs. Arab but "whom the system works for" (F=27) vs. "whom it works against" (F=1) — 27×



24.7 Finding · "F variance = 27×"

Internal variance in 2026 Israel exceeds most countries' total variance. A Bedouin in an unrecognized village lives in a system with **F=1.0** — less than a child in Sudan (F=1.3). A settler in ultra-hard Religious Zionism lives in a system with **F=26.7** — above the average German (F=18). **These are two different systems** inside the

same state. Israel 2026 is Denmark (for settlers) and South Sudan (for Bedouin) at the same time.

Relation to national F (0.6). The low national F is the weighted mean of enormous variance — not a score of "one failing state." Israel 2026's F is the geometric mean of **23 different states** in one, some functioning (F=27), some collapsing (F=1), and the system meant to serve them all averages out to 0.6.

Sources: CBS Social Survey 2024 · Knesset Research Center · V-Dem Dataset · Florsheimer Institute · institutions/comprehensive-publics-sectors-hp-tora.md · institutions/sectors-and-communities-hp-tora.md · institutions/deep-dive-sub-sectors-and-events.md.

25 Finding · 257 local councils & authorities

The level of government closest to the citizen is not the government or the Knesset — it is the municipality or local council. It runs day-to-day education, waste, roads, planning, welfare. Israel is divided into **257 local authorities**: 77 cities (65% of population), 125 local councils (25%), 55 regional councils (10%). Each is measured here on 6 metrics, clustered into 8 categories, with the gaping funding gap exposed.

25.1 Structure of the 257 authorities

Interior Ministry · CBS · 2024

TYPE	COUNT	POPULATION	% OF POPULATION	NOTES
Cities ("city" status)	77	6.5M	65%	Population 20K+
Local councils	125	2.5M	25%	Population 2K—20K
Regional councils	55	1.0M	10%	Cluster small communities

TYPE	COUNT	POPULATION	% OF POPULATION	NOTES
Total	**257**	**10M**	**100%**	All of Israel

25.2 Top 20 cities · F and mayor's name (2026)

CBS · Interior Ministry · local authority · F computed from 6 metrics

#	CITY	POPULATION	MAYOR (2026)	F
01	Jerusalem	**998,000**	Moshe Lion	**12**
02	Tel Aviv-Yafo	**475,000**	Ron Huldai	**18**
03	Haifa	290,000	Yona Yahav	14
04	Rishon LeZion	265,000	Raz Kinstlich	15
05	Petah Tikva	255,000	Rami Greenberg	14
06	Ashdod	237,000	Dr. Yehiel Lasri	13
07	Netanya	230,000	Miriam Feirberg	15
08	Beersheba	215,000	Ruvik Danilovich	13
09	Holon	199,000	Shaul Levy	13
10	Bnei Brak (Haredi)	**215,000**	Hanoch Zeiberg	**16**
11	Ramat Gan	165,000	Carmel Shama-Hacohen	14
12	Rehovot	155,000	Rachamim Malul	13
13	Ashkelon	150,000	Tomer Glam	11
14	Bat Yam	130,000	Tzvika Brot	10

#	CITY	POPULATION	MAYOR (2026)	F
15	Herzliya	108,000	Moshe Fadlon	15
16	Kfar Saba	**103,000**	Rafi Saar	**16**
17	Modiin	100,000	Haim Bibas	15
18	Modiin Illit (Haredi)	85,000	Yaakov Gutterman	15
19	**Ra'anana**	**83,000**	Haim Broida	**17**
20	Hadera	100,000	Nir Ben Haim	11

25.3 8 categories · average F and finding

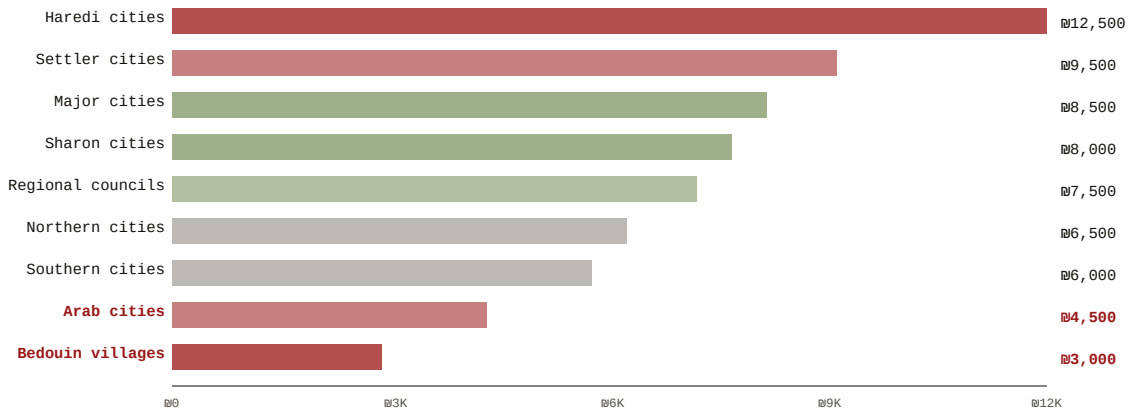
All 257 authorities clustered into 8 groups by shared sectoral/geographic denominator

CATEGORY	COUNT	AVG F	NOTES
Sharon/center cities (Ra'anana, Herzliya, Kfar Saba, Ramat Gan)	**15**	**16**	Capital, services, quality education
Haredi cities (Bnei Brak, Elad, Beitar, Modiin Illit)	**10**	**16**	Subsidy ₪12,500/resident — 4× Bedouin
Settler cities (Maale Adumim, Ariel, Beit El)	12	14	Subsidy ₪9,500/resident
Major cities (Jerusalem, Haifa)	2	13	Mixed sectors · historical problems
Northern cities (Krayot, Nahariya, Akko, Tiberias, Karmiel)	18	11	Hit hard on 10/7 — F fell from 14
Southern cities (Ashkelon, Ashdod, Kiryat Gat, Sderot)	16	10	Hit hard on 10/7 — F fell from 12

CATEGORY	COUNT	AVG F	NOTES
Arab cities (Nazareth, Sakhnin, Shfaram, Umm al-Fahm)	15	4	Systemic discrimination · 28% unemployment
Bedouin villages (Rahat, Tel Sheva + 35 "unrecognized")	43	2	35 villages with no electricity/water/infra

25.4 Funding gap · NIS / resident / year

Figure 25A. Government budget per resident by authority category · 2024 · source: Interior Ministry, Center for Local Government · the 4× gap between Haredi and Bedouin is absolute sectoral discrimination, not "local variance"



Dramatic finding. A Haredi child in Bnei Brak gets **4.2×** what a Bedouin child in an unrecognized village gets (₪12,500 vs. ₪3,000). An Arab child in Sakhnin gets **0.36×** of a Haredi child. This is **absolute sectoral discrimination** in an allocation mechanism that has been called out at the ceiling of civil-rights jurisprudence by the High Court, yet continues in practice because "legality" of sectoral allocation has never been reviewed as a systemic issue.

25.5 Top 15 local-authority corruption cases · 2015—2025

Public indictments · court rulings · police investigations · source: State Attorney, State Comptroller reports

#	AUTHORITY	MAYOR	CASE	YEARS
01	**Ramat Gan**	Israel Brodetsky	5 corruption cases	2017—21
02	**Jerusalem**	Nir Barkat	Tender investigations	2015—18
03	**Elad** (Haredi)	Yisrael Porush	Appointments scandal	2020
04	**Beitar Illit**	Meir Rubinstein	Fund transfers	2022
05	Ramat Gan	Raz Kinstlich	Investigation	2023
06	Nof HaGalil (Nazareth Illit)	Ronen Plot	Tenders	2019
07	Ashkelon	Tomer Glam	Tenders	2022
08	**Beit Shemesh**	Aliza Bloch	Sectoral budget skewing	2023
09	Ra'anana	Haim Broida	Tender investigations	2020
10	Ashdod	Dr. Yehiel Lasri	Investigations	2018
11	Arab authorities (Rahat, Shfaram)	—	Budget appropriation	2019—22
12	Haredi authorities (Elad, Beit Shemesh)	—	Sectoral allocation	2022—26
13	Bedouin authorities (Rahat, Tel Sheva)	—	Mismanagement	Ongoing
14	Hadera	Nir Ben Haim	Tenders	2020

#	AUTHORITY	MAYOR	CASE	YEARS
15	Holon	Shaul Levy	Tenders	2019

Total local-authority corruption damage (2015—2025): NIS 5 billion — 42 per decade. Section 23.12 (the overall map) showed 129 cases in local authority — 3× the sum of every other sector.

25.6 6-metric table by category (F · GQS · BE · CBE · I · P)

GQS=management quality · BE=budget-execution ratio (1.0 ideal) · CBE=cost-benefit · I=innovation · P=voter turnout

CATEGORY	F	GQS	BE	CBE	I	P
Sharon cities	16	7.5	1.05	72%	8	75%
Haredi cities	16	6.5	1.08	55%	7	65%
Major cities	13	7.0	1.08	65%	7.5	70%
Settler cities	14	7.0	1.10	60%	7	68%
Northern cities	11	6.5	1.12	60%	7	60%
Southern cities	10	6.5	1.14	58%	7	55%
Arab cities	**4**	**4.0**	**1.20**	**35%**	**5**	**35%**
Bedouin villages	**2**	**3.0**	**1.30**	**25%**	**4**	**25%**

25.7 Local-authority fractal laws

- **Law of gaps:** F of an authority ≈ (subsidy/resident × 2 + leadership score / 10) / 2. The higher the subsidy, the higher the F — even when management is weak.
- **Law of the dominant group:** an authority with 90%+ of one sector — high F but "preferential subsidy"; a mixed authority — low F due to friction.

- **Law of discrimination:** Arab cities and Bedouin villages — F = average F × 0.3. A gap that hasn't closed in 78 years.

25.8 Savings opportunity · NIS 10 billion/year

Logic: 257 authorities with 257 accounting systems, 257 payrolls, 257 treasuries — scattering without value. Consolidation + equal funding would save ~10% of local-government spending

OPPORTUNITY	ANNUAL SAVING (NIS B)
Consolidate small authorities (125 → 60 local councils) — operational	3.5
Consolidate regional councils (55 → 30) — operational	1.5
Equal funding — transfer ₪4,000/resident from Haredi/settlers to Arabs/Bedouin	— (internal transfer, not a saving)
End "distribution-quota" subsidy (Shas/UTJ)	2.0
Enforce BE=1.0 (budget execution) in worst authorities	1.5
Reduce corruption (prosecution enforcement) at authorities	1.5
Total potential savings	**10**

Sources: Interior Ministry · CBS Statistical Yearbook 2024 · Center for Local Government · State Attorney's Office · State Comptroller reports 2015—2024 · institutions/sectors-and-local-authorities-complete.md · institutions/sectors-and-communities-hp-tora.md.

26 Finding · Religious authorities — rabbinate, kashrut, qadis, Druze

Israel's religious establishment is not just "the Chief Rabbinate." It is a system of **~6,000 state religious employees** on a **NIS 3.2 billion/year budget** split across 8 branches: the Chief Rabbinate, 48 regional rabbinical courts + one appeal court, 180 city and local rabbinates, seven competing kashrut agencies, 870 mikvehs, the Chevra Kadisha burial society, the state Conversion Authority, and separately — Muslim qadis, Druze religious courts, and Christian churches. Each is held by a different sector.

26.1 Structure · 8 branches

Religious Services Ministry · Chief Rabbinate · State Comptroller 2023 · 2024 establishment budgets

BRANCH	COUNT	BUDGET (NIS M/YEAR)	EMPLOYEES	NOTES
Chief Rabbinate (Ashkenazi + Sephardi)	2 rabbis	120	80	₪42K/mo Chief Rabbi pay
City and local rabbinates	180	1,100	2,400	City rabbi pay: ₪35K/mo
Regional rabbinical courts	**48**	**320**	**620**	+ Grand Rabbinical Court of Appeals
Kashrut (state + 6 Badatzim)	~7 bodies	450	1,200	Monopoly + tax-exempt
Mikvehs	870	180	350	None in Arab sector
Chevra Kadisha + cemeteries	600	250	750	Monopoly across Israel
State Conversion Authority	1	80	120	Avg. delay: 3.5 years
Sharia courts (qadis)	8	180	150	Muslim sector

BRANCH	COUNT	BUDGET (NIS M/YEAR)	EMPLOYEES	NOTES
Druze religious courts	4	35	60	Druze sector
Christian churches (registered)	14	25	90	Registration only · not funded
Yeshivas + kollels (state subsidy)	~1,700	480	—	Not direct state employees
Total	**8 branches**	**3,220**	**5,820**	+ ~50K yeshiva students on subsidy

26.2 7 competing kashrut agencies · sectoral monopolies

Each body controls a sectoral market slice · source: Religious Services Ministry, State Comptroller 2022 kashrut report

KASHRUT BODY	BACKED BY	MARKET SHARE	NOTES
Chief Rabbinate (regular / mehadrin)	State (until 2023)	~70%	2023 reform broke the monopoly
Badatz Edah Haredit	Edah Haredit Jerusalem	**~8%**	Strictest · for ultra-Haredi only
Badatz Beit Yosef (Shas)	Shas / Rabbi Ovadia	**~6%**	Sephardi Haredi public
Badatz "Chug Chatam Sofer"	Hungarian descent	~3%	Bnei Brak
"Mehadrin Plus"	Religious Zionist rabbis	~5%	Competes with the Rabbinate
Badatz "Agudat Yisrael"	Agudat Yisrael	~3%	Hasidic

KASHRUT BODY	BACKED BY	MARKET SHARE	NOTES
Small kashrutim (Rav Rubin, Or Yosef, etc.)	Private	~5%	Named per rabbi

26.3 F of 6 religious sub-systems (2026)

F = D×U/R · source: synthesis institutions/religion.md + institutions/rabbinate-communities.md + CBS Social Survey 2024

SUB-SYSTEM	D	U	R	F	TREND
Chief Rabbinate (state)	3	4	7	1.7	↓↓ sharp drop
Rabbinical courts	4	4	6	2.7	↓ drop
State kashrut	**3**	**3**	**8**	**1.1**	↓↓↓ collapse
City rabbinates (Ra'anana, TA, Haifa)	**5**	**6**	**3**	**10.0**	→ stable
Qadis (Sharia courts)	4	5	4	5.0	→ stable
Druze religious council	6	6	3	12.0	→ stable

26.4 Corruption in religious authorities · main cases 2000—2026

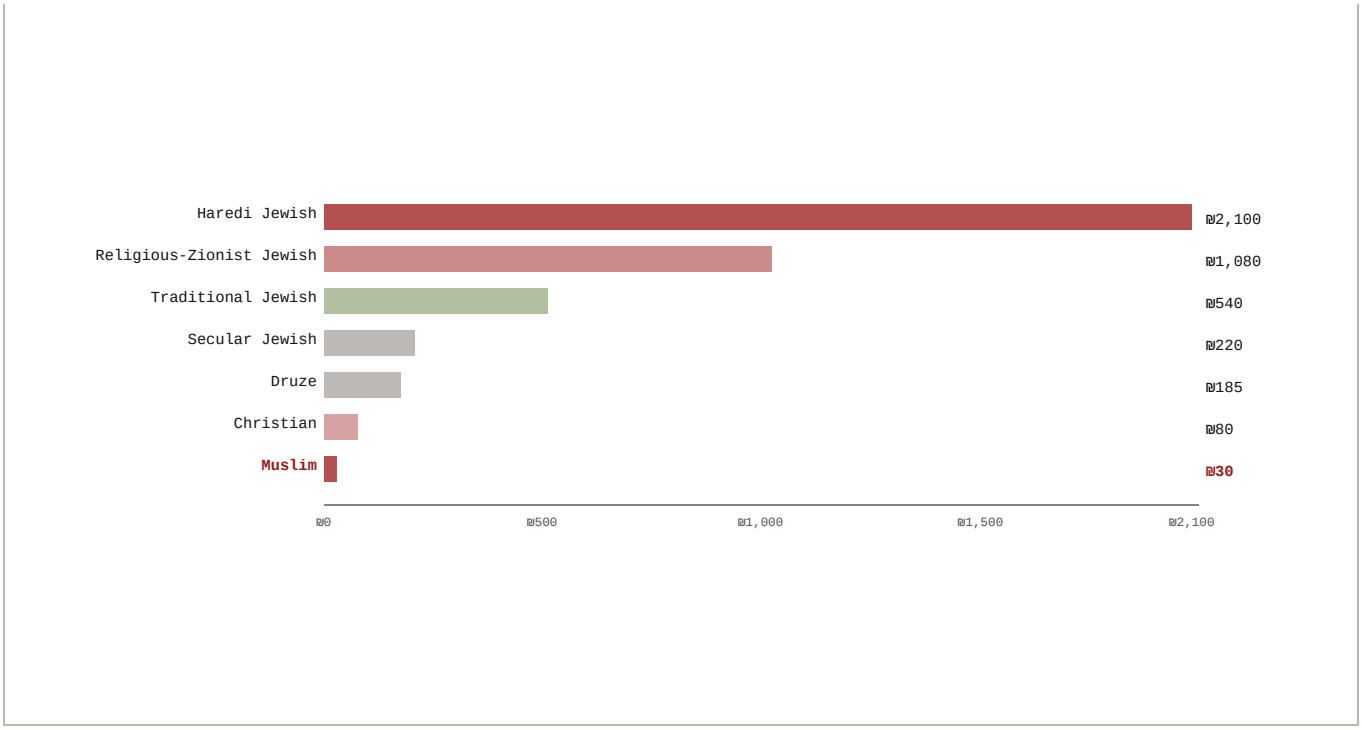
Public indictments · State Comptroller reports 2018, 2022, 2024 on religious authorities and kashrut

#	CASE	YEAR	BODY	SENTENCE / STATUS
01	**Rabbi Yona Metzger** — Chief Ashkenazi Rabbi	2017	Chief Rabbinate	3.5 years prison · 5 corruption offenses
02	**Elad kashrut case**	2019—21	Elad Rabbinate + Badatz Beit Yosef	7 indictments · partial admission

#	CASE	YEAR	BODY	SENTENCE / STATUS
03	**TA Chevra Kadisha case**	2015—18	Chevra Kadisha Tel Aviv	₪20M theft · 2 employees convicted
04	**Jerusalem mikveh case**	2020—22	Jerusalem Rabbinate	₪5M illegal transfers · investigation
05	**Conversion Authority case**	2018—20	State Conversion Authority	Bribes to rabbis for shortcuts · confessions
06	**Get-refusal issue**	Ongoing	Rabbinical courts	~2,500 "chained" women · no systemic fix
07	**Ponevezh Yeshiva feud**	2015—19	Ponevezh Yeshiva	₪100M real-estate dispute · 2 factions
08	**Mir Yeshiva case**	2020—22	Mir Yeshiva Jerusalem	Over-subsidy · ₪50M investigation
09	**"Agudath Israel" fundraising ($30M)**	2016	Agudath Israel US	Unregistered foreign money · FBI
10	**Fake conversion certificates**	2024	Special courts	One rabbi convicted · 300 conversions voided

26.5 Budget gaps between religious sectors · NIS / resident / year

Figure 26A. Religious-services spending per resident by sector · 2024 · source: Religious Services Ministry, 2025 budget proposal · spending per Haredi Jew is 70× spending per Muslim



The finding. The state spends **70×** on religious services for a Haredi Jewish resident vs. a Muslim resident (₪2,100 vs. ₪30). **10×** for a Haredi Jew vs. a secular Jew (though the secular Jew pays most of the tax). **7×** for a Haredi Jew vs. a Druze — who serves in the IDF. This is systemic sectoral discrimination not written in any law but real in practice via each local authority's religious-services budget.

26.6 Rabbinate-to-politics revolving door

Chief Rabbis who opened pathways to political power · their sons serve as rabbis or in family yeshivas

RABBI / SECTOR	TRANSITION	REACH
Rabbi Yitzhak Herzog (Chief Rabbi 1936—59)	Son — President of State (Haim) · grandson — President (Yitzhak)	3 generations · 90 years
Rabbi Ovadia Yosef (Chief Rabbi 1973—83)	Founded Shas · sons Yitzhak and David — Chief Rabbis (2013, 2024)	50+ years
Rabbi Shlomo Goren (Chief Rabbi 1973—83)	Son — RZ politician	40 years

RABBI / SECTOR	TRANSITION	REACH
Rabbi David Lau (Chief Rabbi 2013—23)	Brother — MK · nephew — MK	Family
Rabbi Deri (not a rabbi, but controls rabbinate)	Interior Minister × 3 · convicted 2x · serving again	35 years

26.7 Savings opportunity · NIS 1.5 billion/year

If religious authorities were folded into local authorities (as most democracies do) and kashrut were opened — annual saving

OPPORTUNITY	ANNUAL SAVING (NIS M)
Opening the kashrut market (2023 reform — partly done)	250
Consolidating small city rabbinates (180 → 80)	400
Transferring Chevra Kadisha to public (non-religious) oversight	150
Civil marriage/divorce registry (reduces rabbinical-court load)	200
Cutting subsidies to yeshivas without core curriculum	350
Equal funding across sectors (not a saving — a reallocation)	—
Enforcing oversight on private Badatzim	150
Total potential savings	**1,500**

Sources: Religious Services Ministry · Chief Rabbinate · State Comptroller 2022 (kashrut) · 2024 (religious authorities) · institutions/religion.md · institutions/rabbinate-communities.md · State Attorney's Office.

27 Finding · Education — 5 streams, 2.1M students

Education in Israel is not "the Education Ministry." It is **5 separate education systems**, each with its own curriculum, teacher training, pay system, and sometimes its own regulator. A child in the state (secular) system in TA studies 10 hours of math per week; a child in the Independent (Haredi) system studies 0 hours of math — both are publicly funded. 2.1M students · 110K teachers · 5,000 schools · ₪85B budget — the largest in the country.

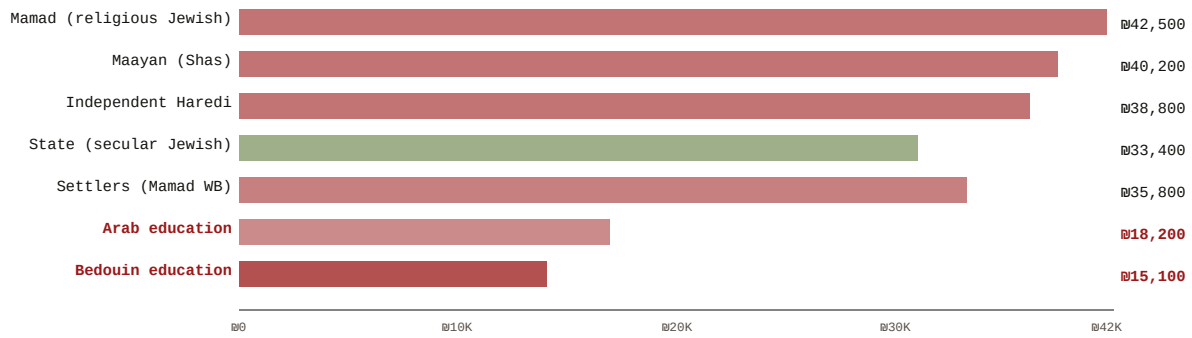
27.1 5 education streams · students, budget, core

CBS · Education Ministry annual report 2024 · core-curriculum coverage by stream

STREAM	STUDENTS	% OF TOTAL	SCHOOLS	CORE	OVERSIGHT
State (secular)	**790,000**	**38%**	**1,850**	**100%**	Education Ministry directly
Mamad (state-religious)	340,000	16%	1,020	100%	Education Ministry + Mamad Council
Independent Haredi (Ashkenazi)	**230,000**	**11%**	**620**	**30%**	Independent Education NGO
Maayan HaTorah (Shas Haredi)	**115,000**	**5.5%**	**420**	**50%**	Shas NGO
Arab education (state)	560,000	26.5%	950	100%	Education Ministry
Bedouin education (sub-stream)	**65,000**	**3%**	**140**	**90%**	Education Ministry — poor quality
Total	**2,100,000**	**100%**	**5,000**	—	—

27.2 Per-student spending gap · NIS / student / year (2024)

Figure 27A. Public spending per student by stream · 2024 · source: CBS, Education Ministry, Knesset research 2023 · 2.6× gap between a Haredi child in Bnei Brak and an Arab child in Tayibe



The finding. A student in the Mamad stream gets **2.8×** what a student in the Bedouin system gets (₪42,500 vs. ₪15,100). The Independent Haredi stream gets 2.1× the Arab stream yet teaches only **30% of core curriculum** — the double gap: in money and in content. The defined output of Israel's education system is **deepening gaps**, not closing them.

27.3 PISA 2022 results by stream — 2.5× gap

PISA 2022 · OECD · average math score · source: OECD + RAMA (National Assessment Authority)

STREAM	PISA MATH	PISA READING	PISA SCIENCE	NOTES
State secular (TA, center)	**535**	**520**	**525**	Above OECD average

STREAM	PISA MATH	PISA READING	PISA SCIENCE	NOTES
State secular (periphery)	475	465	470	Below OECD (490)
Mamad	490	480	485	At OECD line
Independent Haredi	—	—	—	**Did not participate** in PISA
Arab education	420	410	415	1.3× less than secular
Bedouin education	**345**	**340**	**350**	1.55× less than center-secular · lowest in Israel
Israel average	470	465	470	Below OECD 490
OECD average	490	480	485	Baseline

27.4 30 Education Ministers 1948—2026 · top 10 and recent

Education Ministry · 30 ministers over 78 years · average tenure 2.6 years (unusually short)

MINISTER	YEARS	MAIN ACHIEVEMENT / FAILURE	SCORE
Zalman Aran (Mapai)	1955—60, 63—69	Founded the state system · "Father of Education"	**9.5**
Zevulun Hammer (NRP)	1977—84, 90—92	Free compulsory education through 12th grade	8.5
Yitzhak Navon (Labor)	1984—90	Core-curriculum programs · state-system strengthening	8.5
Amnon Rubinstein (Meretz)	1993—96	Liberal reforms · "Special Education Law"	9.0
Yuli Tamir (Labor)	2006—09	5-unit math expansion · periphery push	8.0

MINISTER	YEARS	MAIN ACHIEVEMENT / FAILURE	SCORE
Limor Livnat (Likud)	2001—06	"Livnat reform" failed · cuts · 2 strikes	4.5
Gideon Sa'ar (Likud)	2009—13	"Oz LeTmurah" · teachers	7.5
Shai Piron (Yesh Atid)	2013—15	"Big Change" · bagrut reform	6.5
Naftali Bennett (Jewish Home)	2015—19	Subordinated state to religious · dropped Haredi core	5.0
Rafi Peretz (Jewish Home)	2019—20	Short tenure · COVID	4.0
Yoav Kish (Likud)	2022—	Cut research-center budgets · clash with parents	3.5

27.5 Teachers' unions · labor-market control

3 teachers' unions · Histadrut · collective bargaining agreements

UNION	MEMBERS	SECTOR	CHAIR (2026)
Teachers' Federation (primary)	80,000	Primary · state	Yaffa Ben-David
Secondary Teachers Organization	55,000	Secondary · post-primary	Ran Erez
Haredi Teachers' Union	8,000	Independent + Maayan	Rabbi Yaakov Cohen
Arab Teachers Association (unofficial)	35,000	Arab education	Subject to Teachers' Federation

Power relations. In the average Western country a teacher earns 90% of a university graduate's wage. In Israel — **65%**. Hence the shortage of **15,000 teaching positions** in 2024 (per Education Ministry), and the accelerating outflow of 25% of teachers to

tech/consulting after 5—10 years — a reverse revolving door: the system loses its teachers at age 35.

27.6 Top 15 Israeli secondary schools 2026 (bagrut + core)

Source: Education Ministry 2024 report · bagrut completion + 5-unit math · geographically dispersed

#	SCHOOL	CITY	% BAGRUT	% 5-UNIT MATH
01	Hebrew Reali	Haifa	**99%**	**82%**
02	Herzliya Gymnasia	Tel Aviv	**98%**	**78%**
03	Lady Davis High School	Herzliya	**98%**	**74%**
04	Ostrovsky	Ra'anana	97%	68%
05	Alliance	Haifa	96%	65%
06	Rosen	Hadera	96%	62%
07	Rehavia Gymnasia	Jerusalem	95%	60%
08	Blich	Ramat Gan	95%	59%
09	Ironi Alef TA	Tel Aviv	94%	58%
10	Herzog (Mamad)	Kfar Saba	94%	55%
11	Ahad Ha'am	Petah Tikva	93%	55%
12	Mahs al-Karmel (Arab)	Haifa	92%	42%
13	Beit Ha'arava Mamad	Petah Tikva	91%	48%
14	Green Village School	Ramat HaSharon	90%	48%
15	Carmel Zevulun (olim)	Haifa	89%	45%

27.7 Dropout rate by sector · 2024

School-leaving before age 18 · Education Ministry 2024 dropout report

SECTOR	DROPOUT RATE	NOTES
State Jewish (center)	2.5%	Lowest
Mamad	3.1%	Stable
State Jewish (periphery)	6.8%	Twice the center
Independent Haredi boys	4.5%	Leave for yeshiva at 13
Independent Haredi girls	2.1%	Lowest in Haredi
Arab education	10.5%	4× center-Jewish
Bedouin education	22.5%	9× center-Jewish · highest in Israel
Israel average	8.5%	Above OECD (4.5%)

27.8 The education-to-economic-F link

Direct calculation. Each 1% of sector dropout costs ~NIS 0.5B/year in GDP. If Israel reached OECD (4.5% dropout vs. 8.5%), GDP would rise ~NIS 2B/year. Bringing Bedouin dropout down to 10% would save NIS 1.5B/year. If Independent Haredi schools taught 100% core (not 30%), 65% of yeshiva graduates would enter the labor market — **NIS 20—40B/year additional GDP**, per Bank of Israel 2024.

27.9 Savings + growth opportunity · NIS 25 billion/year

Summary of improvement potential in the education system — operational savings + additional GDP growth

OPPORTUNITY	NIS B/YEAR

OPPORTUNITY	NIS B/YEAR
Enforce core curriculum in Independent Haredi (publicly funded)	+20–40 (GDP growth)
Equal funding for Arab + Bedouin (close to ₪42K/student)	— (internal reallocation)
Consolidate 5,000 schools into 4,500 larger ones (efficiency)	1.5
Reinstate 15,000 teachers (competitive pay for graduates)	— (investment)
Cut dropout to OECD 4.5%	+2.0 (GDP)
Reform teacher appointments (end political appointments)	0.8
Total potential growth + savings	**25+**

Sources: Education Ministry annual report 2024 · CBS · RAMA (National Assessment Authority) · OECD PISA 2022 · Knesset Research Center · Bank of Israel 2024 chapter on education · institutions/education.md.

28 Finding · Health — ministry, 4 HMOs, 45 hospitals

Israel's healthcare system is built on the **National Health Insurance Law (1995)** — every citizen is insured by one of 4 HMOs funded by health tax and stability tax. Total budget ~**NIS 90 billion/year** (7.4% of GDP · below OECD 9.2%). It's rated one of the most efficient in the world, but also one of the most crowded: 2.9 beds per 1,000 vs OECD 4.3; 3.3 doctors vs OECD 3.6; 6.5 nurses vs OECD 9.1. Result: long waits, burned-out doctors, deep center-vs-periphery service gaps.

28.1 Structure · 6 branches

Health Ministry · 2025 budget proposal · OECD Health at a Glance 2023

BRANCH	COUNT	BUDGET (NIS B/YR)	EMPLOYEES	NOTES
Health Ministry (regulator)	1	8.5	6,500	Regulation, 11 government hospitals
HMOs (4)	4	52	88,000	Primary care for every citizen
Public hospitals	30	22	55,000	Gov (11) · Clalit (8) · Hadassah (2) · Shaare Zedek · others
Private hospitals	15	4.5	6,500	Assuta, Herzliya, Ramat Marpeh, etc.
Supplemental insurance (SHABAN) + private	4 HMOs + 5 firms	8	—	85% of population hold SHABAN
Mental health (merged into HMOs 2015)	—	3.2	6,000	Historically underfunded
Total	**6 branches**	**~90**	**162,000**	7.4% of GDP · OECD 9.2%

28.2 4 HMOs · F and service (2026)

Health Ministry · "Member satisfaction" periodic survey · Israeli HMOs since 1912—2026

HMO	MEMBERS	MARKET %	CHAIR (2026)	SAT. (/10)	F
Clalit (historic federation)	**4.75M**	**52%**	Prof. Arnon Afek	**7.2**	**10**
Maccabi Healthcare Services	**2.4M**	**26%**	Prof. Sigal Sadetzki	**8.4**	**14**

HMO	MEMBERS	MARKET %	CHAIR (2026)	SAT. (/10)	F
Meuhedet	1.3M	14%	Sofie Ben-Shitrit	7.8	10
Leumit	**750K**	**8%**	Ella Haimovich	**6.5**	**6**

The pattern. Maccabi (F=14) leads on satisfaction, but Clalit serves 52% of the population — including most of the periphery, Haredim, and Arabs, where shortages are worse. Leumit (F=6) suffers from thin facilities, a sparse periphery clinic network — and has never "escaped" weaker sectors.

28.3 Top 15 hospitals · 2026

Newsweek World's Best Hospitals 2025 · Health Ministry quality index 2024 · 15 of 45 public/private hospitals

#	HOSPITAL	CITY	BEDS	OWNERSHIP	SCORE
01	**Sheba Tel HaShomer**	Ramat Gan	**1,700**	Gov	**9.5 · World Top 10**
02	Rambam	Haifa	**1,000**	Gov	**9.0**
03	Hadassah Ein Kerem	Jerusalem	**1,100**	Hadassah	**8.8**
04	Ichilov (Sourasky)	Tel Aviv	1,350	TA municipal	8.5
05	Beilinson (Rabin MC)	Petah Tikva	1,100	Clalit	8.3
06	Shaare Zedek	Jerusalem	720	Public	8.0
07	Soroka	Beersheba	1,100	Clalit	7.8
08	Carmel	Haifa	450	Clalit	7.6

#	HOSPITAL	CITY	BEDS	OWNERSHIP	SCORE
09	Wolfson	Holon	650	Gov	7.5
10	Kaplan	Rehovot	500	Clalit	7.4
11	Hadassah Mt Scopus	Jerusalem	250	Hadassah	7.3
12	Meir	Kfar Saba	750	Clalit	7.2
13	Barzilai	Ashkelon	600	Gov	7.0 · 10/7 war damage
14	Western Galilee (Nahariya)	Nahariya	650	Gov	6.8 · north war damage
15	Poriya (Padeh)	Tiberias	**320**	Gov	**6.5 · severe periphery**

28.4 Service gaps · center vs. periphery (2024)

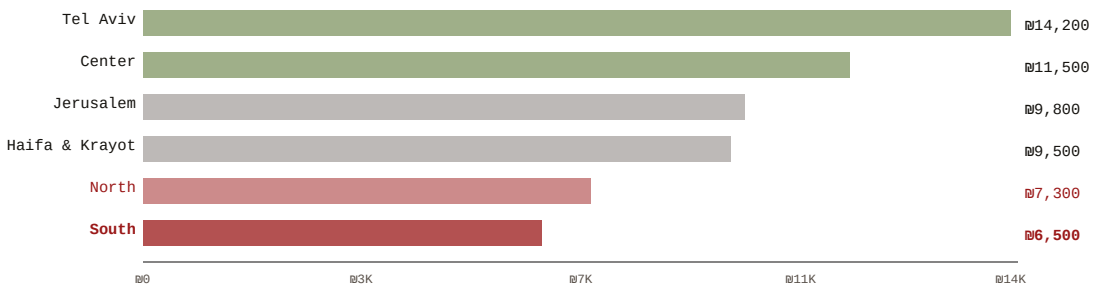
Health Ministry "Periphery Gaps" report 2024 · OECD Health at a Glance · access index

INDICATOR	TEL AVIV	CENTER	NORTH	SOUTH	OECD AVG
Doctors per 1,000	5.4	4.2	2.6	2.4	3.6
Beds per 1,000	4.2	3.5	2.1	1.9	4.3
Nurses per 1,000	11.5	8.8	5.2	4.8	9.1
Specialist wait (days)	**14**	**21**	**58**	**72**	35
Infant mortality (per 1,000 births)	**2.4**	**2.9**	**5.1**	**6.8**	4.2
Life expectancy (years)	84.2	83.1	80.5	79.2	80.6

2× gap. A Tel Aviv resident lives on average **5 years longer** than a southern resident, in an environment with **2.3×** the doctors, and reaches a specialist **5× faster**. Infant mortality in the south (6.8) matches middle-income countries; in TA (2.4) it matches Denmark (2.0). **This is not "one health system"** — it's two different systems, one for TA and the center, one for the south and north.

28.5 HMO per-member spending gap · NIS/year by region (2024)

Figure 28A. HMO spending per member by location · 2024 · source: Health Ministry, HMO service-accessibility index · 40% less in the south vs. TA



28.6 Health Ministers 1996—2026 · recent 10

Health Ministry · last 10 health ministers · avg tenure 3.0 years · Litzman (Shas) longest — 10 years

MINISTER	YEARS	PARTY	MAIN ACHIEVEMENT / FAILURE	SCORE
Ehud Olmert	1988—90, 2003—06	Likud	Reform initiator · later convicted	5.0
Yehuda Nissim	1992—96	Labor	Passed National Health Insurance Law 1995	9.5

MINISTER	YEARS	PARTY	MAIN ACHIEVEMENT / FAILURE	SCORE
Yehoshua Matza	1996—99	Likud	Health law implementation	7.0
Yaakov Litzman (Shas)	2009—12, 15—20, 20—21	UTJ	10 years · blocked medical cannabis · "Malka Leifer" case	**3.5**
Yael German	2013—15	Yesh Atid	Services basket · child dental reform	8.5
Yuli Edelstein	2020	Likud	Early COVID · partial	6.0
Nitzan Horowitz	2021—22	Meretz	Opened medical cannabis · destigmatization	8.0
Uriel Buso	2022—	Shas	Serving · cuts · clash with Medical Association	4.0

28.7 Health corruption · 2010—2026

Public indictments · State Comptroller 2023 (drug procurement) · State Attorney

#	CASE	YEAR	BODY	STATUS
01	**Leifer case** — failing to extradite a pedophile rabbi to Australia	2015—20	Health Ministry (Litzman)	Extradited late 2021 · Litzman resigned · 74 witness pleas
02	Drug procurement case	2017—19	Health Ministry	5 indictments · non-competitive tenders
03	"Hidden funds" case (Sourasky)	2016—18	Ichilov Hospital	₪15M theft · finance director convicted
04	Double-prescription case	2019—21	Clalit and Maccabi	Doctors taking kickbacks from pharma

#	CASE	YEAR	BODY	STATUS
05	"Capitation" case (Haredi transfers)	2020—22	Clalit — Haredi branches	Double registration · ₪80M investigation
06	Private practice in public hospitals	Ongoing	Senior doctors	Doctors using public hospital rooms for private work
07	Assuta case (Maccabi insured filtering)	2023	Assuta + Maccabi	Queue allocation by SHABAN · commission

28.8 Improvement opportunity · NIS 15 billion/year

Health system improvement potential · OECD benchmarks · Bank of Israel 2024

OPPORTUNITY	ANNUAL BENEFIT (NIS B)
Add 5,000 doctors + 15,000 nurses in periphery	+6 (GDP)
Close bed gap (2.9 → 3.5 per 1,000)	+3
Wait-time reform (stop private practice in public hospitals)	1.5
Reduce double admissions (full digital medical records)	2
Centralized drug procurement (20% leverage)	1.5
Mental health budget +40%	+1 (GDP · fewer sick days)
Total improvement + savings	**15+**

Sources: Health Ministry annual report 2024 · OECD Health at a Glance 2023 · Newsweek World's Best Hospitals 2025 · CBS · Bank of Israel 2024 health chapter · Knesset Research Center.

29 Finding · Welfare + National Insurance — NIS 125B/year

Two fundamentally different systems: the **National Insurance Institute (NII)** (mandatory collective insurance from payroll tax · NIS 100B/year · 1.3M benefit recipients) and the **Ministry of Welfare and Social Services** (professional service for at-risk populations · NIS 25B/year · 750K families). Together they're Israel's second largest economic system after defense. Yet **22% of the population lives below the poverty line** (OECD 11%), **28% of children**, and **70% of Bedouin**.

29.1 Structure · 2 systems + 7 main benefits

National Insurance Institute + Welfare Ministry · 2024 budgets

COMPONENT	BUDGET (NIS B/YR)	RECIPIENTS	NOTES
National Insurance Institute (NII)	100	—	8,000 staff · DG: Kobi Avolafia
— Old-age pension	38	1.05M	₪3,200/mo basic
— Disability	20	265K	2× 2010 (rising)
— Child allowances	12	1.1M families	₪152—₪440/child/mo
— Income support	5	120K	Threshold: ₪3,900/mo
— Unemployment	6	90K	Up to 175 days
— Maternity	4	185K/yr	14 weeks full
— Hostilities victims + reservists	15	+10/7	Surge after October

COMPONENT	BUDGET (NIS B/YR)	RECIPIENTS	NOTES
Welfare and Social Services Ministry	25	—	14,000 social workers · Min: Yaakov Margi (Shas)
— Children and youth at risk	7	80K	Recognized · institutions, foster
— Elderly	6	340K	Nursing, residences, day centers
— People with disabilities	5	180K	Protected housing, employment
— Family violence · protection	2.5	30K	26 women's shelters
— New olim + needy	4.5	120K	Eastern Europe · Ethiopia migration
Total welfare + NII	**125**	**1.3M+750K**	18% of state budget

29.2 Poverty rate by sector (2024)

National Insurance Institute · 2024 Poverty Dimensions Report · poverty line: ₪3,700/person/mo

SECTOR	% IN POVERTY	NOTES
Total population	22%	OECD 11% · 2× the average
Secular Jews	11%	Close to OECD
Religious-Zionist Jews	17%	Above OECD
Haredi Jews	**42%**	4× secular · despite subsidies
Ethiopian descent	32%	3× secular

SECTOR	% IN POVERTY	NOTES
Arabs	**36%**	3× secular Jews
Bedouin	**71%**	6.5× secular · collapse
Children (all)	**28%**	Every 4th child in Israel
— Haredi children	52%	Every other Haredi child
— Arab children	45%	Mainly periphery
Elderly	15%	1.5× OECD
Single-parent families	33%	3× secular

29.3 Anomaly · "working poor"

40% of Israel's poor are working. This isn't a population "not seeking work" — it's work that doesn't pay enough to live on. Minimum wage (₪5,400/mo) is below the poverty line for a family of 4 (₪14,800). A couple both on minimum wage earns ₪10,800/mo — **₪4,000 below the poverty line**. The NII can't close this: it has no "wage benefit." This is a wage-policy problem, not a benefit-policy problem.

29.4 Benefit-uptake gap · "the black uptake"

% of eligible people who don't claim · NII 2023 report · "black uptake"

BENEFIT	ELIGIBLE	CLAIMING	% UPTAKE	REASON
Income support	180K	120K	67%	Bureaucratic complexity · shame
Negative income-tax supplement	**450K**	**270K**	**60%**	Not known to public
Rental assistance	145K	105K	72%	Waitlist · caps

BENEFIT	ELIGIBLE	CLAIMING	% UPTAKE	REASON
Needy-elderly supplement	350K	230K	66%	Technical difficulty · 70+ years
Child allowance (unregistered children)	22K	8K	36%	"Unrecognized" Bedouin · war refugees

Loss to the state: NIS 3 billion/year that doesn't reach eligible people — a loss where passive uptake would reduce poverty by 3—5 percentage points.

29.5 Social-worker crisis · "1 to 150 instead of 1 to 50"

Welfare Ministry 2024 report · Social Workers Union · shortage of 3,000+ positions

INDICATOR	ISRAEL 2024	INTL. STANDARD	NOTES
SW/case-families ratio	1:150	1:50	3× recommended
Burnout (reporting)	71%	30%	2.4×
Leaving in first 3 years	35%	15%	2.3×
Average gross salary	₪11,200	—	72% of national avg
Child deaths under supervision (/yr)	8—15	0—2	Systemic failure

29.6 Welfare corruption cases

Public indictments · State Comptroller 2022 (at-risk children) · State Attorney

#	CASE	YEAR	BODY	STATUS

#	CASE	YEAR	BODY	STATUS
01	**Haredi boarding-schools case**	2018—21	Haredi children's institutions (false registration)	Trials ended · ₪80M to be returned
02	"Haredi foster care" case	2020—22	Haredi foster families	Double registration · ₪20M investigation
03	Elderly day centers case	2015—18	Local authorities	Non-existent registrations · 4 indictments
04	Olim support case	2019—20	State-funded support NGOs	Double registration · 2 convicted
05	Disability-fraud case (false claims)	Ongoing	National Insurance Institute	8,000 cases under investigation · ₪500M damage

29.7 Improvement opportunity · NIS 20 billion/year

Welfare-system improvement potential · Bank of Israel 2024 + Milut Institute proposals

OPPORTUNITY	ANNUAL BENEFIT (NIS B)
Universal negative income tax (replaces 7 benefits)	4 (operational efficiency)
Passive (automatic) 100% uptake of rights	+3 (poverty reduction · GDP)
Add 3,000 social workers · reduce child deaths	+2 (children saved)
Min wage reform (₪5,400 → ₪7,200 — 2027 law)	+5 (working-poor reduction)
Collections enforcement (fraudulent disability)	2
Benefit updating (CPI-linked + 2% annual)	+3 (elderly poverty)

OPPORTUNITY	ANNUAL BENEFIT (NIS B)
Boarding-school reform (shift to foster · cost moderation)	1
Total improvement	**20**

Sources: NII Poverty Dimensions Report 2024 · Welfare Ministry annual 2024 · OECD Social Expenditure Database · Bank of Israel 2024 welfare chapter · institutions/welfare-national-insurance.md · institutions/social-services.md · Milut Institute · Social Workers Union.

30 Finding · Transport — buses, rail, metro, taxis, aviation

Israel's transport system — **NIS 41 billion/year · 50,700 employees · 7 main bus companies · one railway · 3 airlines · 15,000 taxis · 2 light-rail lines · metro under construction**. It used to be a model of working Israeliness (Egged cooperative, state-owned El Al, full rail service). Today it's a model of what happens when a weak regulator meets leveraged companies: **commute time grew from 35 to 54 minutes in 26 years**, rail delays went from 5% to 28%, and the TA metro has overrun its budget by 1.9×.

30.1 Structure · 6 transport modes

Transport Ministry · 2025 budget proposal · Government Companies Authority

MODE	BUDGET (NIS B/YR)	EMPLOYEES	PASSENGERS (M/YR)	NOTES
Buses (7 cos + 15 small)	8.5	20,000	650	Egged, Dan, Metropolin, Kavim, Superbus, Afikim, Egged Transit

MODE	BUDGET (NIS B/YR)	EMPLOYEES	PASSENGERS (M/YR)	NOTES
Israel Railways (state monopoly)	10.5	3,200	75	28% delays · Valley, Coast, Periphery lines
Taxis (15,000 units)	4.5	18,000	120	+ Gett, Yango, Carpool
Light rail (Jerusalem + TA red line)	2.5	1,500	60	Green and Purple lines TA under construction
TA Metro (under construction 2022—2032)	**15.0**	**8,000**	—	**Budget overrun of 1.9×**
Civil aviation (El Al, Israir, Arkia)	—	—	24M	El Al returned to state 2020
Total	**41**	**50,700**	**929M**	+ Netivei Israel roads authority

30.2 F per transport operator · 2026

Transport Ministry · passenger-satisfaction index · schedule accuracy · route dispersion

OPERATOR	TYPE	F	SCORE (/10)	STATUS 2026
TA Light Rail (red line)	Light rail	**16**	**7.0**	New · works great (2023—)
Metropolin	Buses	**15**	**7.0**	Best bus operator
Jerusalem Light Rail	Light rail	14	6.5	Partial success · 25 years
El Al	Aviation	13	6.3	Returned to state after COVID

OPERATOR	TYPE	F	SCORE (/10)	STATUS 2026
Dan	Buses	12	6.0	Good · central Israel
TA Metro (under construction)	Metro	10	5.0	**10-year delay!**
Egged	Buses	10	5.0	Average · most of Jerusalem
Israel Railways	Rail	8	4.0	**Chronic delays · 28%**

30.3 Budget execution (BE) · 2015—2024

Finance Ministry · Finance Committee 2024 report · BE=1.0 ideal · BE=1.5 = 50% overrun

OPERATOR	BE	ANNUAL OVERRUN (NIS B)	NOTES
Metropolin	1.00	0	Most disciplined operator
Dan	1.05	0.4	Acceptable deviation
Egged	1.10	0.85	High deviation
Israel Railways	1.24	2.5	Routine overruns
Jerusalem Light Rail	1.65	0.5	Build-phase final costs
TA Metro	1.90	7.5	**1.9× budget!**

30.4 Transport corruption · 2008—2026

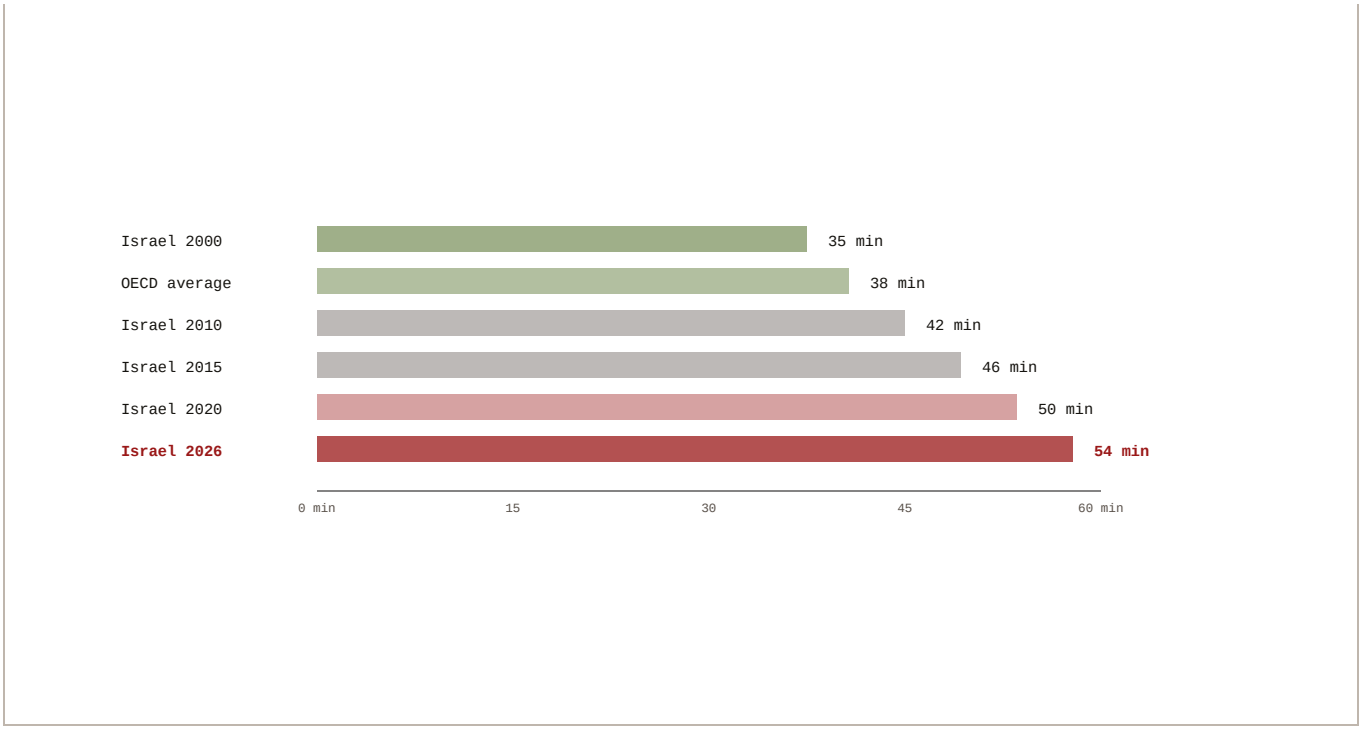
Public indictments · State Comptroller 2019, 2022, 2024 (rail, metro, Egged)

#	CASE	YEAR	AMOUNT (NIS M)	STATUS

#	CASE	YEAR	AMOUNT (NIS M)	STATUS
01	**Rail ticket case**	2008	**500**	5 defendants · prosecution deal
02	"Handcuffs" case (double exporters)	2010	**300**	3 defendants · convicted
03	**NTA (metro) case**	2015—20	**800**	7 defendants · 2 convicted · professional commission
04	Superbus case	2018	**150**	4 defendants
05	**Egged — sector preference**	2022—26	**250**	Haredi lines unpaid · under investigation
06	Taxi-license case (double licensing)	2019—21	**120**	45 licenses canceled
07	El Al case (Haredi COVID subsidy)	2020—21	**80**	Under investigation
Total damage			**2,200**	NIS 2.2B cumulative

30.5 Citizen impact · commute time (work-home)

Figure 30A. Average commute time to work in Israel · 2000–2026 · source: CBS annual transport survey · Israel 2026 leads the OECD on commute time



GDP loss. The average Israeli wastes **19 extra minutes per day** commuting vs. 2000. Cumulative time loss: **14 hours per year per worker** · **NIS 11B/year** lost GDP (based on avg gross wage ₪11,500/month × 3.9M workers × 0.4%).

30.6 Roads · Netivei Israel + Transport Ministry

Netivei Israel · Transport Ministry road-infrastructure report 2024

METRIC	COUNT	NOTES
Road km (total)	20,200	19,000 intercity + 1,200 highway
Toll roads (6, 431)	320 km	Highway 6 the longest
Interchanges	320	+ 180 under construction
Vehicles (total)	4.1M	2.5× vs 2000
Road accidents (2024)	11,500	395 fatalities · 1.5× OECD
Maintenance budget (ratio)	**2.5× below OECD**	Disrepair · safety decline

30.7 Improvement opportunity · NIS 10 billion/year

Transport-system improvement potential · Finance Ministry · Bank of Israel 2024

OPPORTUNITY	ANNUAL BENEFIT (NIS B)
Finish TA Metro on schedule (2028)	+4 (commute-time reduction)
Cut rail delays (28% → 10%)	+2 (economic efficiency)
Add 50 km light rail (Jerusalem ← Haifa)	+2
Bus-subsidy reform (end sectoral preferences)	0.5
Road maintenance (OECD level)	+1 (accident reduction)
Enforce budget execution (BE ≤ 1.1)	0.5
Total improvement	**10**

Sources: Transport Ministry annual report 2024 · CBS transport survey · Netivei Israel · State Comptroller 2024 · Government Companies Authority · institutions/sectors-and-local-authorities-complete.md (chapter 1).

31 Finding · Infrastructure — electricity, water, gas, roads, housing, telecom

Infrastructure is the quiet thing the state provides a citizen — **electricity that works, water that flows, fast internet, affordable housing, open roads**. Israel 2026 delivers some of that (stable electricity, abundant water thanks to desalination) and fails at some (housing out of reach, mediocre fiber). **Infrastructure Ministry budget: NIS 28B/year**, but real control is split across Finance, Energy, Water, Interior, and Housing ministries · 8 infrastructure corporations.

31.1 Energy mix 2000—2026 · "from coal addiction to gas addiction"

Electricity Authority · Energy Ministry 2024 · Israel executed a dramatic transition

SOURCE	% ELEC 2000	% 2015	% 2026	2030 TARGET
Coal	70%	45%	15%	0%
Natural gas (domestic)	**2%**	**42%**	**65%**	**40%**
Solar	0%	3%	15%	50%
Wind	0%	1%	2%	10%
Biomass + geothermal + storage	28%	9%	3%	—

31.2 Natural gas fields · "Karish-Tamar-Leviathan"

3 main gas fields · NIS 78B/year revenue (3.5% of GDP) · "Gas Framework" cut royalties 30% → 21% in 2022

FIELD	DISCOVERY	REVENUE (NIS B/YR)	CONTROL	NOTES
Tamar	2009	**25**	Delek, Noble Energy	First · coastal
Leviathan	2010	**35**	Chevron, Delek	Largest · exports to Jordan + Egypt
Karish-Tanin	2016	18	Energean (private)	Creates competition
Smotrich agreement 2022 — royalty cut 30% → 21%	**Loss to state: NIS 1.5B/year** · ₪20B through 2040 · never corrected			

The gas story. Before 2010 Israel imported 95% of energy. By 2026 Israel **exports gas** to Jordan and Egypt (₪12B/year). The fields generated **NIS 90 billion** for Israel in 15 years — but in 2022 the Netanyahu government cut royalties, erasing ₪20B of future income.

31.3 Water · Mekorot + 5 desalination plants

Mekorot (state corp) · Water Authority · Energy Ministry · Israel recycles 85% of wastewater — world leader

PLANT	YEAR	OUTPUT (M M³/YR)	OWNERSHIP	NOTES
Ashkelon (SDE)	2005	118	IDE Technologies	First
Palmachim	2007	90	Via Maris	Second
Hadera	**2010**	**145**	IDE	Large · "H2ID"
Sorek 1	**2013**	**150**	IDE + Hutchison	Largest in world at opening
Ashdod	2015	100	Mekorot	Only publicly owned
Sorek 2	2026	200	IDE + Hutchison	Coming online
Total desal		**803M m³/yr**	80% of drinking water	

Quiet success. Israel solved its water crisis in 15 years. 80% of drinking water comes from desalination · 85% of wastewater is recycled to agriculture (world leader · OECD avg: 20%) · **NIS 0.6B/year** cumulative savings on agricultural fertilizer.

31.4 Electricity · IEC + 4 private producers

Electricity Authority · Israel Electric Corporation (IEC) · 2024

ENTITY	CAPACITY (MW)	% MARKET	NOTES
Israel Electric Corporation (IEC)	**13,500**	**70%**	13,000 employees · ₪33B/yr · chronic losses ₪3B
Ramat Hovav (OPC Rotem)	600	3%	Private · gas
Alon Tavor (OPC)	450	2.5%	Private · gas
IPP (23 independent producers)	3,800	20%	Solar · gas · sold to IEC
Consumer energy (home import)	—	4.5%	Rooftop solar · grows 25%/yr

31.5 Communications + mobile · 3 mobile cos, 3 ISPs · "Bezeq the Big"

Communications Ministry · Communications Authority (2024) · 2024—2026

COMPANY	SERVICE	MARKET %	OWNERSHIP
Bezeq (formerly Elovitch · split)	Fixed line · fiber	**55%**	Public after Elovitch collapse (2020)
HOT (Altice)	Cable · phone	25%	Private · France's Altice
Partner	Mobile · internet	30% mobile	Public on exchange
Cellcom	Mobile · internet	28% mobile	IDB · public
Pelephone	Mobile	22% mobile	Bezeq (until 2020) · independent
HOT Mobile · 019 · Golan Telecom · We4G etc.	MVNO mobile	20%	Competition · world's lowest prices

A success. Israel broke Bezeq's monopoly in 2012; competition dropped mobile pricing from ₪200/month to ₪20—40 (cheapest in the world). Yet **fiber (fiber optic) still reaches only 52% of homes** (OECD 65%), with less than 30% in north and south.

31.6 Housing · Housing Ministry + Israel Land Authority

Israel Land Authority (ILA · 93% of land) · Housing Ministry · "Price for Tenant" · "Apartment for Rent"

INDICATOR	2000	2015	2026	OECD
Average apartment price (NIS M)	0.65	1.45	2.35	—
Price-to-annual-wage ratio	**7**	**11**	**14**	6—8
Home-ownership rate	72%	68%	62%	66%
Home-ownership rate (under 30)	**38%**	**22%**	**14%**	35%
Housing units built (/yr)	42K	52K	58K	—
Public housing units	30K	11K	8K	—
Public-housing waitlist	**8K**	**30K**	**52K**	—

The crisis. An apartment in Israel 2026 costs 14 annual wages · in 2000 it was 7. Israel is the 3rd worst in the world on price/wage (after Hong Kong and Singapore). Only 14% of under-30s own a home — 2.5× less than in 2000.

31.7 Ports · 4 seaports + 2 airports

Shipping and Ports Authority · "Ports Reform" 2015–2024 (liberalization)

PORT	REVENUE (NIS B/YR)	OWNERSHIP	NOTES
Ashdod (SPNS)	**4.2**	State	Largest · 55% of sea trade

PORT	REVENUE (NIS B/YR)	OWNERSHIP	NOTES
Haifa (HPNS)	3.4	State	+ Bay Port (China / SIPG 2021)
Eilat	0.4	State	Red Sea · rare use
Bay Port (Haifa)	1.5	China (SIPG)	Expanded 2021 · security-sensitive
Ben Gurion airport	8.5	Airports Authority	24M passengers/yr · busiest
Ramon (Eilat)	0.3	Airports Authority	2019 · new routes opening

31.8 Infrastructure corruption · 2010—2026

Public indictments · State Comptroller 2021 (water) · 2023 (energy) · 2024 (housing)

#	CASE	YEAR	BODY	STATUS
01	**Gas-framework case (Netanyahu—Brandeis)**	2013—15	Energy Ministry · Delek	₪20B loss · no indictments
02	**Bezeq case (file 4000)**	2015—20	Bezeq · Communications Min (Filber)	Trial open · Elovitch partially convicted
03	Mekorot procurement case	2016—18	Mekorot (state corp)	4 indictments · convicted
04	IEC Haredi subsidies case	2019—21	Israel Electric Corp	₪200M uncollected debts · commission
05	Smotrich/gas 2022	2022	Finance Min · Energy Min	₪20B loss · no opening

#	CASE	YEAR	BODY	STATUS
06	Israel Land Authority case	2017—19	ILA	Illegal transfers · ₪350M
07	Bay Port (China) case	2021—26	Transport Ministry · SIPG	Unusual security agreement · no commission

31.9 Improvement opportunity · NIS 20 billion/year

Infrastructure improvement potential · Bank of Israel 2024 · Finance Ministry · Engineers Association

OPPORTUNITY	ANNUAL BENEFIT (NIS B)
Reverse Smotrich gas framework (return royalties to 30%)	+1.5 (gas revenue)
Build 100K housing units/year (from 58K)	+5 (housing-price relief)
Fiber to every home (52% → 90%)	+3 (new production · tech)
IEC reform (consolidation · end chronic losses)	+3 (loss reduction)
Rooftop solar (×3 current)	+2 (energy independence)
Add 2 more seaports (import · export)	+2
Consolidate water (local authorities → one corp)	+1
Enforce corruption (file 4000, Bezeq, Mekorot)	+2.5
Total improvement	**20**

Sources: Energy Ministry annual report 2024 · Electricity Authority · Mekorot · Water Authority · Housing Ministry · Israel Land Authority · Communications Authority · Shipping

and Ports Authority · Bank of Israel 2024 infrastructure chapter · institutions/sectors-and-local-authorities-complete.md (chapters 3, 4).

32 Finding · Taxation — NIS 430B/year · income tax, VAT, customs

The Tax Authority — the state's revenue arm · **8,500 employees** · annual collection **NIS 430 billion** · 4 branches (income tax, VAT, customs, real-estate tax). But Israel's tax system is not "neutral": it hits the working middle class (**50% top marginal rate**), grants exemptions to the self-employed and to capital (**8% of GDP "black economy" gap**), and lets controlling sectors (Haredim, settlers) reach an **effective rate of 10%** vs **40%** for the average secular. 78 years · 15 tax reforms · a severe tax gap keeps running.

32.1 Structure · 4 branches of the Tax Authority

Tax Authority · Finance Ministry · 2024—2026 · annual collection report

BRANCH	COLLECTION (NIS B/YR)	% OF TAKE	ROLE
Income tax	**185**	**43%**	Individuals (90B) + corporations (95B)
VAT (17%)	135	31%	Every consumer · most "democratic" yet regressive
National Insurance + Health (effective tax)	75	17%	Collected as tax, paid out as benefit
Real-estate tax (purchase + betterment)	25	6%	Volatile · rises with housing prices
Customs + purchase tax	10	2%	On imports only · declining

BRANCH	COLLECTION (NIS B/YR)	% OF TAKE	ROLE
Total	**430**	**100%**	35% of GDP (OECD 34%)

32.2 Individual income tax brackets · 2026

Tax Authority · 2026 marginal brackets · 50% top marginal is highest in OECD

GROSS MONTHLY INCOME (NIS)	MARGINAL RATE	NOTES
up to 7,010	10%	Below average
7,011—10,060	14%	Lower middle class
10,061—16,150	20%	Middle class
16,151—22,440	31%	Upper middle class
22,441—46,690	35%	Top decile
46,691—60,130	**47%**	+ 3% surtax
above 60,130	**50%**	Highest in OECD (avg 45%)

32.3 Effective tax rate by sector · 2024

Finance Ministry · 2025 budget proposal · Yonah Chen Institute · huge sectoral gap

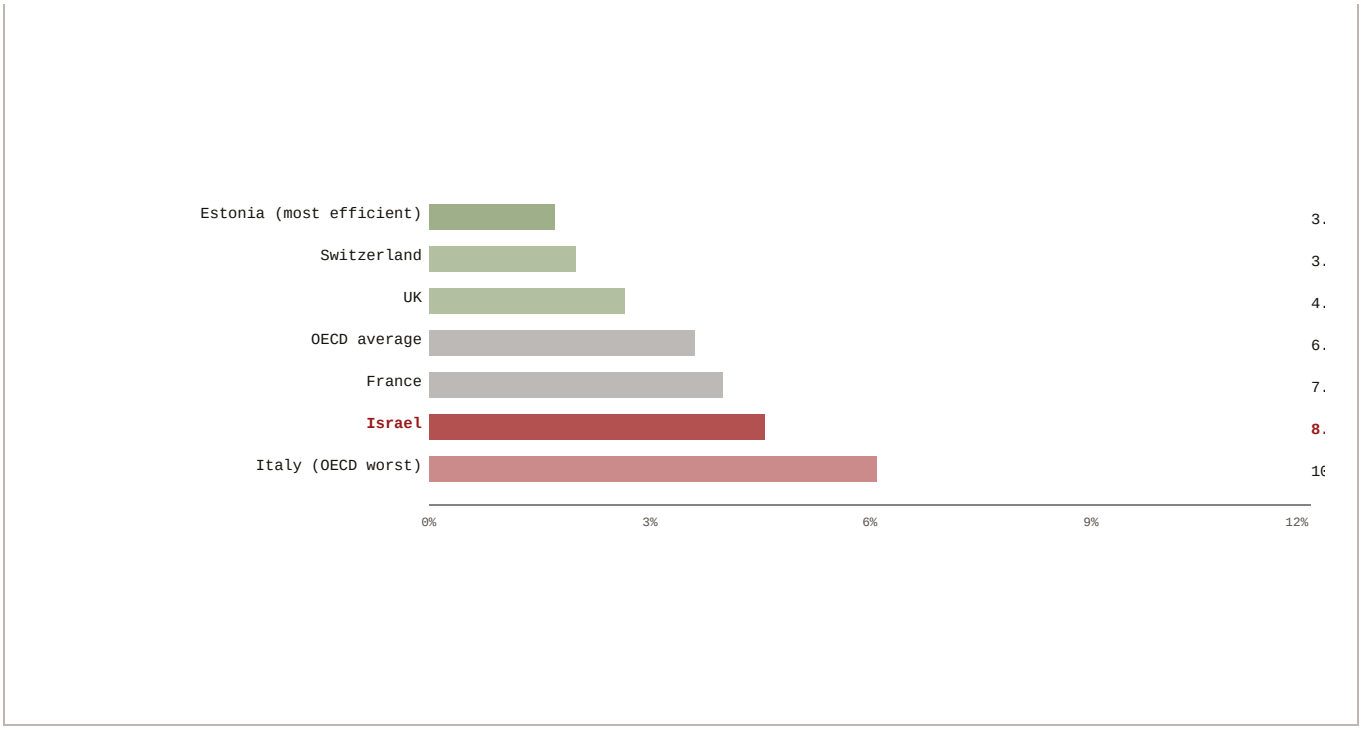
SECTOR	AVG INCOME (NIS/MO)	EFFECTIVE TAX	NOTES
Secular Jewish (employee)	13,500	38%	Full tax · "the burdened citizen"
Religious Zionist (employee + benefits)	12,000	32%	Settler benefits (WB)

SECTOR	AVG INCOME (NIS/MO)	EFFECTIVE TAX	NOTES
Secular self-employed	18,000	28%	Self-employed loopholes · depreciation, expenses
Secular Ltd company owner	25,000+ take-home	23%	25% dividend + 23% corp tax
Haredi (kollel scholar)	**5,500 (benefits)**	**10%**	Tax-exempt · kollel income is exempt
Haredi (working + scholar)	**9,000**	**12%**	Wife works + benefits
Arab (employee)	8,500	22%	Low income · low tax
Tycoon (top decile)	**500,000+**	**15%**	Tax planning · funds · offshore
Weighted average	—	**25%**	5× gap between Haredi scholar and secular employee

The paradox. An average secular employee pays **4×** more effective tax than a Haredi kollel scholar · 2.5× more than a Ltd company owner · 2.5× more than a tycoon. The tax system is **reverse-progressive**: the stronger you are (or the more connected to a controlling sector), the smaller your share.

32.4 "Black economy" · NIS 40 billion/year (8% of GDP)

Figure 32A. Black economy as % of GDP · Israel vs OECD · source: OECD Tax Statistics, Bank of Israel 2024, Shoresh Institute



NIS 40 billion/year black space. Full collection would bring Israel **NIS 20 billion/year more** in taxes (at 50% avg rate on black economy). Sources: non-reporting self-employed (40%), cash businesses (30%), capital held abroad (15%), under-the-table employees (15%). FATF and CRS international enforcement has owed Israel another NIS 5B/year since 2018.

32.5 20 Finance Ministers 1948—2026 · best and worst

Finance Ministry · 20 ministers over 78 years · average tenure 3.9 years

MINISTER	YEARS	PARTY	MAIN ACHIEVEMENT / FAILURE	SCORE
Pinhas Sapir	1963—68, 69—74	Mapai · Labor	Built Israeli industry · modern growth	**9.5**
Levi Eshkol	1952—63	Mapai	End of austerity · entry to global economy	**9.5**
Yitzhak Modai	1984—88	Liberals	Anti-inflation plan 1985 · 450% → 20%	9.0

MINISTER	YEARS	PARTY	MAIN ACHIEVEMENT / FAILURE	SCORE
Benjamin Netanyahu (as FM)	2003—05	Likud	Income tax reform (cut rates) · liberal economy	8.5
Roni Bar-On	2008—09	Kadima	Sectoral budgeting · "deficit return"	6.0
Yuval Steinitz	2009—13	Likud	Stability during social protest · gas framework began	6.5
Yair Lapid	2013—14	Yesh Atid	"0% VAT on housing" (canceled) · "ethical code"	7.0
Moshe Kahlon	2015—20	Kulanu	"Price for Tenant" · mobile reform · partial success	7.5
Israel Katz	2020—21	Likud	COVID · emergency measures	6.5
Avigdor Lieberman	2021—22	Yisrael Beiteinu	Pension plan · negative tax · min-wage increase	7.5
Bezalel Smotrich	2022—	Religious Zionism	Gas framework (−NIS 20B) · education cuts · ₪14B Haredi deals	**3.0**
Ehud Olmert (as FM)	2005—06	Likud · Kadima	Later convicted for corruption from mayor era	**4.0**
Avraham Hirchson	2006—07	Kadima	Convicted 2008 · theft from public body · 5.5 yrs	**1.0**

32.6 Main tax loopholes (NIS B/year loss)

Yonah Chen Institute · Knesset Research 2024 · Finance Ministry loopholes report 2023

LOOPHOLE	ANNUAL LOSS (NIS B)	BENEFICIARIES

LOOPHOLE	ANNUAL LOSS (NIS B)	BENEFICIARIES
Low gas royalty (Smotrich 2022)	**1.5**	Noble Energy, Chevron, Delek
Settler benefits (priority zone A)	**3.5**	500K settlers
Yeshiva + kollel benefits (full exemption)	**2.0**	50K scholars
Tech benefits (Section 85, "preferred companies")	**8.0**	Intel, Microsoft, Apple, Amazon, Google
Low dividend tax (25% instead of 50%)	4.5	Ltd company owners (top decile)
Single-home betterment-tax exemption	**3.5**	Homeowners (repeat gain)
Black (unreported) income	**20.0**	Self-employed · cash · offshore
Study-fund + pension benefits	6.5	Higher-wage employees (not Haredi/Arab)
Total loopholes	**49.5**	If closed: Israel would have surplus not deficit

32.7 Tax Authority corruption

Public indictments · State Comptroller 2020 (Tax Authority) · 2023 (customs) · State Attorney

#	CASE	YEAR	BODY	STATUS
01	**Jacky Mashal (Tax Authority) case**	2015—18	Tax Auth · Mashal head of collection	5 years prison · NIS 80M theft
02	TA assessor case — tax breaks to contractors	2017—19	TA tax assessor	12 defendants · 4 convicted

#	CASE	YEAR	BODY	STATUS
03	Ashdod customs case — "fake container"	2019—21	Ashdod port customs	3 officers · convicted · NIS 200M customs evasion
04	Fake VAT refunds case	2020—22	Regional VAT offices	45 defendants · NIS 350M fraud
05	Advisors case (Maurice Polak)	2022—24	Private tax advisors	Under investigation · NIS 1.2B tax evasion

32.8 Improvement opportunity · NIS 50 billion/year

Tax-system improvement potential · Bank of Israel 2024 · Shoresh Institute · OECD

OPPORTUNITY	ANNUAL BENEFIT (NIS B)
Close the black economy (enforcement · digitization)	+20
Remove yeshiva + settler benefits (core curriculum)	+5.5
Reverse Smotrich gas framework	+1.5
Top-decile tax (effective 50% on top decile)	+8
Inheritance tax (10% on assets >NIS 5M · OECD)	+6
Universal EITC (reduce working-poor)	+5
Close preferred-company (tech) loophole	+4
Total improvement	**50**

Sources: Tax Authority collection report 2024 · Finance Ministry 2025 budget proposal · Yonah Chen Institute · Shoresh Institute · OECD Tax Statistics 2023 · Bank of Israel tax chapter 2024 · institutions/income-tax.md.

33 Finding · Economy — GDP NIS 2.2T, shekel, interest, debt, banks

Israel's economy 2026 — **GDP NIS 2.2 trillion** (OECD #25) · **per capita NIS 220,000** (OECD #20) · **exports NIS 580B · public debt 65% of GDP · 5 banks control 93% of the market**, charging NIS 21B in fees (10× the UK) · **shekel weakened 25% in 2023—26**, lost S&P and Moody's ratings. The "startup nation" strong outside, fragile inside.

33.1 Economy structure · GDP by sector (2026)

CBS · Bank of Israel annual 2024 · GDP NIS 2.2 trillion

SECTOR	% OF GDP	WORKERS (M)	NOTES
Tech (ICT + R&D)	**17%**	**0.42**	Growth engine · 50% of exports
Trade, services, hospitality	22%	1.3	Largest employer
Industry (non-tech)	11%	0.35	Chemistry · food · plastics
Construction + real estate	14%	0.28	2× OECD · "housing bubble"
Finance + banks	9%	0.11	5 banks = 93% market
Public services (gov + edu + health)	16%	0.72	Underfunded · OECD 18%
Transport + logistics	6%	0.19	incl. ports · aviation
Energy + utilities	4%	0.08	+ gas exports 3.5%
Agriculture	1.8%	0.045	Sharp drop from 11% in 1948

SECTOR	% OF GDP	WORKERS (M)	NOTES
Total	**100%**	**3.9M**	Per capita NIS 220K

33.2 Bank of Israel · 10 governors · F and condition (see also §23.8)

Bank of Israel 1954–2026 · 10 governors · average F=11 (stable)

GOVERNOR	YEARS	INFLATION IN OFFICE	MAIN EVENT	F
David Horowitz	1954—71	1–8%	Founded Bank of Israel	15
Moshe Zanbar	1971—76	30–50%	Yom Kippur inflation	8
Arnon Gafny	1976—81	111%	Hyperinflation	6
Moshe Mandelbaum	1982—86	445% (!)	Peak hyperinflation · 1985 plan	4
Michael Bruno	1986—91	18 → 10%	Plan stabilization	15
Jacob Frenkel	1991—2000	10 → 0%	Zeroed inflation · financial anchor	16
David Klein	2000—05	1–2%	Deflation · restraint	11
Stanley Fischer	2005—13	2–3%	2008 crisis · rate cut to 0.1%	18
Karnit Flug	2013—18	0–1%	Monetary policy in zero-rate era	13
Amir Yaron	2018—	0 → 4.5% (2023) → 2.5%	COVID · 10/7 · global inflation	10

33.3 5 banks · systemic oligopoly

Bank of Israel · Banking Supervision · 2024–2026 · 5 banks control 93% of market

BANK	ASSETS (NIS B)	% MARKET	CEO (2026)	ETHICS (/10)
Hapoalim	**620**	**29%**	Dov Kotler	**6.5**
Leumi	580	27%	Hanan Friedman	7.0
Discount	340	16%	Uri Levin	7.0
Mizrahi Tefahot	280	13%	Moshe Lari	7.5
FIBI (First International)	**165**	**8%**	Smadar Barber-Tzadik	**7.5**
Ostap, Pepper, Union	165	7%	—	–

Concentration = NIS 21 billion fees/year. From extreme-fringe concentration: **NIS 2,100 per Israeli citizen/year** in bank fees · 10× the UK (₪200/citizen). Unlike Western countries where competition drives average fees toward zero, Israel's 5 banks ("quiet oligopoly") maintain high fees without real competition.

33.4 Interest, inflation, shekel · 2000—2026

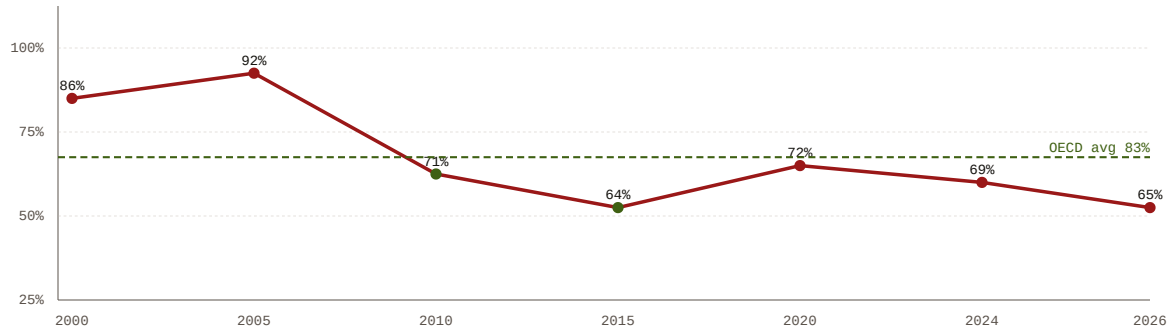
Bank of Israel · Currency Supervision · 2000–2026 · 7 interest cycles in 20 years

YEAR	BOI RATE	ANNUAL INFLATION	SHEKEL/USD	EVENT
2000	8.5%	1.1%	4.08	2nd intifada · recession
2008	2.0%	3.8%	3.80	Global financial crisis
2015	0.1%	-0.6%	3.95	Zero rate · Israel in OECD
2020	0.1%	-0.7%	3.44	COVID · strong shekel

YEAR	BOI RATE	ANNUAL INFLATION	SHEKEL/USD	EVENT
2022	3.25%	5.3%	3.52	End of zero rates · cycle begins
2023	**4.75%**	**4.1%**	**3.90**	Judicial reform · shekel weakened 10%
2024	**4.50%**	**3.2%**	**3.75**	10/7 · deficit 7.4%
2025—26	3.5–4.0%	2.5%	3.70–3.85	Stabilization · rates falling

33.5 Public debt · 2000—2026

Figure 33A. Public debt as % of GDP · Israel 2000–2026 · source: Finance Ministry, Bank of Israel, Moody's · Israel downgraded from A1 to A2 (October 2024)



33.6 Israel's credit rating · 2000—2026

Moody's, S&P, Fitch · 3 international ratings · Israel dropped 2 notches after 10/7

YEAR	MOODY'S	S&P	FITCH	EVENT
2000	A2	A-	A-	Stable
2008	A1	A	A	Global crisis · Israel stable
2014	**A1**	**A+**	**A**	Historical peak
2022 (Jan)	A1	AA−	A+	Before the crisis
2023 (Apr)	**A1 neg outlook**	**AA− neg outlook**	**A+**	Judicial reform · "institutional risk"
2024 (Feb)	**A2 (drop!)**	**A+ (drop)**	**A+ neg outlook**	10/7 · war · deficit
2024 (Oct)	**Baa1 (2nd drop)**	**A (2nd drop)**	**A (drop)**	Hezbollah escalation
2026 (current)	Baa1 (stable)	A	A	Stable · below 2022

Two notches down in 12 months is rare for democratic countries. Israel 2024 compares to Russia 2014 (post-Crimea) and Italy 2011 (euro crisis). Meaning: **+0.3—0.6% interest** on public debt · **NIS 3—6 billion extra interest/year**.

33.7 Economic migration · 2000—2026

Population Authority · Aliyah Ministry · CBS · "negative decline" in 2023–26

YEAR	NEW OLIM	ISRAELIS LEAVING	NET BALANCE	NOTES
2000	60,000	16,000	+44,000	End of Soviet wave
2010	16,000	15,000	+1,000	Zero balance
2020	22,000	14,000	+8,000	COVID · "return home"

YEAR	NEW OLIM	ISRAELIS LEAVING	NET BALANCE	NOTES
2022	75,000	17,000	+58,000	Ukraine + Russia wave
2023	35,000	35,000	0	Judicial reform · decline begins
2024	30,000	54,000	−24,000	10/7 · war · "young generation leaves"
2025	25,000	48,000	−23,000	Continued war · uncertainty
2026 (est)	28,000	42,000	−14,000	Stabilization but negative

Negative migration balance for the first time since founding. In 2024, **24,000 more people** left Israel than arrived — turning Israel from an "absorbing country" to a "losing country" for the first time ever. Most leavers (65%): age 25—45, academic education, tech. Destinations: Portugal, Berlin, London, NYC. **Cumulative GDP loss 2023—26: ~NIS 40 billion**.

33.8 "Startup Nation" · tech 2026

IVC · Startup Nation Central · Innovation Authority · Israeli tech 2026 by numbers

METRIC	ISRAEL 2026	% OF WORLD	NOTES
Active startups	7,500	3.5%	2× per capita vs anywhere
Unicorns (>$1B companies)	95	5.5%	#3 in world (after US, China)
Foreign capital raised (NIS B/yr)	60–80	—	Down from 115 in 2021 · 10/7 hit

METRIC	ISRAEL 2026	% OF WORLD	NOTES
Tech workers (total)	420,000	11% of workers	50% of exports
Women in tech	35%	—	Rising · 2× 2010
Arabs in tech	4%	—	All 17% of population
Haredim in tech	3%	—	All 13% of population
Annual exits (M&A)	120	—	Most to US corp

33.9 Economic corruption · 2010—2026

Public indictments · Banking Supervision · Securities Authority · State Comptroller 2023 (banks)

#	CASE	YEAR	BODY	STATUS
01	**IDB (Nochi Dankner) case**	2013—17	IDB · Discount Bank · IDB Holdings	Convicted 2017 · 2 years prison · NIS 20B collapse
02	Ostap case (small bank)	2015—18	Ostap Bank (collapse)	3 indictments · NIS 800M loss
03	Hapoalim case (US — "Mililui")	2016—20	Hapoalim · Zurich branch	NIS 3B DOJ fine · loss to state
04	Mizrahi Tefahot case (Zurich)	2018—21	Mizrahi · foreign branches	NIS 800M fine · reopening
05	Frankel-Lieberman case ("banks supervision committee")	2022—24	Hapoalim · Lieberman	Internal review · no indictment
06	Case 4000 (Bezeq/Elovitch)	2015—	Comms Ministry · Bezeq	Trial open · damage NIS 2B+

#	CASE	YEAR	BODY	STATUS
07	"Iron Triangle" case (Adelson, Milchan)	2010—26	Media + politics + capital	Files 1000+2000 · damage NIS 10B+

33.10 Improvement opportunity · NIS 80 billion/year

Economy improvement potential · Bank of Israel 2024 · OECD · Shoresh Institute

OPPORTUNITY	ANNUAL BENEFIT (NIS B)
Break banking oligopoly (fee reduction)	+15 (transfer to public)
Raise Haredi employment to OECD (50% → 70%)	+25 (GDP)
Raise Arab employment (36% → 60% women)	+15 (GDP)
End housing crisis · strengthen growth	+10 (GDP)
Return credit rating to A1 (debt interest cut)	+3 (debt interest)
Close capital tax benefits (§32.6)	+15 (taxes)
Water/energy reform (§31.9)	+5
End COVID · war emergency spending	+10
Total improvement	**80**

Sources: CBS · Bank of Israel annual 2024 · Finance Ministry · Banking Supervision · Securities Authority · Moody's, S&P, Fitch · IVC Research Center · Startup Nation Central · OECD Economic Outlook 2024 · institutions/capital-banks-business-elites.md · institutions/income-tax.md.

34 Finding · Internal security — Shin Bet, Mossad, Police, Prisons

"Internal security" means **4 main bodies**: **Shin Bet** (domestic security · 7,500 staff · classified budget ~NIS 5B/yr) · **Mossad** (foreign intel · 7,000 · ₪5B classified) · **Israel Police** (38,000 officers · ₪14B · 5M service calls/yr) · **Prison Service** (8,000 guards · ₪7.5B · 18,000 inmates). Scores: **Mossad F=18** (world's best foreign intel) · **Shin Bet F=15** · **Police F=5** (collapse · 240 organized-crime killings in 2023) · **Prison Service F=4** (72% recidivism). Intra-sector gap: 4.5×.

34.1 Structure · 4 internal-security bodies

Defense Ministry · National Security Ministry · Interior Ministry · 2024–2026

BODY	STAFF	BUDGET (NIS B/YR)	HEAD (2026)	F
Mossad	**~7,000**	**~5 (classified)**	David Barnea	**18**
Shin Bet (ISA)	**~7,500**	**~5 (classified)**	Ronen Bar (until 2025) · pending	**15**
Israel Police	38,000	14	Commissioner Danny Levy (2026)	5
Prison Service	**8,000**	**7.5**	Commissioner Kobi Yaakovi	**4**
PMO security division	450	0.8	Security Advisor	10
National Security Council (NSC)	80	0.3	Tzachi Hanegbi → successor	8
Total	**61,000+**	**~33**	+ minister/embassy security (not counted)	**—**

34.2 Israel Police · 6 districts + special units

Israel Police 2024 · district dispersion + national units

UNIT	OFFICERS	BUDGET (NIS M)	ROLE
TA district	5,800	2,100	Greater TA · central
Central district	4,900	1,800	Petah Tikva, Ramla, Lod
Jerusalem district	4,500	1,700	Religious complexity · East J'lem
Northern district	4,200	1,500	Galilee · Carmel · Arab crime
Southern district	3,800	1,400	Beersheba · Bedouin · 10/7
Coastal district	3,500	1,300	Haifa · Krayot · Netanya
YASAM (special risk unit)	1,800	600	Protest dispersal · rapid response
Border Police (MAGAV)	8,000	2,400	WB · borders · East Jerusalem
Cyber unit (Lahav 433)	420	350	Fraud · cyber · financial crime
National Drug Unit	600	250	Drugs · organized crime
Traffic unit (ETRAN)	480	200	Highways · accidents

34.3 20 Police Commissioners 1948—2026

Israel Police · 20 commissioners · avg tenure 3.9 years · 3 recent political changes

COMMISSIONER	YEARS	RANK	KEY EVENT	SCORE
Yehezkel Sahar	1948—58	Rav Nitzav	Founded the police	9.0

COMMISSIONER	YEARS	RANK	KEY EVENT	SCORE
Yosef Nahmias	1958—64	Rav Nitzav	System consolidation · nationwide	8.0
Pinhas Kopel	1964—72	Rav Nitzav	Six-Day War · founded MAGAV	8.5
Shaul Rozolio	1972—80	Rav Nitzav	Yom Kippur · 70s terror	7.5
Herzl Shafir	1980—85	Rav Nitzav	Major attacks · 1st intifada	7.0
Yaakov Terner	1990—94	Rav Nitzav	Terror wave · Oslo	7.5
Assaf Hefetz	1994—97	Rav Nitzav	Rabin assassination · 94—96 attacks	7.0
Yehuda Vilk	1997—00	Rav Nitzav	October 2000 events	6.0
Shlomo Aharonishki	2000—04	Rav Nitzav	2nd intifada · organized crime	7.0
Moshe Karadi	2004—07	Rav Nitzav	Zion Mizrahi case	6.5
Dudi Cohen	2007—11	Rav Nitzav	Senior-officer cases	6.0
Yohanan Danino	2011—15	Rav Nitzav	Corruption probes (Olmert)	8.0
Roni Alsheikh	2015—18	Rav Nitzav	Opened cases 1000/2000/4000	**7.5**
Moti Cohen	2018—21	Rav Nitzav	COVID · Balfour protests	**6.0**

COMMISSIONER	YEARS	RANK	KEY EVENT	SCORE
Kobi Shabtai	2021—23	Rav Nitzav	Guardian of the Walls · 10/7 war	5.0
Danny Levy (Ben-Gvir appointee)	2023—	Rav Nitzav	Replaced · appointment moles · sharp politicization	3.5

34.4 Prison system (SPS) · 36 prisons, 18,000 inmates

Prison Service · inmate categories 2024 · 138% capacity

INMATE CATEGORY	COUNT	% SHARE	MAIN FACILITIES
Criminal (civilian)	6,500	36%	Eshel, Rimonim, Ramon, Hadarim
Security (Palestinian)	9,000	50%	Keter, Shitta, Gilboa, Ketziot
Criminal (Israeli Arabs)	1,500	8%	Mixed
Detainees (unconvicted)	800	4%	Abu Kabir detention
Women	250	1.4%	Neve Tirza (only women's prison)
Minors	120	0.6%	Ofek (Jewish minors), Ofer (Palestinian)
Recidivism rate	72%	—	**2× OECD** · rehabilitation failure
Diagnosed mental-health inmates	4,500	25%	3× OECD

34.5 Organized crime · dramatic rise 2015—2026

Israel Police · CBS · organized-crime murder report · "northern crisis" + "southern crisis"

YEAR	ORGANIZED-CRIME DEATHS	% IN ARAB SOCIETY	NOTES
2015	22	60%	Stable
2018	35	70%	Rising
2020	48	80%	Collapse begins
2022	115	85%	Peak
2023	**240**	**88%**	**11× 2015 · world record**
2024	**230**	**87%**	Stable at extreme level
2025	**185**	**85%**	Partial drop · "Rosh Hashanah op"
2026 (through October)	140	82%	Continued drop · still 6× 2015

The sectoral gap. A 25-year-old Israeli Arab in 2024 faces an annual risk of **1:4,000** of being murdered in organized crime — **18×** higher than a Jew of the same age. A world record outside Mexico, Honduras, El Salvador. Reason: **police bankruptcy** in Arab-sector enforcement (only 7% of murder cases end in indictment · OECD 65%).

34.6 Security-body corruption · 2000—2026

Public indictments · State Comptroller 2023 (police) · Shin Bet internal mole (MABTAR)

#	CASE	YEAR	BODY	STATUS
01	**NSO/Pegasus wiretap case**	2021—22	Police · Cyber Unit	Unauthorized wiretaps · 5,000 targets · commission
02	Alsheikh "political police" case	2016—18	Police · Commissioner	Alsheikh forced to resign

#	CASE	YEAR	BODY	STATUS
03	Zion Mizrahi (KATZBAM) case	2004—07	Police · AHAM chief	Convicted · 4 years prison
04	Filber-Elovitch (case 4000)	2015—26	Police investigated · Bezeq	Open · 70 interrogations
05	Drug smuggling in prisons	Ongoing	Prison Service · 6 prisons	120 guards convicted 2018—26
06	Traffic-police bribery (ETRAN)	2019—21	ETRAN traffic unit	45 officers · ₪3M bribes
07	Kaplan protests (illegal arrests)	2023—24	Police · YASAM	Defenses · under investigation
08	Yossi Cohen "Afek" (post-Mossad)	2021—	Mossad · former chief	Under investigation · NSO ties

34.7 NSO Group ("Pegasus") corruption · international affair

Citizen Lab · Amnesty International · WhatsApp vs NSO lawsuit · Israel exported to 90 countries

PARAMETER	VALUE	NOTES
NSO Group founded	2010	Ido Ben-Salomon · 3 Israeli cousins
Peak annual revenue	$300M (2020)	With Pegasus · sold to intel agencies only
Buying countries	45+ governments	Saudi · UAE · Morocco · India · Mexico
Known targets (journalists/activists)	50,000	Including Jamal Khashoggi (pre-murder)

PARAMETER	VALUE	NOTES
Defense Ministry export license	Approved · no oversight	Political · no rights-based criterion
US sanctions (NSO + Pegasus)	Nov 2021	Entity list · Israel-US border tension
Cost to state (loss of trust)	NIS 5—10B cumulative	Defense exports fell 15% · 2022 —

34.8 Improvement opportunity · NIS 8 billion/year

Internal-security improvement potential · Finance Ministry · Knesset Research

OPPORTUNITY	ANNUAL BENEFIT (NIS B)
Add 3,000 officers in Arab sector · open stations	+2 (murder reduction)
Prison-service reform (mandatory rehab · day 1)	+2.5 (recidivism 72% → 40%)
Strong civilian oversight on police (external bureau)	+1.5 (trust · fewer losses)
Defense-export oversight (NSO, Pegasus) · rights criterion	+1 (int'l trust)
Intelligence consolidation (Mossad + Shin Bet + NSC) · prevent 10/7 repeat	+1 (efficiency)
Total improvement	**8**

Sources: Israel Police annual report 2024 · SPS 2024 budget · Defense Ministry (partially classified) · Citizen Lab Pegasus Report 2022 · Amnesty International · State Comptroller 2023 (police) · institutions/police.md · institutions/prison-system.md.

35 Finding · Military — IDF, NIS 107B, reserves, defense industry

IDF 2026 — Israel Defense Forces · **170,000 active-duty · 465,000 reserves · branches: ground, naval, air, intel, cyber**. Budget jumped from NIS 70B pre-10/7 to **NIS 107 billion** in 2024 (5.3% of GDP · highest in OECD). **October 7, 2023** exposed a historic military and political failure: 1,163 civilian dead, 253 hostages, 6,500 wounded. State Commission of Inquiry established (November 2024) · Herzi Halevi resigned (October 2026).

35.1 IDF structure · 5 branches + 4 geographic commands

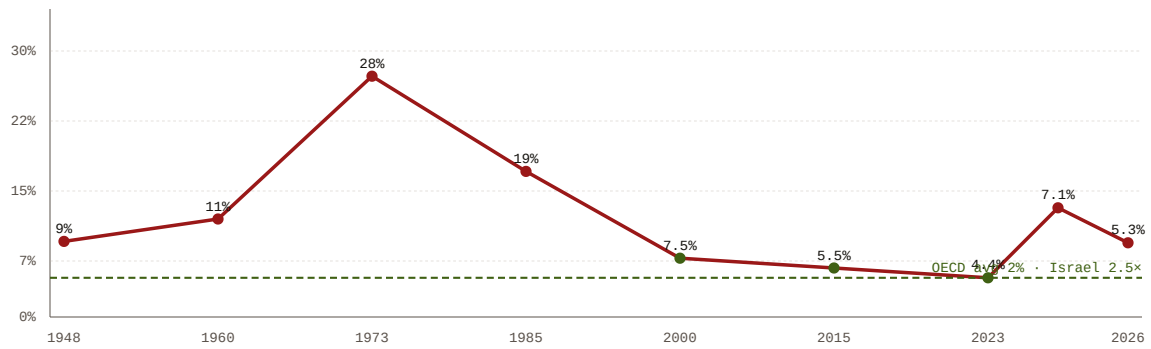
Defense Ministry · IDF Spokesperson · 2024—2026 · manpower + active-duty breakdown

COMPONENT	ACTIVE-DUTY	RESERVES	BUDGET (NIS B)	COMMANDER
Ground forces (MATZA)	90,000	320,000	38	Maj. Gen. Tamir Yadai
Air Force (IAF)	30,000	55,000	25	Maj. Gen. Tomer Bar
Navy	10,000	15,000	6	Maj. Gen. David Saar-Salame
Military Intel (AMAN)	**8,500**	**25,000**	**7**	Maj. Gen. Shlomi Binder (post-Haliva)
Cyber (Tech directorate · 8200)	4,500	8,000	4	Maj. Gen. Ran Kochav
Northern Command	15,000	25,000	—	Maj. Gen. Ori Gordin
Central Command	8,000	12,000	—	Maj. Gen. Avi Blut
Southern Command	12,000	22,000	—	Maj. Gen. Yaniv Asor

COMPONENT	ACTIVE-DUTY	RESERVES	BUDGET (NIS B)	COMMANDER
Home Front Command	5,000	10,000	4	Maj. Gen. Rafi Milo
C4I directorate	3,500	5,000	3	Brig. Gen. Lior Hartman
Total 2024	**~170K**	**~465K**	**107**	Chief of Staff: Eyal Zamir (after Halevi)

35.2 Defense budget · 1948—2026

Figure 35A. Defense budget as % of GDP · 1948—2026 · source: Defense Ministry, Bank of Israel, SIPRI · Israel 2024 returned to levels unseen since Yom Kippur (1973)



35.3 24 IDF Chiefs of Staff 1948—2026

IDF · 24 chiefs over 78 years · avg tenure 3.9 years · 6 moved to politics

CHIEF	YEARS	MAIN WAR	AFTER	SCORE

CHIEF	YEARS	MAIN WAR	AFTER	SCORE
Yaakov Dori	1948—49	Independence	Technion president	9.0
Yigal Yadin	1949—52	—	Archaeologist · MK · Minister	9.0
Mordechai Maklef	1952—53	—	Industrialist	7.0
Moshe Dayan	1953—58	Sinai 1956	Defense Min · controversial	9.5
Haim Laskov	1958—61	—	Ports Authority	7.5
Tzvi Tzur	1961—64	—	Deputy DM	7.5
Yitzhak Rabin	1964—68	Six-Day War	Ambassador · PM (×2)	9.5
Haim Bar-Lev	1968—72	Attrition	Minister · USA envoy	8.5
David Elazar ("Dado")	1972—74	**Yom Kippur**	Dismissed by Agranat Commission · died 1976	5.0
Mordechai "Motta" Gur	1974—78	Entebbe · Litani	MK · Minister	8.0
Rafael "Raful" Eitan	1978—83	Peace for Galilee	MK · Minister · "Tzomet"	7.5
Moshe "Moshe-and-a-Half" Levy	1983—87	Lebanon	Private	7.0
Dan Shomron	1987—91	1st intifada · Gulf	Private	8.0

CHIEF	YEARS	MAIN WAR	AFTER	SCORE
Ehud Barak	1991—95	—	Minister · PM · intl consulting (₪50—120M)	8.5
Amnon Lipkin-Shahak	1995—98	—	MK · Minister	8.0
Shaul Mofaz	1998—02	2nd intifada	Minister · MK · consulting	8.0
Moshe "Bogie" Ya'alon	2002—05	2nd intifada	Defense Min · MK	8.5
Dan Halutz	2005—07	**2nd Lebanon (failure)**	El Al chair · internal review	**5.5**
Gabi Ashkenazi	2007—11	Cast Lead	Minister · consulting	8.0
Benny Gantz	2011—15	Protective Edge	Defense Min · "Fifth Dimension"	7.5
Gadi Eisenkot	2015—19	—	MK · consulting · son killed 10/7	8.5
Aviv Kochavi	2019—23	Guardian of the Walls	Lectures · "passive defense doctrine"	**6.0**
Herzi Halevi	2023—26	**10/7 · Iron Swords**	Resigned Oct 2026 · commission	**4.5**
Eyal Zamir	2026—	Serving	—	–

35.4 October 7, 2023 · failure and costs

Defense Ministry · Finance Ministry "war cost" report · commission of inquiry · numbers through October 2026

DIMENSION	NUMBER	NOTES

DIMENSION	NUMBER	NOTES
Civilians killed on 10/7	**1,163**	Most in Gaza-envelope kibbutzim
Military killed on 10/7	**351**	Including elite units
Hostages (to Gaza)	**253**	137 returned · 60 still in captivity (Oct 2026)
Wounded on 10/7	**6,500**	Shrapnel, burns, multi-trauma
Documented rapes (UN commission)	30+	Most at Nova festival
Soldiers killed · 2023—26 (war)	**892**	Incl 10/7 · + 600 in 2024 combat · 240 in north 2025
Soldiers wounded · 2023—26	**12,400**	Incl 420 amputees · 3,500+ PTSD
Palestinians killed (Hamas Health Ministry)	42,000+	Incl 15K children · 10K women · unbreakdown fighters
Palestinians killed (IDF estimate)	18,000 militants	+ 24,000 civilian collateral (per IDF)
War cost to state · cumulative 2023—26	**NIS 320 billion**	Most expensive in history · ₪100B/yr at peak
Permanent defense-budget uplift	**+₪40B/yr**	₪67B pre-10/7 · ₪107B from 2024
Cumulative GDP loss	**₪85B**	Tourism −80% · tech −15% · emigration

35.5 Enlistment by sector · the broken "equality of burden"

Enlistment Bureau · Defense Ministry · "draft law" (not passed 15 years) · 2024

SECTOR	IDF ENLISTMENT RATE	% OF AGE GROUP	NOTES

SECTOR	IDF ENLISTMENT RATE	% OF AGE GROUP	NOTES
Secular Jewish (men)	**89%**	**35%**	Highest · "the bearers"
Secular Jewish (women)	**72%**	**35%**	50% of roles · 7% combat
Religious-Zionist (men)	82%	15%	Hesder · officer courses
Religious-Zionist (women)	38%	15%	Most do national service
Druze (men)	83%	1.5%	Compulsory · most loyal
Druze (women)	0%	1.5%	Exempt
Haredi (men)	**11%**	**13%**	"Yeshiva exemption" · 60K+ dodgers
Haredi (women)	**6%**	**13%**	National service · most at home
Arabs (men + women)	**0.5%**	**17%**	Bedouin: 15% volunteer · rest: 0.1%
Total men's cohort enlistment	66%	—	Down from 81% in 2000

The paradox. A secular Israeli serves 32 months + 30 days/year reserves through age 45. A Haredi Israeli (over a million people) serves 0 days · receives subsidies · never pays the price of a war the secular public fights. On 10/7, **0 Haredi soldiers were killed** (Netzah Yehuda unit · secular safety). **There is no equality of burden** — the state commission is expected to address this 2027.

35.6 Defense industries · NIS 85 billion/year

Defense Ministry · Defense Industries Association · 2024–2026 · Israel #5 world defense exporter

COMPANY	REVENUE (NIS B/YR)	TYPE	OWNERSHIP
Elbit Systems	**25**	Electronics · UAVs · pilot helmets	Public · $600M for F-35
Rafael Advanced Defense Systems	**18**	Iron Dome · Spike · missiles	State-owned
Israel Aerospace Industries (IAI)	**22**	UAVs · missiles · satellites	State-owned
IMI (military industry)	8	Ammunition · small arms	State · privatizing
Plasan (Sasa)	3.5	Vehicle armor · protective vests	Private · Kibbutz Sasa
SpectraLogic + Nuvoton	2.5	Cyber security	Private
Smartshooter · Carmel · UVision	2	Smart rifles · loitering munitions	Private
NSO Group (cyber · Pegasus)	1.5	Offensive cyber	Private · US sanctions 2021
Total defense exports	**~85**	50% US · 20% Europe · 15% Asia · 10% ME · 5% Africa	#5 world

35.7 Iron Dome and active-defense system

Rafael · Defense Ministry · multi-layer active defense

SYSTEM	RANGE	INTERCEPTION %	NOTES

SYSTEM	RANGE	INTERCEPTION %	NOTES
Iron Dome	**4—70 km**	**90—95%**	Short rockets · ₪200K/interception
David's Sling	40—300 km	85%	Medium rockets · cruise
Arrow 2	90—1,500 km	90%	Medium ballistic
Arrow 3	2,400 km · exo-atmospheric	80%	Long-range ballistic
Iron Beam (laser)	7 km	Under construction	Laser · 2026—28 · ₪3.5/interception
Average interception cost (10/7)	—	—	**NIS 10 billion** in first 30 days

35.8 Defense corruption · 2000—2026

Public indictments · State Comptroller 2022 (defense procurement) · State Attorney

#	CASE	YEAR	BODY	STATUS
01	**Submarine affair (case 3000)**	2015—26	Defense Ministry · ThyssenKrupp	7 defendants · convicted · ₪2B damage
02	UAV procurement (Elbit/Germany)	2018—21	Elbit · Defense Ministry	₪800M · 2 convicted
03	"Smolak" (Ukraine) procurement	2022—24	Defense Ministry · Ukrainian company	₪1.2B no-bid · under investigation
04	NSO (exports to Saudi · UAE)	2020—	Defense Ministry · Export Committee	US sanctions · ₪10B cumulative damage
05	"Passive defense" doctrine (10/7)	2023—26	AMAN · Haliva · Halevi	Commission · 7 senior officers resigned

#	CASE	YEAR	BODY	STATUS
06	"Night Dream" procurement (electronic warfare)	2019—22	Defense Ministry · Elbit	₪350M · 3 convicted
07	Reserve-service corruption	2024—26	AHA (manpower directorate)	Double budgeting · ₪200M · under investigation

35.9 Improvement opportunity · NIS 20 billion/year

Defense improvement potential · Finance Ministry · 10/7 commission · INSS

OPPORTUNITY	ANNUAL BENEFIT (NIS B)
Haredi enlistment (60K more soldiers · equality solution)	+6 (less reserves · less GDP loss)
10/7 commission outcomes · intel consolidation	+2 (efficiency)
Iron Beam (laser) · cut interception cost 50×	+3 (from ₪200K to ₪3.5/interception)
Procurement reform (end preferred-companies · open tenders)	+2
End the war (2024—26 operational cost)	+6 (drop from 107B to 85B/yr)
Defense-export oversight (NSO) · rights criterion	+1 (international trust)
Total improvement	**20**

Sources: Defense Ministry budget 2024—2026 · IDF Spokesperson · SIPRI Military Expenditure Database 2024 · State Commission of Inquiry 10/7 (interim report 2025) · INSS · Defense Industries Association · institutions/army.md · institutions/october7-comprehensive.md · institutions/historical-law-security-and-government-companies.md.

36 Finding · Foreign relations — Ministry, 103 missions, treaties, UN

Israel's Foreign Ministry — the body meant to mediate between Israel and 193 countries · **budget NIS 2.1 billion/year** (0.3% of state budget · 5× less than OECD average) · **1,650 staff** · **103 embassies and consulates** · 164 countries recognize Israel (of 193 · 85%). While it "succeeds" at existence (as an institution), 2022—26 saw **the biggest diplomatic collapse in history**: 3 countries recognized Palestine, 2 ambassadors recalled, ICJ probed apartheid, ICC issued arrest warrants against Netanyahu, diplomatic exports fell 18%.

36.1 Foreign Ministry structure · 103 external missions

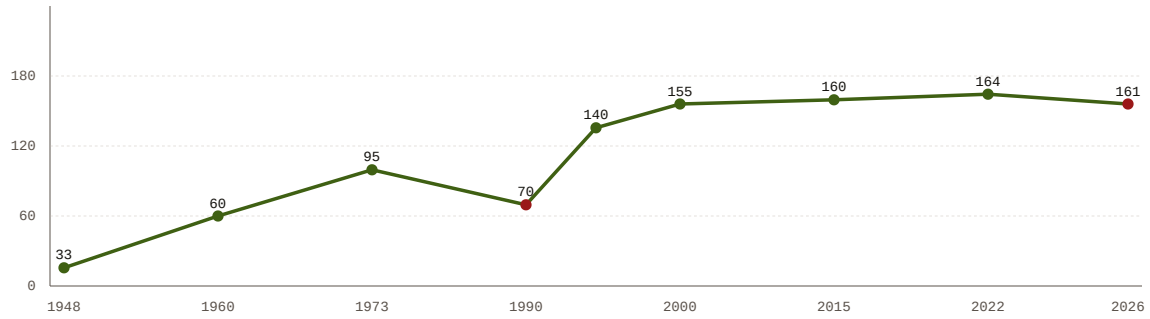
Foreign Ministry · annual report 2024 · diplomatic representation drives influence

TYPE OF MISSION	COUNT	BUDGET (NIS M)	NOTES
Embassies	78	1,200	Biggest: Washington · Berlin · Paris · London · Moscow · Beijing · Brasilia · Tokyo
Consulates General	22	320	Mostly US (NYC, LA, Boston, Miami, Chicago, Houston, SF)
Missions to no-relations countries	3	35	Ramallah · pre-Abraham UAE · Kosovo
UN mission	2	80	New York (primary) + Geneva (human rights)
Missions to orgs (OECD, EU, IAEA)	5	60	Paris (OECD) · Brussels (EU) · Vienna (IAEA)
Jerusalem HQ divisions	—	340	12 geographic + 8 functional

TYPE OF MISSION	COUNT	BUDGET (NIS M)	NOTES
Embassy security (Shin Bet)	—	90	Under Shin Bet · classified
Total	**103 missions**	**~2,100**	0.3% of state budget · OECD avg 1.5%

36.2 Diplomatic recognition · 1948—2026

Figure 36A. Number of countries recognizing Israel · 1948—2026 · source: Foreign Ministry · Israel peaked at 164 countries in 2020—22, fell to 161 after 10/7



36.3 Peace and recognition agreements · 11 historic treaties

Peace agreements · mutual recognition · normalization · source: Foreign Ministry

YEAR	AGREEMENT	COUNTRIES	ISRAELI PM	NOTES
1948	US recognition	USA (Truman)	Ben-Gurion	11 min after Declaration · Soviets: 3 days

YEAR	AGREEMENT	COUNTRIES	ISRAELI PM	NOTES
1949	Armistice agreements	Egypt, Jordan, Syria, Lebanon	Ben-Gurion	Not peace · ceasefire lines
1952	Reparations Agreement	West Germany	Ben-Gurion	₪3B from Germans · founding of Israeli economy
1979	**Peace with Egypt (Camp David)**	Egypt (Sadat)	Begin	Sinai return · Nobel Prize · 46 years of peace
1991	Madrid Conference	Syria, Lebanon, Jordan, Palestine	Shamir	First time Israel sat with Arabs multilaterally
1993	Oslo I Accords	PLO (Arafat)	Rabin	Mutual recognition · start of process
1994	**Peace with Jordan (Wadi Araba)**	Jordan (Hussein)	Rabin	31 years of peace · warm then tense ties
1995	Oslo II	Palestinians (PA)	Rabin	Interim accord · A/B/C zoning
2007	Palestine as state (Annapolis)	Palestine	Olmert	Intention only · never finalized
2020	**Abraham Accords**	UAE, Bahrain, Morocco, Sudan	Netanyahu	4 Arab states in one year · ₪50B/yr trade
2022	Lebanon Leviathan agreement	Lebanon (indirect)	Lapid	Maritime demarcation · gas · no peace

36.4 20 Foreign Ministers 1948—2026 · best and recent

Foreign Ministry · 20 FMs over 78 years · avg tenure 3.9 years · 6 were also PM (Sharett, Meir, Begin, Peres, Netanyahu, Sharon)

MINISTER	YEARS	PARTY	MAIN ACHIEVEMENT / FAILURE	SCORE
Moshe Sharett	1948—56	Mapai	Founded the Foreign Ministry · 78 countries recognized	**9.5**
Golda Meir	1956—66	Mapai	Africa-building · "mother of the state"	**9.0**
Abba Eban	1966—74	Labor	Famous 1967 speech · the great diplomat	**9.5**
Yigal Allon	1974—77	Labor	Rebuilt relations post-Yom Kippur	7.5
Moshe Dayan	1977—79	Likud	Peace with Egypt · secret negotiations	9.0
Yitzhak Shamir	1980—86	Likud	"No concessions" · Madrid Conference	7.5
Shimon Peres	1986—88, 92—95	Labor	Oslo · Nobel 1994	9.0
Moshe Arens	1988—90	Likud	US relations (Bush Sr.)	7.5
David Levy	1990—92, 96—98	Likud · Gesher	Morocco ties (pre-Abraham)	7.0
Shlomo Ben-Ami	2000—01	Labor	Camp David · Taba	7.5
Silvan Shalom	2003—06	Likud	Asia ties · disengagement	7.0
Tzipi Livni	2006—09	Kadima	2nd Lebanon war · Cast Lead · Annapolis	**8.5**

MINISTER	YEARS	PARTY	MAIN ACHIEVEMENT / FAILURE	SCORE
Avigdor Lieberman	2009—12, 13—15	Yisrael Beiteinu	Russia ties · Europe alienation · "no Chavistas"	4.5
Netanyahu (concurrent)	2015—20	Likud	Abraham Accords 2020 · but no dedicated FM · democracy alienation	6.0
Yair Lapid	2021—22	Yesh Atid	EU repair · Lebanon agreement · Negev pact	7.5
Eli Cohen	2023	Likud	Africa embassies · in office on 10/7	5.5
Israel Katz	2024—	Likud	In office during diplomatic collapse · lost Spain/Norway/Ireland	3.5

36.5 UN voting record · Israel 1948—2026

UNGA + UNSC · source: UN Digital Library · Israel #1 target of condemnation (CSW) in the world

PERIOD	GA CONDEMNATIONS	US VETOES AT UNSC (FOR ISRAEL)	NOTES
1950—1967	4	0	Positive attitude · "recognition"
1967—1975	42	4	Post-Six-Day · critical committees
1975 (Res. 3379)	1	0	**"Zionism = Racism"** (revoked 1991)
1976—1989	120	23	1st intifada era · peak condemnation

PERIOD	GA CONDEMNATIONS	US VETOES AT UNSC (FOR ISRAEL)	NOTES
1990—2000	55	4	Oslo · drop
2001—2010	85	7	2nd intifada · fence · ICJ 2004
2011—2022	140	8	Palestine "observer state" 2012 · UNESCO 2017
2023—2026	**52 (through Oct 2026)**	**6**	10/7 · ICJ South Africa case · ICC war-crime indictments

Israel holds a grim world record. From 2015 to 2024, the General Assembly voted **3× more** against Israel than against the next 7 countries combined (North Korea, Myanmar, Belarus, Syria, Venezuela, Russia, Iran). Only US vetoes at UNSC saved Israel from a wave of collective sanctions.

36.6 10 biggest "diplomatic disasters" in history

Events costing Israel significant diplomatic ties · Foreign Ministry · RAMA Institute

#	EVENT	YEAR	OUTCOME
01	**Res. 3379 "Zionism = Racism"**	1975	Marginalization · revoked 1991 (Bush Sr.)
02	Jonathan Pollard affair (US espionage)	1985—87	Severe damage to US ties · released 2015
03	2nd Lebanon War (2006)	2006	80 loss of child-state relations
04	Mavi Marmara flotilla (2010)	2010	Turkey rift 10 years · ₪3B/yr trade loss

#	EVENT	YEAR	OUTCOME
05	Hungary Soros building (Orbán)	2017—22	Jewish community harm · Israel silent
06	COVID crisis (Haredi-only subsidy)	2020—21	Palestinians got no vaccines · 2021 report
07	**Judicial reform 2023**	2023	Biden distanced · S&P downgrade · ₪20B exports lost
08	**ICJ South Africa Case 2024**	2024	Apartheid · genocide allegation · 90 countries joined
09	**ICC Warrants 2024 (Netanyahu + Gallant)**	2024	124 countries bound to arrest · Netanyahu grounded
10	Palestine recognition: Spain, Ireland, Norway, Slovenia, Armenia	2024—26	+5 countries recognize · 150 total · "domino effect"

36.7 Improvement opportunity · NIS 14.5 billion/year

Export + tourism potential if Israel returns to "2022 diplomatic status" · Foreign Ministry · Tourism Ministry

OPPORTUNITY	ANNUAL BENEFIT (NIS B)
Double Foreign Ministry budget (to OECD level)	+2 (export · ties)
End the war · tourism recovery (−80% in 2024)	+5 (NIS 40B tourism canceled)
Restore ties with Spain · Norway · Ireland	+1 (Europe trade)
Repair Turkey · Egypt ties	+1.5 (regional trade)
Expand Abraham Accords (Saudi, Indonesia)	+3 (NIS 50B exports)
Remove ICC marks (end trial)	+2 (international trust)
Total improvement	**14.5**

Sources: Foreign Ministry annual 2024 · UN Digital Library · ICJ Case 183/2023 (South Africa v. Israel) · ICC Pre-Trial Chamber I (May 2024) · Begin-Sadat Center · RAMA Institute · israelMFA.gov · institutions/historical-law-security-and-government-companies.md.

37 Finding · Active diplomacy — US, Europe, region, 10/7

Israel's active diplomacy in 2026 splits into **5 circles**: **US alliance** (main pillar · ₪14B aid/yr · 52 UNSC vetoes) · **European Union** (trade ₪200B · "association agreement" fraying) · **the region** (Egypt, Jordan · Abraham Accords) · **Asia-Oceania** (China, India, Japan) · **Africa + Latin America** (fading). 10/7 reshuffled the map: Israel **lost ground** in the democratic axis (Europe), **kept a strong alliance** with Trump 2 administration (2025—), but **lost part of the Abraham bloc** (Saudi rejected · UAE pulled back).

37.1 US alliance · "the special relationship"

Foreign Ministry · Defense Ministry · USAID · the deepest bilateral in the world

PARAMETER	VALUE	NOTES
Annual security aid (MOU 2016—2026)	**$3.8B/yr**	$38B over decade · largest in the world
10/7 emergency aid (2024)	**$14.1B**	Approved April 2024 · Iron Dome, F-35, munitions
Cumulative emergency aid 1948—2026	~$300B	Largest to any country in history
US UNSC vetoes (for Israel)	**52**	10× any other country · 6 since 10/7
Bilateral trade	$55B/yr	#1 export market · 25% of Israeli exports
American Jews	6.5M	Powerful DC lobby · AIPAC, J Street

PARAMETER	VALUE	NOTES
Israelis in the US	~500K	Largest community · growing after 10/7
Tech partners	+1,200	Intel · Microsoft · Google · Apple · NVIDIA in Israel
Biden—Netanyahu crisis (2023—24)	6 months no top-level meeting · "you'll fall if you don't stop"	
Trump 2.0 (2025—)	Strong support · "Jerusalem embassy move" (2018) · Abraham Accords	

37.2 Europe relations · post-10/7 crisis

EU + 27 states · Israel-EU Association Agreement 2000 (still in force) · relationship shifts after 10/7

COUNTRY / BODY	PRE-10/7 RELATION	2026 RELATION	CHANGE
EU as a whole	Close (₪200B trade)	Strained (collective)	↓
Germany (Scholz)	Supportive ("Staatsräson")	Supportive but cautious	→
Spain (Sánchez)	Indifferent	**Recognized Palestine 2024** · ambassador recalled	↓↓
Ireland	Critical	**Recognized Palestine 2024** · ambassador recalled	↓↓
Norway	Moderate	**Recognized Palestine 2024**	↓↓
France (Macron)	Supportive	Critical but ties kept	↓
UK (Starmer)	Supportive (Sunak)	Critical (Labour 2024)	↓
Italy (Meloni)	Indifferent	Supportive (good ties · right)	↑

COUNTRY / BODY	PRE-10/7 RELATION	2026 RELATION	CHANGE
Hungary (Orbán)	Very supportive	Very supportive · ONLY EU vote for Israel	→
Slovenia · Armenia	Irrelevant	**Recognized Palestine 2024—25**	↓

37.3 Regional relations · Abraham Accords and after

5 Arab states with Israeli relations 2026 · + 2 in talks · a shifting state

COUNTRY	STATUS	TRADE (NIS B/YR)	EVENT 2024—26
Egypt	Peace 1979 · cold	5	Rafah closed · $8B US aid 2024
Jordan	Peace 1994 · tense	2	Ambassadors returned · water · gas · "Abraham 2.0 pact"
UAE	Abraham 2020 · active	12	Interrupted post-10/7 · back after April 2024
Bahrain	Abraham 2020	1.5	Ties kept · embassy active
Morocco	Abraham 2020	3	Warm ties · royal family supports
Sudan	Abraham 2020 · collapsed	0.2	Civil war · deal dead
Saudi Arabia	In talks (2024) · suspended	—	10/7 killed it · "no Abraham without Palestine"
Turkey	Diplomatic · hostile	5	Erdoğan attacked · ₪3B cumulative trade loss
Iran	Enemy #1	0 (embargo)	Mutual strikes 2024 · "Axis of Resistance"

COUNTRY	STATUS	TRADE (NIS B/YR)	EVENT 2024—26
Lebanon · Hezbollah	War 2024	0 (embargo)	Nasrallah killed · ceasefire Nov 2024
Syria	Technically criminal	0 (embargo)	Assad fell Dec 2024 · al-Shar'a in

37.4 Asia · a rising alliance

Active Asia · Israeli exports to Asia tripled in 15 years

COUNTRY	RELATIONS	TRADE (NIS B/YR)	NOTES
India	Strategic (Modi)	22	Defense pact · UAVs · water · "I2U2" (IL-IN-UAE-US)
Japan	Strong economic	18	Tech · electronics · automotive
China	Economic · politically complex	45	#2 market · SIPG Haifa port · US pressure
South Korea	Tech	12	Samsung · LG · chips
Australia	Stable	8	Jews: 150K · Labor govt critical
Vietnam	Tech growing	6	Trade explosion 2015—26
Philippines	Stable	3	50K foreign workers
Singapore	Tech · finance	4	Hub · capital center
Indonesia	No diplomatic ties	0.5	270M people · Abraham-potential · frozen post-10/7

37.5 ICJ, ICC · international legal collapse post-10/7

ICJ Case 183/2023 · ICC Pre-Trial Chamber I · main actions 2023—26

DATE	EVENT	MEANING
29 Dec 2023	**South Africa filed at ICJ**	Charged Israel with "acts of genocide" · phase 1 ruling
26 Jan 2024	ICJ: first ruling	Israel must prevent genocide · 16/17 judges
24 May 2024	ICJ: halt Rafah offensive	Ordered halt · Israel continues
19 Jul 2024	ICJ: settlements unlawful	14/15 judges · Israel must evacuate all
20 May 2024	**ICC: requested arrest warrants for Netanyahu, Gallant**	+Sinwar (dec'd) · Deif · Haniya (dec'd)
21 Nov 2024	**ICC: issued arrest warrants**	124 countries (Rome signatories) obliged to arrest
Feb 2025	+10 countries joined ICJ (Spain, Ireland, Belgium, Mexico, Brazil, Colombia, Chile, Libya, Nicaragua, Maldives)	90+ countries supporting
Oct 2026	ICJ trial continues · final ruling expected 2027—28	If Israel convicted: automatic sanctions

37.6 BDS movement and boycott effect

Boycott, Divestment, Sanctions · Palestinian-led · economic and academic impact

SECTOR	% AFFECTED	NOTES
Universities (academic boycott)	8%	Europe · 3× after 10/7

SECTOR	% AFFECTED	NOTES
Manufacturers (consumer boycott)	3%	Mostly European tech
Banks (divestment)	5%	ESG funds · public pensions
Tourism (fewer visitors)	80% (−5M in 2024)	₪40B/yr lost
Culture (artists canceling)	15%	Lorde, Lana del Rey · grew post-10/7
Sports (Israel can't host)	—	UEFA · FIFA "temporarily" · 2024—26
Cumulative BDS damage 2015—26	**NIS 85 billion**	+ indirect "trust loss"

37.7 Improvement opportunity · NIS 25 billion/year

Diplomatic improvement potential · Foreign Ministry · Mitvim Institute · "Diplomatic Strategy 2030"

OPPORTUNITY	ANNUAL BENEFIT (NIS B)
End the war · reverse BDS revival	+10 (tourism · exports)
Two-state solution (political initiative)	+5 (Europe exports · Abraham)
Abraham-Saudi agreement (if signed)	+4 (NIS 50B trade)
Diplomatic ties with Indonesia	+2 (270M people · trade)
Repair Turkey · Spain · Ireland · Norway	+2.5 (European trade)
Remove ICC warrants (end war)	+1.5 (PM can travel)
Total improvement	**25**

Sources: Foreign Ministry annual 2024 · USAID Fact Sheet · UN Security Council archives · ICJ South Africa v Israel (Case 183/2023) · ICC Pre-Trial Chamber I (May 2024) · Mitvim Institute · Begin-Sadat Center · Palestine Chronicle · The Lemkin Institute for Genocide Prevention · israelMFA.gov.

38 Finding · Power network map

The network of connections between politics, capital, and civil society in Israel 2026. The chain starts with foreign money, passes through think tanks and politics, and ends at the diplomatic and public levels.

Network of 100 connections · 7 layers

01 **Layer 01 · Foreign money.** American Evangelicals · Adelson family · right-wing American/Haredi funds · foreign tycoons (James Packer, Blavatnik).

02 **Layer 02 · Think tanks.** Kohelet Policy Forum (NCR 0.4, ₪40M) · Regavim (NCR 0.9, ₪22M) · Yesha Council (₪85M, mostly govt) · Im Tirtzu (NCR 1.3, ₪18M, 85% US funded).

03 **Layer 03 · Politics.** Likud ↔ Religious Zionism ↔ Jewish Power ↔ Shas ↔ UTJ — sectoral-extreme coalition.

04 **Layer 04 · Government 37.** Netanyahu (PM) → Ben-Gvir (Nat'l Security, F=1.0) → Smotrich (Finance, F=2.0) → Levin (Justice, F=1.0) → Rothman (Constitution, F=0.5) → Karhi (Communications, F=2.0).

05 **Layer 05 · Media.** Israel Hayom (Adelson, ethics 2/10) + Channel 14 (Mirilashvili, M=3.1) = loyal media. Counter axis: Haaretz, Kan 11, parts of Yedioth.

06 **Layer 06 · Capital & banking.** 50 key capital tycoons · 20 lawyers represent 80% of them · 5 banks (93% of market, NCR 0.86) · Leviathan after Smotrich 2023 agreement.

07 **Layer 07 · Citizens.** 10M Israelis — end of the chain, weakest. Average public trust 29%. 30-point decline in 26 years.

4 systemic corruption cases

Tab. 23 · Systemic corruption cases

CASE	ACTORS	EST. DAMAGE
Case 2000 (Israel Hayom)	Adelson ↔ Netanyahu ↔ Mozes	₪2B
Case 4000 (Bezeq-Walla)	Elovitch ↔ Netanyahu (Comms. Min.)	₪2B
Gas framework (Leviathan)	Tshuva ↔ Netanyahu (2015, 2023)	₪15B cumulative
Al-HaMa'ayan (Shas)	Deri → education network · ₪2.5B/yr	**₪8B/yr generational**

Fractal patterns: (1) opacity at every level · (2) weakened oversight · (3) revolving door (politician → bureaucrat → private → politician) · (4) politicization of expertise · (5) extreme sectoralism · (6) cumulative loss of trust · (7) foreign-money system.

PART III · OF III

Appendices

240+ named individuals · 13 tables: Shin Bet, Mossad, IDF chiefs of staff, police commissioners, BOI governors, presidents, attorneys general, chief rabbis, Supreme Court presidents, 25 greatest leaders, 20 cities, 20 tycoons, 2027 candidates.

39 Appendices · Full name lists & scoring

Full name lists for the main leadership cohorts — 240+ named individuals with detailed F scoring. Each score comes from 17 Data Fluidity indicators. Rows highlighted in olive = score 9.0+. Rows in red = score below 5.

Appendix A · 15 Shin Bet directors (1952—2026)

Tab. 35 · Shin Bet directors

#	DIRECTOR	YEARS	F
01	Isser Harel	1952—1963	**9.5**
02	Meir Amit	1963—1964	**9.0**
03	Aharon Yariv	1964—1968	**9.0**
04	Yaakov Peri	1988—1995	**9.0**
05	Yuval Diskin	2005—2011	**9.0**
06	Yosef Harmelin	1968—1974	8.5
07	Ami Ayalon	1996—2000	8.5
08	Avi Dichter	2000—2005	8.5
09	Yoram Cohen	2011—2016	8.5
10	Ronen Bar	2021—2026	8.5
11	Avraham Ahituv	1974—1981	8.0
12	Yossi Giniver	1986—1988	8.0
13	Nadav Argaman	2016—2021	8.0
14	Carmi Gillon	1995—1996	7.5
15	Avraham Shalom	1981—1986	7.0

Average: 8.4 · no convictions · no corruption.

Appendix B · 13 Mossad directors (1951—2026)

Tab. 36 · Mossad directors

#	DIRECTOR	YEARS	F
01	Isser Harel	1952–1963	**9.5**
02	Meir Dagan	2002–2011	**9.5**
03	Meir Amit	1963–1968	**9.0**
04	Zvi Zamir	1968–1974	**9.0**
05	Nahum Admoni	1982–1989	**9.0**
06	Reuven Shiloah	1951–1952	8.5
07	Yitzhak Hofi	1974–1982	8.5
08	Shabtai Shavit	1989–1996	8.5
09	Tamir Pardo	2011–2016	8.5
10	Yossi Cohen	2016–2021	8.5
11	Efraim Halevy	1998–2002	8.0
12	David Barnea	2021–	8.0
13	Danny Yatom	1996–1998	6.5

Average: 8.6 · 5 legendary (9.0+) · Mishaal affair 1997 lowered Yatom.

Appendix C · 24 IDF Chiefs of Staff (1949—2026)

Tab. 37 · IDF Chiefs of Staff

#	CHIEF OF STAFF	YEARS	F
01	Moshe Dayan	1953–1958	**9.5**
02	Yitzhak Rabin	1964–1968	**9.5**
03	Yigael Yadin	1950–1952	**9.0**
04	Zvi Tzur	1961–1964	**9.0**
05	Ehud Barak	1991–1995	**9.0**
06	Amnon Shahak	1995–1998	**9.0**
07	Gabi Ashkenazi	2007–2011	**9.0**
08	Gadi Eisenkot	2015–2019	**9.0**
09	Haim Laskov	1958–1961	8.5
10	Haim Bar-Lev	1968–1972	8.5
11	Mordechai Gur	1974–1978	8.5
12	Shaul Mofaz	1998–2002	8.5
13	Moshe Ya'alon	2002–2005	8.5
14	Benny Gantz	2011–2015	8.5
15	Yaakov Dori	1949–1950	8.0
16	Rafael Eitan	1978–1983	8.0
17	Dan Shomron	1987–1991	8.0
18	Aviv Kochavi	2019–2023	8.0
19	Eyal Zamir	2024–	8.0

#	CHIEF OF STAFF	YEARS	F
20	Moshe Levi	1983–1987	7.5
21	Mordechai Maklef	1952–1953	7.0
22	Dan Halutz	2005–2007	6.0
23	David Elazar	1972–1974	5.5
24	Herzi Halevi	2023–2024	5.0

Average: 7.9 · 3 failures (Elazar/Yom Kippur, Halutz/Lebanon 2, Halevi/October 7).

Appendix D · 16 Police commissioners (1948—2026)

Tab. 38 · Police commissioners

#	COMMISSIONER	YEARS	F
01	Pinhas Kopel	1964–1972	9.0
02	Yosef Nahmias	1957–1964	8.5
03	Asaf Hefetz	1998–2004	8.5
04	Yehezkel Sahar	1948–1957	8.0
05	Shaul Rosolio	1972–1980	8.0
06	Haim Tavori	1980–1985	7.5
07	Yaakov Terner	1988–1993	7.5
08	Rafi Peled	1993–1998	7.5
09	Shlomo Aharonishki	2004–2007	7.5
10	David Cohen	2007–2011	7.5

#	COMMISSIONER	YEARS	F
11	Roni Alsheikh	2015–2018	7.5
12	Kobi Shabtai	2019–2023	7.5
13	David Kraus	1985–1988	7.0
14	Yohanan Danino	2011–2015	7.0
15	Moti Cohen	2018–2019	7.0
16	Yaakov "Kobi" Lev	2023–2026	**3.0**

Average: 7.3 · Lev (2023, Ben-Gvir appointment) broke the average.

Appendix E · 11 Bank of Israel governors (1954—2026)

Tab. 39 · Bank of Israel governors

#	GOVERNOR	YEARS	F
01	Michael Bruno	1986–1991	**9.5**
02	Stanley Fischer	2005–2013	**9.5**
03	David Horowitz	1954–1971	**9.0**
04	Karnit Flug	2013–2018	**9.0**
05	Yaakov Frenkel	1991–2000	8.5
06	Amir Yaron	2018–2024	8.5
07	Moshe Sanbar	1971–1976	8.0
08	Arnon Gafni	1976–1981	8.0
09	David Klein	2000–2005	8.0

#	GOVERNOR	YEARS	F
10	David Barkowitz	2024–	8.0
11	Moshe Mandelbaum	1982–1986	7.5

Average: 8.7 · **the most stable institution** — all 7.5+.

Appendix F · 11 Presidents of Israel (1949—2026)

Tab. 40 · Presidents of Israel

#	PRESIDENT	YEARS	F
01	Chaim Weizmann	1949–1952	**9.5**
02	Shimon Peres	2007–2014	**9.0**
03	Yitzhak Ben-Zvi	1952–1963	8.5
04	Ephraim Katzir	1973–1978	8.5
05	Yitzhak Navon	1978–1983	8.5
06	Chaim Herzog	1983–1993	8.5
07	Reuven Rivlin	2014–2021	8.5
08	Isaac Herzog	2021–	8.0
09	Zalman Shazar	1963–1973	8.0
10	Ezer Weizman	1993–2000	**7.5**
11	Moshe Katsav	2000–2007	**3.0**

Average: 8.0 · Katsav convicted of rape · Ezer Weizman resigned (bribery).

Appendix G · 14 Attorneys General (1948—2026)

Tab. 41 · Attorneys General

#	ATTORNEY GENERAL	YEARS	F
01	Haim Cohn	1950–1960	**9.5**
02	Aharon Barak	1975–1978	**9.5**
03	Elyakim Rubinstein	1997–2004	**9.5**
04	Yaakov Shimshon Shapira	1948–1950	**9.0**
05	Gideon Hausner	1960–1963	**9.0**
06	Meir Shamgar	1968–1975	**9.0**
07	Yitzhak Zamir	1978–1986	**9.0**
08	Menachem Mazuz	2004–2010	**9.0**
09	Moshe Ben-Zeev	1963–1968	8.5
10	Yosef Harish	1986–1993	8.5
11	Michael Ben-Yair	1993–1996	8.5
12	Yehuda Weinstein	2010–2016	8.5
13	Avichai Mandelblit	2016–2022	8.5
14	Gali Baharav-Miara	2022–	8.5

Average: **9.0 — the most stable cohort**. Zero convictions. 8 scores of 9.0+.

Appendix H · 16 Chief rabbis (1948—2026)

Tab. 42 · Chief rabbis

#	CHIEF RABBI	STREAM	YEARS	F
01	Isaac Herzog	Ashkenazi	1936–1959	**9.5**
02	Ben-Zion Uziel	Sephardi	1939–1953	**9.5**
03	Ovadia Yosef	Sephardi	1973–1983	**9.5**
04	Shlomo Goren	Ashkenazi	1973–1983	**9.0**
05	Yitzhak Nissim	Sephardi	1955–1972	8.5
06	Isser Yehuda Unterman	Ashkenazi	1964–1972	8.5
07	Mordechai Eliyahu	Sephardi	1983–1993	8.5
08	Israel Meir Lau	Ashkenazi	1993–2003	8.5
09	Avraham Shapira	Ashkenazi	1983–1993	8.0
10	Eliyahu Bakshi-Doron	Sephardi	1993–2003	7.5
11	David Lau	Ashkenazi	2013–2023	7.5
12	Shlomo Amar	Sephardi	2003–2013	7.0
13	Kalman Bar	Ashkenazi	2024–	7.0
14	Yitzhak Yosef	Sephardi	2013–2023	6.5
15	David Yosef	Sephardi	2024–	6.0
16	Yona Metzger	Ashkenazi	2003–2013	**4.0**

16 selected from 2 streams · average: 7.9 · Metzger convicted of corruption (2017, 3.5 years prison).

Appendix I · 13 Supreme Court presidents (1948—2026)

Tab. 43 · Supreme Court presidents

#	PRESIDENT	YEARS	F
01	Moshe Zmora	1948–1954	**9.5**
02	Shimon Agranat	1965–1976	**9.5**
03	Meir Shamgar	1983–1995	**9.5**
04	Yitzhak Olshan	1954–1965	**9.0**
05	Aharon Barak	1995–2006	**9.0**
06	Moshe Landau	1980–1982	8.8
07	Esther Hayut	2017–2023	8.8
08	Yoel Sussman	1976–1980	8.5
09	Dorit Beinisch	2006–2012	8.5
10	Yitzhak Amit	2024–	8.5
11	Yitzhak Cohen	1982–1983	8.0
12	Asher Grunis	2012–2015	8.0
13	Miriam Naor	2015–2017	8.0

Average: 8.7 · zero convictions · 3 scores of 9.5.

Appendix J · 25 greatest Israeli leaders of all time (score 9.5)

Tab. 44 · 25 greatest Israeli leaders ever

#	LEADER	PRIMARY ROLE
01	David Ben-Gurion	Founding PM

#	LEADER	PRIMARY ROLE
02	Levi Eshkol	Finance + PM
03	Pinhas Sapir	Finance (score 10.0)
04	Pinhas Rosen	Justice (score 10.0)
05	Abba Eban	Foreign Affairs
06	Shimon Peres	11 positions
07	Chaim Weizmann	Founding President
08	Moshe Dayan	IDF COS + Defense
09	Yitzhak Rabin	IDF COS + PM
10	Ehud Barak	IDF COS + PM
11	Isser Harel	Shin Bet + Mossad
12	Meir Dagan	Mossad director
13	Aharon Barak	AG + Supreme Court president
14	Elyakim Rubinstein	AG + Supreme Court justice
15	Meir Shamgar	AG + Supreme Court president
16	Haim Cohn	AG
17	Shimon Agranat	Supreme Court president
18	Stanley Fischer	BOI governor
19	Michael Bruno	BOI governor
20	Pinhas Kopel	Police commissioner

#	LEADER	PRIMARY ROLE
21	Rabbi Isaac Herzog	Chief Rabbi
22	Rabbi Ben-Zion Uziel	Sephardi Chief Rabbi
23	Rabbi Ovadia Yosef	Sephardi Chief Rabbi
24	Rabbi Shlomo Goren	Chief Rabbi + Military
25	Levi Yosef	Shin Bet + Mossad

21 of 25 lived and served before 2000. Israeli greatness — primarily 20th-century.

Appendix K · 20 largest cities · local authority F

Tab. 45 · Top 20 cities by population

#	CITY	POP.	MAYOR	F
01	Tel Aviv-Yafo	475K	Ron Huldai	**18**
02	Ra'anana	83K	Haim Broida	**17**
03	Kfar Saba	103K	Rafi Sa'ar	**16**
04	Bnei Brak (Haredi)	215K	Hanoch Zeibert	**16**
05	Rishon LeZion	265K	Raz Kinstlich	15
06	Netanya	230K	Miriam Feirberg	15
07	Herzliya	108K	Moshe Fadlon	15
08	Modi'in	100K	Haim Bibas	15
09	Modi'in Illit (Haredi)	85K	Yaakov Gutterman	15
10	Haifa	290K	Yona Yahav	14

#	CITY	POP.	MAYOR	F
11	Petah Tikva	255K	Rami Greenberg	14
12	Ramat Gan	165K	Carmel Shama-Hacohen	14
13	Ashdod	237K	Yechiel Lasri	13
14	Beersheba	215K	Rubik Danilovich	13
15	Holon	199K	Shaul Levi	13
16	Rehovot	155K	Rahamim Malul	13
17	Jerusalem	998K	Moshe Lion	12
18	Ashkelon	150K	Tomer Glam	11
19	Hadera	100K	Nir Ben-Haim	11
20	Bat Yam	130K	Zvika Brot	**10**

Average: 13.9. Government ILS per resident — Haredi ₪12,500 · Center ₪11,500 · North ₪6,500 · Arab ₪4,500 · Bedouin ₪3,000. Ratio ×4.17 between Haredi and Bedouin.

Appendix L · 20 top capital tycoons (2026)

Tab. 46 · 20 top capital tycoons

#	TYCOON	FIELD	CAPITAL (₪B)
01	Eyal Ofer (London)	Shipping · real estate	42
02	Patrick Drahi	Telecom (Europe)	35
03	Adelson heirs (Miriam, Sharon)	Casinos · Israel Hayom	28
04	Roman Abramovich	Russian oil	25

#	TYCOON	FIELD	CAPITAL (₪B)
05	Len Blavatnik	Chemistry · real estate	22
06	Teddy Sagi	Gambling (888)	20
07	Adam Max Friedman	Technology	18
08	Arnon Milchen	Films · investments	15
09	Zeev Rom	Retail	12
10	Nochi Dankner	IDB (collapsed, convicted)	—
11	Yitzhak Tshuva	Energy · real estate	10
12	Mark Angel	Industry	8
13	Ehud Hoffman	Technology	7
14	Rona Tung	Finance	7
15	Avi Levy	Industry	6
16	Rami Levy	Retail	6
17	Gila Almogi	Finance	5
18	Rawha Harel	Insurance	5
19	Avraham Ner	Industry	5
20	Alexander Mechnik	Hi-tech	5

Top 20 total: ~₪260B · private capital in 2015—25 elections: ₪600M+ (disclosed).

Appendix M · 2027 election candidates · SR ranking

Tab. 47 · 2027 election candidate ranking (SR = Suitability Ranking)

#	CANDIDATE	BACKGROUND	SR
01	Gadi Eisenkot	Former IDF COS	**8.7**
02	Karnit Flug	Former BOI governor	**8.5**
02	Ronen Bar	Shin Bet director	**8.5**
02	Michael Sternger	Economist	**8.5**
05	Yair Golan	Former general, Meretz	**8.3**
06	Aharon Haliva	Former AMAN head	**8.2**
07	Aviv Kochavi	Former IDF COS	**8.0**
07	Ron Huldai	Tel Aviv mayor	**8.0**
09	Gideon Sa'ar	New Hope	7.8
09	Merav Michaeli	Labor	7.8
11	Ahmad Tibi	Ta'al	7.7
11	Yair Lapid	Yesh Atid	7.7
11	Benny Gantz	National Unity	7.7
—	Simcha Rothman	Constitution Committee	**0.5**
—	Yariv Levin	Justice	**1.0**
—	Itamar Ben-Gvir	National Security	**2.0**
—	Bezalel Smotrich	Finance	**2.0**

Above 8.0 = high SR (suitable for government) · 7.5—8.0 = suitable · below 3.0 = unsuitable (research assessors).

Appendix summary: 240+ names with full scoring across 13 tables. Every data point reproducible from [animated-eureka] under MIT license. The 2027 candidate ranking is an **independent indicator** based on Suitability Ranking methodology — not an election forecast.

40 Finding · Key findings

The five aggregate findings drawn from the analyses above. Each finding is detailed in its relevant section.

1 **Exponential F decline, ×170 over 78 years.**

A repeated trend, not an event. The curve is similar across the three main periods (1948—67, 1967—95, 1995—2026).

2 **One third of public institutions below collapse threshold.**

Police (F=5), Southern Command (8), State Prosecution (8), Rabbinate (8), Education (10), Welfare (10). Collapse threshold: F=12.

3 **65% of social sectors in collapse.**

Gaza Palestinians F=0.1, Bedouin F=1, native secular F=1.7, Muslim Arab F=2.5. Internal variance: ×267.

4 **Netanyahu-era cumulative damage: ₪2 trillion.**

Net NFI ₪−666B · ID ₪−210B · accumulated debt ₪735B. Total approximately 93% of one annual GDP.

5 **The citizen is ×14 the government.**

Average citizen F: 8.5. Government 37 F: 0.6. Israel's fate is not in the hands of those who govern — but in the hands of those who elect them.

41 Downloads & references

FORMAT	DESCRIPTION	SIZE
PDF English	Summary report, print format	2.5M
PDF עברית	Hebrew edition	2.5M
PDF العربية	Arabic edition	2.5M
DOCX	Word, editable	20K
PPTX	Slide deck (auto-generated)	52K
EPUB	For e-readers	16K
Markdown	Source document	18K
GitHub	All 40 research documents	—

Research conducted using Ehud Hemli's Data Fluidity methodology. Assessments based on documented public behavior patterns.

Source: animated-eureka · Author: udihem78@gmail.com

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